Economic Calendar

April 2026

WED 1

AUSTRALIA
Cotality Home Price Index Mar exp 0.7% prev 0.6% (12:01am)
Building Approvals Feb exp 5.0% prev –7.2% (11:30am)
CHINA
RatingDog Mfg PMI Mar exp 52.5 prev 52.1 (12:45pm)
EURO ZONE
Unemployment Rate Feb exp 6.1% prev 6.1% (8:00pm)
JAPAN
Tankan Large Manufacturers Index Q1 exp 16 prev 15 (10:50am)
NEW ZEALAND
Building Permits Feb prev 1.9% (8:45am)
UNITED STATES
ADP Employment Change Mar prev 63k (11:15pm)
Retail Sales Feb exp 0.4% prev –0.2% (11:30pm)
Fedspeak – Musalem (12:05am)
Fedspeak – Barr (12:10am)
ISM Mfg Mar exp 52.3 prev 52.4 (1:00am)
Business Inventories Jan prev 0.1% (1:00am)
GLOBAL
S&P Global Manufacturing PMI Mar (F)

THU 2

AUSTRALIA
Goods Trade Balance Feb exp $1.5bn prev $2.6bn (11:30am)
Job Vacancies Q1 exp 3.0% prev –0.2% (11:30am)
UNITED STATES
Trade Balance Feb exp –$66.0bn prev –$54.5bn (11:30pm)

FRI 3

CHINA
RatingDog Services PMI Mar exp 53.7 prev 56.7 (12:45pm)
UNITED STATES
Employment Report Mar (11:30pm)
- Nonfarm Payrolls Chg exp 51k prev –92k
- Unemployment Rate exp 4.4% prev 4.4%
- Avg Hourly Earnings exp 0.3% prev 0.4%

S&P Global Services PMI Mar (F) (12:45am)
GLOBAL
Good Friday – Markets Closed

MON 6

UNITED STATES
ISM Services Mar exp 55.0 prev 56.1 (1:00am)
GLOBAL
Easter Monday – Markets Closed

TUE 7

AUSTRALIA
MI Inflation Mar y/y prev 3.6% (11:00am)
ANZ-Indeed Job Ads Mar prev 3.2% (11:30am)
Household Spending Indicator Feb exp –0.2% prev 0.3% (11:30am)
JAPAN
Household Spending Feb y/y prev –1.0% (9:30am)
UNITED STATES
Durable Goods Orders Feb prev 0.0% (10:30pm)
NY Fed 1-Yr Inflation Expectations Mar y/y prev 3.0% (1:00am)
Fedspeak – Goolsbee (2:35am)
Consumer Credit Feb prev $8.1bn (5:00am)

WED 8

EURO ZONE
Ger. Factory Orders Feb prev –11.1% (4:00pm)
PPI Feb y/y prev –2.2% (7:00pm)
Retail Sales Feb prev –0.1% (7:00pm)
JAPAN
Current Account Feb prev ¥941.6bn (9:50am)
NEW ZEALAND
RBNZ Policy Decision prev 2.25% (12:00pm)
UNITED STATES
FOMC Meeting Minutes (4:00am)

THU 9

CHINA
Credit & M2 Data Mar (9–14 Mar)
- New Yuan Loans ytd prev CNY5610bn
- M2 Money Supply y/y prev 9.0%

EURO ZONE
Ger. Industrial Production Feb prev –0.5% (4:00pm)
UNITED STATES
Personal Income Feb prev 0.4% (10:30pm)
Personal Spending Feb prev 0.4% (10:30pm)
PCE Deflator Feb prev 0.3% (10:30pm)
GDP Q4 (F) ann'd prev 0.7% (10:30pm)
Wholesale Inventories Feb (F) prev –0.5% (12:00am)

FRI 10

CHINA
CPI Mar y/y prev 1.3% (11:30am)
PPI Mar y/y prev –0.9% (11:30am)
NEW ZEALAND
BusinessNZ Mfg PMI Mar prev 55.0 (8:30am)
UNITED STATES
CPI Mar y/y prev 2.4% (10:30pm)
Factory Orders Feb prev 0.1% (12:00am)
UoM Consumer Sentiment (P) Apr (12:00am)
Durable Goods Orders Feb (F) prev 0.0% (12:00am)

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Economic Calendar

April 2026

MON	TUE	WED	THU	FRI
13	**14**	**15**	**16**	**17**
UNITED STATES Existing Home Sales Mar prev 1.7% (12:00am)	**AUSTRALIA** RBA's Hauser – Fireside Chat (8:45am) Westpac–MI Consumer Sentiment Apr prev 91.6 (10:30am) NAB Business Survey (11:30am) Conditions prev 7 Confidence prev –1 **CHINA** Trade Balance Mar prev US$91.0bn **JAPAN** Industrial Production Feb (F) (2:30pm) **NEW ZEALAND** Net Migration Feb prev 4460 (8:45am) **UNITED STATES** NFIB Small Business Optimism Mar prev 98.8 (8:00pm) PPI Mar y/y prev 3.4% (10:30pm)	**EURO ZONE** Industrial Production Feb prev –1.5% (7:00pm) **JAPAN** Core Machinery Orders Feb prev –5.5% (9:50am) **UNITED STATES** NY Empire Manufacturing Index Apr prev –0.2 (10:30pm) Import Price Index Mar prev 1.3% (10:30pm) NAHB Housing Market Index Apr prev 38 (12:00am) FOMC Beidge Book (4:00am)	**AUSTRALIA** RBA's Hauser – Panel Participation (6:00am) Consumer Inflation Expectations Apr y/y prev 5.2% (11:00am) Labour Force Survey Mar (11:30am) Employment Change exp 25k prev 48.9k Unemployment Rate exp 4.2% prev 4.3% Participation Rate exp 66.8% prev 66.9% **CHINA** GDP Q1 y/y prev 4.5% (12:00pm) Activity Data Mar ytd y/y (12:00pm) Retail Sales prev 2.8% Industrial Production prev 6.3% Fixed Asset Investment prev 1.8% **EURO ZONE** CPI Mar (F) (7:00pm) **UNITED KINGDOM** Monthly GDP Feb prev 0.0% (4:00pm) **UNITED STATES** Philadelphia Fed Manufacturing Index Apr prev 18.1 (10:30pm) Industrial Production Mar prev 0.2% (11:15pm)	**EURO ZONE** Trade Balance Feb prev €12.1bn (7:00pm) **NEW ZEALAND** Selected Price Indices Mar (8:45am) Retail Card Spending Mar prev 1.4% (8:45am) **UNITED STATES** Washington's Birthday – Markets Closed
20	**21**	**22**	**23**	**24**
NEW ZEALAND Trade Balance Mar prev –NZ$257mn (8:45am) **UNITED KINGDOM** Rightmove House Prices Apr prev 0.8% (9:01am)	**EURO ZONE** EU ZEW Expectations Apr prev –8.5 (7:00pm) **NEW ZEALAND** CPI Q1 (8:45am) q/q prev 0.6% y/y prev 3.1% **UNITED KINGDOM** ILO Unemployment Rate Feb prev 5.2% (4:00pm) **UNITED STATES** Retail Sales Mar (10:30pm) Business Inventories Feb (12:00am) Pending Home Sales Mar prev 1.8% (12:00am)	**AUSTRALIA** Westpac-MI Leading Index Mar ann'd prev +0.08% (10:30am) **EURO ZONE** Consumer Confidence Apr (P) prev –16.3 (12:00am) **UNITED KINGDOM** CPI Mar y/y prev 3.0% (4:00pm)	**UNITED KINGDOM** Public Sector Borrowing Mar prev 14.3 (4:00pm) **UNITED STATES** Chicago Fed Nat Act Index Mar prev –0.11 (10:30pm) Kansas City Fed Manufacturing Index Apr prev 11 (1:00am) **GLOBAL** S&P Global PMIs Apr (P) Manufacturing Services	**EURO ZONE** Ger. IFO Business Climate Survey Apr (6:00pm) **JAPAN** CPI Mar y/y prev 1.3% (9:30am) **UNITED KINGDOM** GfK Consumer Sentiment Apr prev –21 (9:01am) Retail Sales Mar (4:00pm) **UNITED STATES** UoM Consumer Sentiment Apr (F) (12:00am)

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Economic Calendar

April 2026

MON	TUE	WED	THU	FRI
27	**28**	**29**	**30**	**1 May**
CHINA Industrial Profits Mar y/y prev 5.3% (11:30am) **UNITED STATES** Dallas Fed Manufacturing Index Apr (12:30am)	**JAPAN** Jobless Rate Mar (9:30am) BoJ Policy Decision prev 0.75% **NEW ZEALAND** Employment Indicator Mar (8:45am) **UNITED STATES** FHFA House Prices Feb (11:00pm) S&P CoreLogic CS House Prices Feb (11:00pm) Richmond Fed Manufacturing Index Apr prev 0 (12:00am) Conf. Board Consumer Confidence Index Apr (12:00am)	**AUSTRALIA** CPI Q1 (11:30am) Headline q/q exp 1.4% prev 0.6% Headline y/y exp 4.1% prev 3.2% Trimmed Mean q/q exp 0.9% prev 0.9% Trimmed Mean y/y exp 3.5% prev 3.4% Monthly CPI Mar (11:30am) Headline m/m exp 1.1% prev 0.0% Headline y/y exp 4.5% prev 3.7% **EURO ZONE** M3 Money Supply Mar y/y prev 3.0% (6:00pm) Economic Confidence Apr (7:00pm) Consumer Confidence Apr (F) (7:00pm) **UNITED STATES** Wholesale Inventories Mar (P) (10:30pm) Durable Goods Orders Mar (P) (10:30pm) Housing Starts Mar prev 7.2% (10:30pm) Building Permits Mar prev –4.7% (10:30pm) FOMC Policy Decision prev 3.625% (4:00am)	**AUSTRALIA** Private Sector Credit Mar (11:30am) Trade Price Indices Q1 (11:30am) Export Prices prev 3.2% Import Prices prev 0.9% **CHINA** NBS PMIs Apr (11:30am) Manufacturing Non–Manufacturing RatingDog Mfg PMI Apr (11:45am) **EURO ZONE** CPI Apr (P) (7:00pm) GDP Q1 (P) prev 0.2% (7:00pm) Unemployment Rate Mar (7:00pm) ECB Policy Decision (Deposit Rate) prev 2.00% (10:15pm) **JAPAN** Industrial Production Mar (9:50am) **NEW ZEALAND** ANZ Business Confidence Apr (11:00am) **UNITED KINGDOM** BoE Policy Decision prev 3.75% (9:00pm) **UNITED STATES** Personal Income Mar (10:30pm) Personal Spending Mar (10:30pm) PCE Deflator Mar (10:30pm) Employment Cost Index Q1 prev 0.7% (10:30pm) GDP Q1 (F) (10:30pm) Chicago PMI Apr (11:45pm)	**AUSTRALIA** PPI Q1 prev 0.8% (11:30am) **NEW ZEALAND** ANZ Consumer Confidence Apr prev 91.3 (8:00am) Building Permits Mar (8:45am) **JAPAN** Tokyo CPI Apr (9:50am) **UNITED STATES** ISM Manufacturing Apr (12:00am) **GLOBAL** S&P Global Manufacturing PMI Apr (F) ISM Manufacturing Apr (12:00am)

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Week beginning 30 March 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: The epic blunder of fighting the last war.

The Week That Was: A fork in the road.

Focus on New Zealand: Inflation up, growth down, OCR on hold?

Forecast Update: our new baseline incorporates a 2-month closure of the Strait of Hormuz.

For the week ahead:

Australia: RBA Minutes, private credit, dwelling approvals, goods trade balance, job vacancies.

New Zealand: employment indicator, business confidence, building permits.

Japan: CPI, jobless rate, industrial production, manufacturers index.

China: NBS PMIs.

Euro area: HICP inflation, unemployment rate.

United States: non-farm payrolls, unemployment rate, ISMs, retail sales, Conf. Board consumer confidence.

Global: Good Friday.

Information contained in this report current as at 27 March 2026.

The epic blunder of fighting the last war

Luci Ellis
Chief Economist, Westpac Group

- **The Middle East conflict and the resulting fuel crisis are not the same as previous crises and should not require COVID-style policy responses such as work-from-home mandates. Governments and other decision-makers need to avoid the temptation to "fight the last war". Nor should they fall into the trap of "we must do something, and this is something", when that something is ill-suited to the current problem.**
- **The focus should instead be on the key issue for the world economy: how the conflict maps into energy-supply disruption via the closure of the Strait of Hormuz and/or damage to oil and gas infrastructure in other Gulf states. Time is almost up on our initial assumption that the Strait would be closed for about a month, so we have updated our baseline forecast to reflect this. But the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.**
- **This is a significant shock to the economy and a challenging situation for public policy. For the next few weeks, though, the appropriate monetary policy response is "wait and see". The current crisis is not (yet) a financial crisis or a pandemic requiring immediate, potentially out-of-cycle, action. And conditions could be quite different in a month's time. Domestic conditions will continue to shape the RBA's decisions at its regular meetings.**

"Fighting the last war" is a common cognitive trap: trying to make a current crisis fit a past one. We saw attempts to make COVID fit the GFC template by expecting borrower distress despite massive fiscal support and, in some quarters, to make the AI boom fit the COVID template of sudden mass job losses, at least in the US.

The current conflict in the Middle East is producing plenty of examples of this behaviour, again misguided. The US/Israel attack has not gone the same way as the US intervention in Venezuela, nor are the implications like those of Russia's invasion of Ukraine. The geographic pinch-point of the Strait of Hormuz shapes both the energy-price implications and the military ones. The context also differs significantly: the world is not emerging from a pandemic, with macroeconomic policy highly expansionary and other supply chains already disrupted.

The domestic context in Australia also differs in important ways, particularly the ceiling on east coast wholesale gas prices introduced after the 2022 episode. We are also four years further along with solar and battery installation. These changes mean that, for Australia, this is mostly an issue of fuel prices and availability, rather than electricity (as in 2022–23).

In addition, the current conflict bears little resemblance to the COVID pandemic, so policy responses should differ. We were surprised that work-from-home mandates have been seriously proposed. A fuel shortage is not a respiratory virus, and there is no reason to prevent or discourage workers from attending their workplace if they commute by foot, bicycle or public transport. Better responses would be to expand public transport coverage and frequency, encourage carpooling (including more extensive transit lanes), and cancel non-essential government travel. Only if those policies fail, or fuel shortages become so extreme that critical workers need to be prioritised, would WFH become an appropriate response.

Likewise, businesses are not facing a sudden loss of income as the community goes into lockdown. Income support measures should therefore be much more targeted, if they are needed at all.

The main similarity to the pandemic is stockpiling, as people fear downstream supply disruptions. Policy responses to address this make more sense than mandating work-from-home. Options include publicising the restocking of petrol stations that had run out of some fuels, as well as measures already taken such as temporary changes to fuel standards and the oil-for-gas supply deal with Singapore.

A kinetic war between US/Israel and Iran could drag on without necessarily having its current dramatic impact on global energy markets. For the rest of the world, the key issues are closure of the Strait of Hormuz and actual or threatened damage to gas and other civilian infrastructure in non-combatant Gulf states. But closure of the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.

The immediate issue for the global and Australian economies is fuel availability. Higher prices will curb demand, but periods of localised unavailability will be especially disruptive.

The implications for macroeconomic policy depend on the broader effects on inflation and growth. The RBA was already hiking rates ahead of the outbreak of the conflict. Demand growth had picked up a little more sharply than they, or we, had expected. And with the economy no longer running with significant spare capacity as in the 2010s, even small upside demand or downside supply shocks show up in prices rather than being absorbed. More frequent policy adjustments should therefore be expected.

As highlighted by the RBA's counterparts at the RBNZ, policymakers should ordinarily try to look through the first-round, fuel-specific impacts on inflation from a shock like this. Second-round effects such as higher transport and materials costs flowing through to other prices may, however, require a response. A lift in inflation expectations is also a watch point. But if the supply-disruption element of the conflict fades over the next month or so, these effects will also be short-lived. While the update to our baseline forecast is more severe than this, the risks around it are two-sided. It will therefore pay to wait to see which scenario plays out ahead of the May meeting. A May rate hike is still on the cards for pre-existing domestic reasons, but pre-judging the second-round effects on inflation, and the need for any hikes beyond the next one, is a much less secure strategy.

In particular, we do not expect an out-of-cycle RBA decision. These are rare: the last one was in March 2020, just ahead of lockdown, and the one before that was in 1997, both to cut rates. Even during the GFC, there were no out-of-cycle policy decisions. The decision tree facing the RBA also does not require one. May seems a long way away, but by then either things will have de-escalated, or the war will have escalated, drawn in Gulf states and worsened energy supply. De-escalation would see some of the inflationary shock soon moderate, weakening the case for further policy tightening. Escalation would be an even larger negative shock to global growth than we are already facing, but also inflationary. With the Board already split on the need to hike expeditiously, we see neither the need, nor the appetite, to bring forward that decision in either scenario. This is not COVID, and we do not expect policymakers to act like it is.

Forecast changes

- **The US/Israel–Iran conflict is likely to result in a more prolonged disruption to energy production in the Middle East and shipping through the Strait of Hormuz than we previously assumed.**
- **We have therefore revised our baseline forecast to assume an eight-week closure of the Strait of Hormuz and a slower recovery, compared with the previous assumption of a one-month closure and one month of recovery. Shipping traffic through the Strait is assumed to be closer to 20% of normal in May, with a gradual return to normal by year end.**
- **Oil is now expected to average US$120/bbl (Brent) in Q2, from $90/bbl previously. It is expected to remain $13 higher even by the end of the year. Japanese LNG prices are expected to peak at a quarterly average of US$26mmbtu over the next few quarters.**
- **We have also made more allowance for wider refinery margins and downstream flow-on from transport and fertiliser costs into prices, especially food prices, as well as some moderate second-round effects including wages. We continue to assess that there will be minimal impact on Australia's domestic electricity prices.**
- **For Australia, headline inflation peaks at 5.5% in 2026 Q2. Trimmed mean inflation is less affected but still peaks at 4% by end 2026.**
- **At 1.4%, GDP growth over 2026 is more than 1ppt weaker relative to pre-war forecast and 0.6ppts weaker than our March Market Outlook base case. The unemployment rate is also higher in the second half of 2026, reaching 4.7% in Q4.**
- **There have been no changes to our forecasts for interest rates and exchange rates.**
- **There are risks on both sides of this base case, depending on the progress of negotiations between US/Israel and Iran, the status of the Strait of Hormuz and whether there is further damage to energy infrastructure.**
- **Additional detail on our revised base case forecasts will be released on Monday.**

Cliff Notes: a fork in the road

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

In Australia, February's CPI came in slightly below expectations, headline inflation ticking down to 3.7%yr from 3.8%yr, while trimmed mean inflation held steady at 3.3%yr. Constructive elements of the detail included: dwelling purchases posting its smallest increase in ten months; a below-expectations annual increase in education prices; and lower childcare costs, the result of increased take-up of the Childcare Subsidy following the introduction of the three-day guarantee. There were also a couple of upside surprises, however, most notable were clothing and some food-related categories. The impact from electricity rebates has also now abated, bringing reported electricity prices back into line with actual prices.

The net result is that the inflationary pulse Australia was experiencing prior to the current surge in fuel prices was marginally softer than expected. While fuel will undoubtedly boost headline inflation from March, the trimmed mean pulse is likely to hold above but near the top of the target range through 2026. For a detailed view of how each state's economy is positioned to weather coming headwinds, see our latest Coast-to-Coast report.

The Q1 Westpac-ACCI Survey of Industrial Trends meanwhile showed that the long-awaited improvement in manufacturing conditions is finally materialising, the Actual Composite rising to 59.3 – a strong expansionary read. Underpinning the move was a surge in output growth, another solid lift in new orders and, encouragingly, a rise in employment and overtime. Note though, this survey was largely completed before the onset of the Middle East conflict. Australian manufacturing's acute exposure to fuel and energy costs is likely to see a partial reversal in Q2 and a degree of apprehension over the outlook.

"the trimmed mean pulse is likely to hold above but near the top of the target range through 2026"

Offshore, data released was inconsequential. The preliminary March S&P Global PMIs for the major advanced economies unsurprisingly pointed to softer momentum and heightened inflationary pressures in the initial weeks of the Middle East conflict. FOMC members Bowman and Waller meanwhile were focused more on labour market weakness than inflation, though they felt it prudent to wait-a-while to assess the implications of the current conflict for price risks.

Regarding the state of the Middle East conflict, equity markets took solace in news the White House had been involved in initial intermediated discussions over the path to a ceasefire, although uncertainty over who in Iran's leadership will take the lead in any formal negotiations has kept participants guessing on both the timing and potential success of these initiatives. The overnight extension of the 5-day reprieve for Iranian energy infrastructure by President Trump to 10 days is a positive step towards fruitful negotiations, however.

Iran's military actions have also been relatively contained this week, and safe passage through the Strait of Hormuz has been provided to several ships, consistent with prior communications from Iranian officials that ships operated by countries not involved in the conflict are free to transit if Iran's conditions are met. It is not clear if this includes a payment of up to US$2 million per shipment as previously telegraphed. If Iranian authorities hold to this guidance, China's fleet and vessels from other non-aligned countries such as Malaysia (a key supplier to Australia who reportedly reached an agreement with Iran overnight) could slowly reduce the current global deficiency in crude and LNG supply, even if the US/Israel and Iran continue military actions against one another. The key risk remains the intentional, or unintentional, destruction of production and/or logistics facilities, turning a temporary loss of supply into an enduring one. The duration of this conflict and lost supply matters a great deal to both the persistence of global consumer inflation and the policy outlook.

Inflation up, growth down, OCR on hold?

Kelly Eckhold
Chief Economist NZ

As the war has drawn on and evidence of disruption to the NZ economy has accumulated, we have had another cut at estimating the impact on the economic outlook. The hit to growth and employment looks significant and inflation is set to move well above the top of the RBNZ's target range. The RBNZ noted an intention to try and look through the direct impacts of the shock. But there is significant uncertainty around the outlook so we should be humble around what we know now about how things will develop over the year ahead.

The Iran war is expected to significantly crimp the previously expected recovery.

The Iran war has not moderated in the last couple of weeks and in some sense the pressure on the New Zealand economy has intensified as early hopes of a fast resolution and quick return to global economic normality have waned. We can't say with any certainty when the conflict will end. But we now think it will be at least another month until we see tangible signs of an end to the war with the possibility of more normal service to the global oil markets returning.

Crude oil prices have remained volatile but refined fuels markets have continued to tighten as the flow of crude oil around the world has now been constrained for more than three weeks. Damage to infrastructure in the Persian Gulf has accumulated which means that even if the war ended tomorrow, the path to normality will take some time. As refined fuels spreads are wider and capacity at the Asian refineries where we and our trading partners access fuel has declined, pressure has built on the economic outlook.

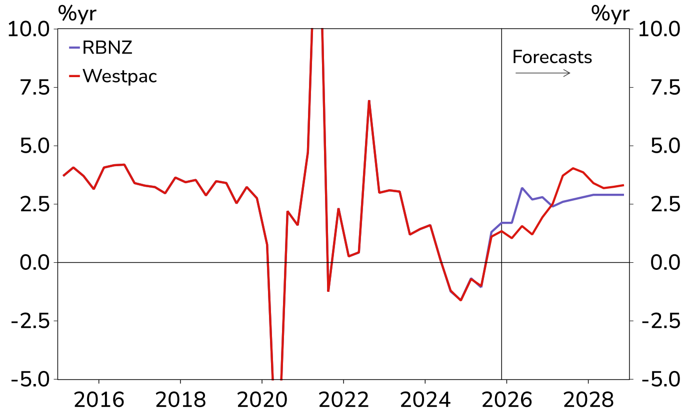
We continue to assume that the Iran war eases in around a month and that crude oil and refined fuels prices will gradually ease over the rest of 2026. Crude oil prices are expected to drop back to around pre-war levels by the start of 2027. However, refined fuels prices remain elevated compared to levels seen a few months ago as we expect some element of a war risk premium to remain, and damage to infrastructure may take time to repair. That means inflation in New Zealand will likely linger at elevated levels for much of this year.

We think that the Iran War will have damaged confidence in the household and business sectors and will be prompting changes in spending and investment plans given people have no real idea on when conditions will improve. We saw an early read on this with the monthly consumer confidence survey for March released today. This showed that consumer confidence dropped sharply over the month and currently likely sits some distance below the average level of confidence reported for the month overall.

We've pulled down our forecast for GDP growth over 2026 to 1.9% (from 2.8% previously). In the very near term, we've pencilled in a fall in quarterly GDP of 0.4% in the June quarter. That's mainly due to an expected drop in household spending in response to increases in living costs and related falls in consumer confidence. Those headwinds will not be significantly offset by the Government's support package targeting lower income households.

We also expect weakness in investment spending over the coming year, with some businesses likely to delay major capital spending in response to the increased uncertainty about the outlook for economic growth and the near-term downturn in demand that may be experienced in some industries. We will learn more about this when the NZIER QSBO is available on 21 April.

GDP growth forecasts



Source: RBNZ, Macrobond, Westpac Economics

The most direct impact of the shock on exports will be felt in the tourism sector, with the recent strong growth in international arrivals likely to be reversed for a period due to a combination of flight disruptions, much higher airfares and perhaps consumer reluctance to travel long distances. The economic impact will be partly mitigated by fewer New Zealanders choosing to holiday abroad. At this stage we have made no major changes to our forecasts for the volume of merchandise trade. As is usually the case in New Zealand, weaker global growth is likely to manifest mostly through lower prices, rather than lower volumes.

Growth is expected to pick up again next year as the eventual fall in oil prices boosts households' disposable incomes. However, the recovery in investment spending is expected to be more gradual, with businesses likely to remain cautious about major capital expenditure until they are confident that the recovery is entrenched.

We anticipate that the shock will put paid to the recovery in the labour market we had expected over 2026. We now expect unemployment will rise from 5.4% currently to 5.6% in the middle of this year, before easing back gradually. With a softer outlook for economic growth, businesses are likely to remain cautious about taking on new staff, and some firms may shed workers.

With weakness in activity and the jobs market, the overall level of wage inflation is expected to remain moderate in the near term (though some workers with specialised skills may be able to negotiate larger pay increases in response to the rise in living costs). Longer term, as the economy recovers, we are likely to see demands for larger cost-of-living adjustments to wages as workers try to claw back the loss in their purchasing power.

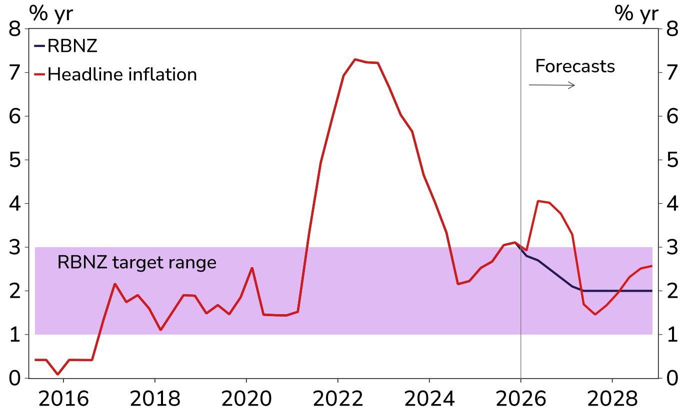
Another sector that won't likely see an improvement over 2026 now is the housing market. The hit to the household sector coming from the increase in fuel costs combined with the weaker labour market is likely to be a kick in the guts of a housing market that was already just treading water. We now expect house prices to fall around 1% over 2026 as buyers step back from the market. Further ahead, we expect a return to more moderate rates of house price growth.

Our revised economic outlook also has implications for the Government's fiscal position. As growth is expected to be weaker then so also will be government revenue. Spending is also likely to be higher than expected as unemployment rises. The Government's fuel package announced this week will have just a modest impact given the Government indicates that the roughly $370 m cost implied will fit within current operating allowances. The bottom line is that the OBEGALx deficit in 2026/27 is now likely to be around $4bn larger than we had forecast previously. A surplus might still be achievable in 2029/30, but the cumulative deficit over the forecast period would be around $7-8bn higher than forecast previously, with net core Crown debt peaking at around 46% of GDP. Treasury's forecasts are likely to be more pessimistic than our own with implications for the forecast bond programme.

There are consequential implications for the inflation outlook. We now expect that inflation will peak at 4.1% in mid-2026, and that it will remain above 3% through the first quarter of 2027. That is up sharply from our previous forecasts, which assumed a peak in inflation of around 3.2%. And importantly, inflation is set to remain well above the levels the RBNZ had previously assumed for all of 2026. Higher refined fuels costs are the key driver here. There are direct impacts on petrol and diesel costs, but also indirect impacts through a broad range of goods and services.

When oil prices do eventually drop back, inflation is expected to fall to levels that are lower than we previously assumed (a pattern that is often seen in the wake of oil price spikes). In our updated projections, inflation is expected to briefly dip below 2% in late-2027, before rising back up to around 2.3% further ahead.

CPI inflation forecasts



Source: RBNZ, Macrobond, Westpac Economics

The extent of the current uplift in inflation signals upside risk for inflation expectations and business price setting behaviour. In the near term, any uplift in output prices will be moderated by the softness in activity. However, when activity recovers, we expect some firms will attempt to rebuild margins, while workers are likely to ask for larger wage increases to offset the erosion of their purchasing power.

This leaves the question on how the RBNZ will respond to the significant change in circumstances. The RBNZ is "exquisitely skewered" between a much higher inflation outlook and the likelihood and increasing excess capacity amid weak growth.

Governor Breman released a speech this week discussing the framework the RBNZ expects to follow. Breman's emphasis was that policy would be focused on medium term inflation pressures, and that for now there's little evidence these have lifted by enough to justify near-term OCR hikes. Breman indicated that rate hikes will only be brought forward should there be an accumulation of evidence suggesting that the oil shock is generating second-round pressures on wages and prices, leading to higher inflation over the medium term. Those second-round effects – which are more likely to occur if the conflict is prolonged – are unlikely to be evident for some time.

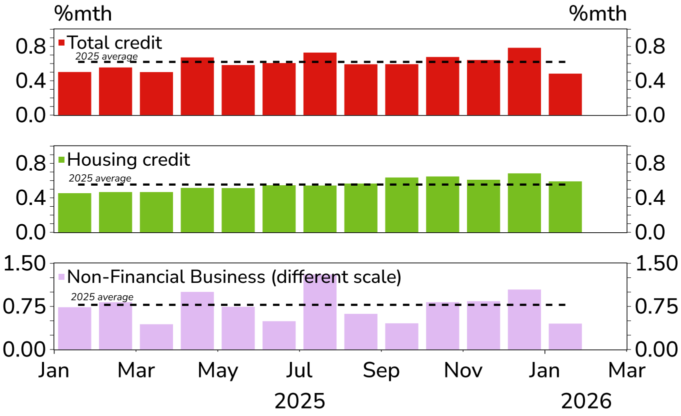
AUS: Feb Private Sector Credit (%mth)

Mar 31, Last: 0.5 Westpac f/c: 0.6
Mkt f/c: 0.6, Range: 0.2 to 0.7

Private sector credit growth reached 0.8%mth in December but eased to 0.5%mth in January, surprising to the downside as all major credit components reported weaker growth.

We expect growth to rebound to 0.6%mth in February – slightly below the average pace of 0.7%mth recorded in the second half of last year. The RBA cash rate increase in early February and weaker consumer sentiment at the start of the year are likely to affect credit flows with a lag. With house prices remaining firm, though somewhat lower than last year, credit growth should be supported for now. However, inflationary pressures and rising interest rate expectations from higher energy prices represent a downside risk for Q2 and beyond.

Private sector credit growth



Source: RBA, Macrobond, Westpac Economics

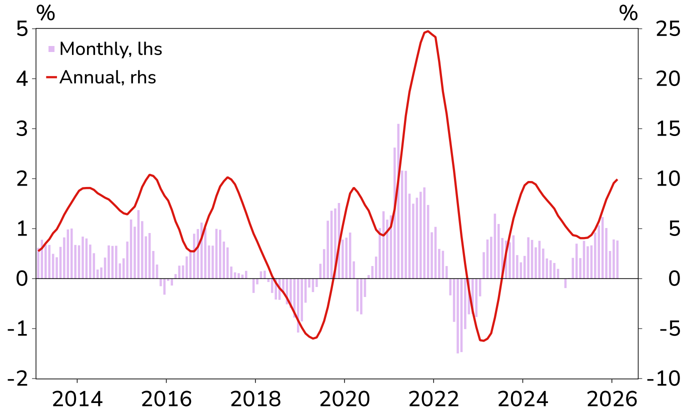
AUS: Mar Cotality Home Value Index (%mth)

Apr 1, Last: 0.6, Westpac f/c: 0.7

The Cotality home value index rose 0.6% in Feb following a 0.7%mth in Jan, a 0.4% rise in Dec and 0.9-1.2%mth gains through Aug-Nov. Despite the softer tone in recent months, annual growth still lifted, rising to 9.6%yr. The detail shows a significant slowing in price growth and a pull-back in turnover in the Sydney and Melbourne markets but a much more muted slowing effect in other markets.

The daily measure points to a similar 0.7% rise for the March month, the detail again showing softness in Sydney and Melbourne but robust gains in Brisbane, Adelaide and Perth. Weekly auction activity – which is only a meaningful guide to conditions in Sydney and Melbourne – suggests there has been a further weakening in these markets into month-end.

Cotality home value index



Source: Cotality Australia, Macrobond, Westpac Economics

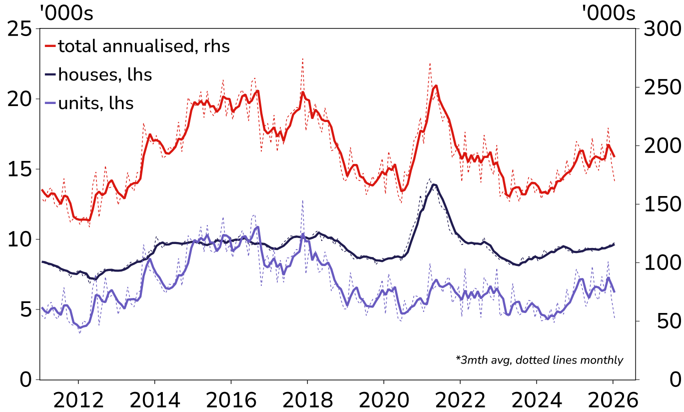
AUS: Feb Dwelling Approvals (%mth)

Apr 1, Last: –7.2, Westpac f/c: 5.0
Market f/c: 6.0, Range: -1.0 to 14.0

Dwelling approvals have been very choppy over the last six months, most recently falling 7.2% in Jan after a 14.9% drop in Dec unwound 15.9% jump in Nov, the swings driven by high rise. On a rolling 3mth avg basis, growth has slowed back to 0.9%qtr. As always, housing data needs to be treated with more caution over the December-January low period.

Feb is likely to see some 'pop' higher for headline approvals, with high rise approvals coming off an 18mth low. The segment can be very hard to predict but is generally slower to respond to cyclical shifts, suggesting what we have seen recently is more likely to be lumpiness-related noise than a response to the changed interest rate environment. On balance we expect a 5% rise in total approvals with upside risks if high rise returns to average level of the last two years.

Approvals ascent re-emerges



Source: ABS, Macrobond, Westpac Economics

AUS: Q1 Job Vacancies (%qtr)

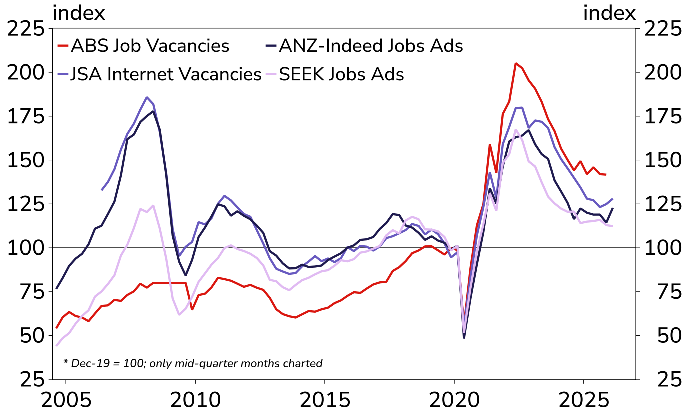
Apr 2, Last: –0.2, Westpac f/c: 3.0

Job vacancies fell by just –0.7k (–0.2%) between Aug and Nov, a smaller decline than expected. Over 2025, job vacancies have been broadly steady around 40% higher than pre-COVID levels.

While vacancies have been stable, the size of the labour force has continued to grow, seeing the vacancy rate nudge lower. The unemployment rate also gradually rose over last year. Overall, the labour market is operating around the Beveridge curve, suggesting the relationship between vacancies and unemployment is behaving broadly as expected.

Monthly partial indicators were on the stronger side in recent months, suggesting the official ABS stock measure of vacancies will likely bounce higher in Q1. We have pencilled in a lift of 3.0% for the quarter.

Partial indicators point to a lift in Q1



Source: ABS, Jobs & Skills Australia, ANZ-Indeed, SEEK Australia, Macrobond, Westpac Economics

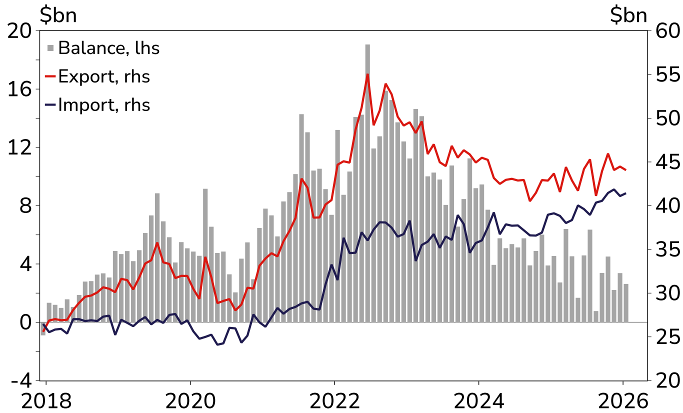
AUS: Feb Goods Trade Balance ($bn)

Apr 2, Last: 2.6, Westpac f/c: 1.5
Mkt f/c: 2.9 Range: 1.5 to 3.5

Lower exports and higher imports saw the monthly goods trade surplus narrow to $2.6bn in January. We expect this trend to continue in February – we forecast a further narrowing to $1.5bn.

Major commodities are likely to report lower exports, as adverse weather has disrupted production and shipments. Coal production in Queensland appears to have been particularly affected. Iron ore shipments are also likley to decline. Significant AUD appreciation is set to weigh on exports of other goods. On the imports side, January saw large monthly changes across major categories, but overall imports increased by a relatively modest 0.8%mth. We may see notable compositional shifts again, although total imports are expected to be only slightly lower.

Goods trade balance



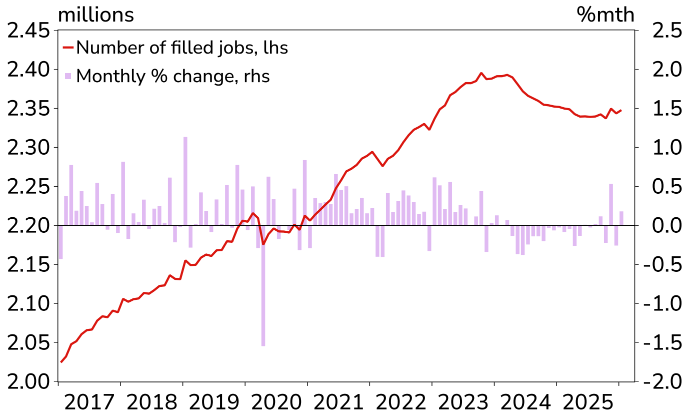
Source: ABS, Macrobond, Westpac Economics

NZ: Feb Monthly Employment Indicator (%mth)

Mar 30, Last: 0.2, Westpac f/c: 0.6

The MEI is likely to add to the evidence that the New Zealand economy was regaining momentum prior to the Iran conflict. The weekly snapshots provided by Stats NZ are now running slightly higher than a year earlier, having been down year-on-year since mid-2024. For the February month, we expect an initial print of around +0.6%, although both that and the 0.2% rise in January are likely to be revised down a little in subsequent releases.

Monthly Employment Indicator



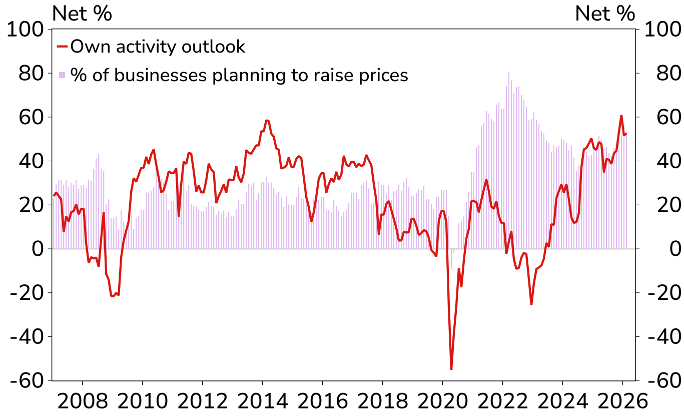
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Mar ANZ Business Confidence (index)

Mar 31, Last: 59.2

ANZ's monthly survey is likely to show a sharp deterioration in business sentiment since the start of the Iran conflict – and as with their consumer confidence survey, it will have worsened over the course of the month, with the headline result only capturing the average. The surge in fuel prices will no doubt send inflation expectations and pricing intentions higher as well; the big question for the RBNZ will be around the potential for ongoing rounds of price increases, given that businesses' own customers are also facing a significant hit to their purchasing power.

Business confidence high prior to Iran conflict



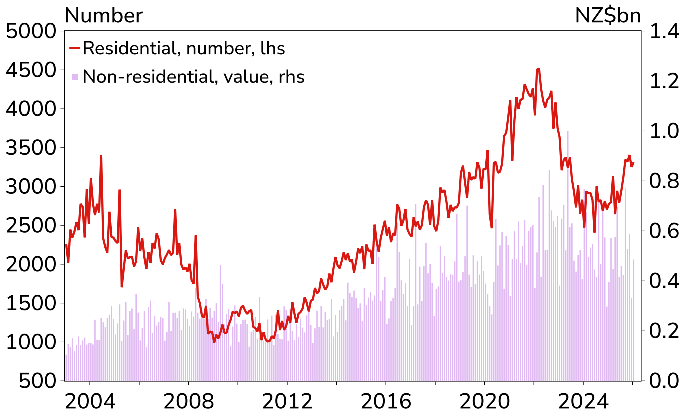
Source: ANZ, Macrobond, Westpac Economics

NZ: Feb Building Consents (%mth)

Apr 1, Last: 1.9, Westpac f/c: 5.0

Following a modest 2% rise in January, we're forecasting a 5% rise in dwelling consent numbers in February. That's in part due to an expected bounce in multi-unit consents after softness in January. More notably, if we smooth through the monthly swings, the total number of homes consented over the past 12 months has been trending higher and looks set to reach its highest level since 2023. But while this is encouraging, the lift in consents does pre-date the Middle East conflict and related increases in uncertainty around the economic outlook. We expect those factors will weigh on new construction over the year ahead.

Building consents picking up



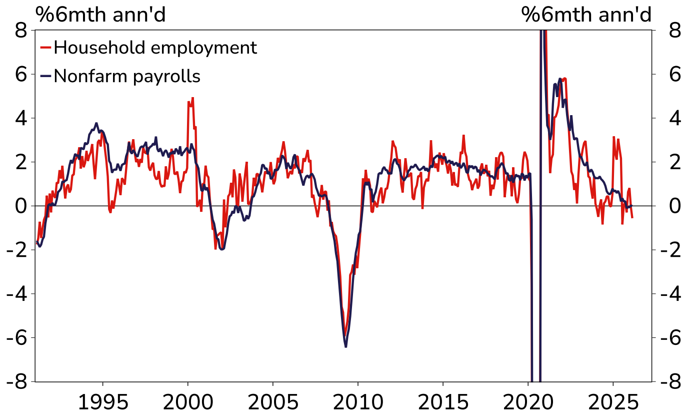
Source: Stats NZ, Macrobond, Westpac Economics

US: Mar employment report

Apr 3, payrolls, Last: -92k, WBC f/c: 70k, Mkt f/c: 51k
Apr 3, U/E rate, Last: 4.4%, WBC f/c: 4.4%, Mkt f/c: 4.4%

The US labour market surprised to the downside in February, with 92k jobs lost in the month and a 69k cumulative downward revision to December and January. Nonfarm payrolls employment rose by just 13k per month over the year to February, a marked step down from 89k the year prior. If this trend rate of growth continues for employment, the unemployment rate will edge up towards 5.0% through the remainder of the year. Given the comparatively low level of participation, there is also a risk of a step change in the unemployment rate any given month. For the FOMC, downside risks will have to be balanced against inflation pressures.

Labour demand has stalled



Source: BLS, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 30							
NZ	Feb	Monthly Employment Indicator	%mth	0.2	–	0.6	Signs of picking up prior to the Iran conflict.
Eur	Mar	Economic Confidence Indicator	index	98.3	–	–	Economic sentiment set to drop on weak consumer confidence.
US	Mar	Dallas Fed Manufacturing survey	index	0.2	–	–	Volatile, but pointing to a tentative improvement in 2026.
		Fedspeak	–	–	–	–	Williams.
Tue 31							
Aus	Mar	RBA Minutes	–	–	–	–	Will provide more colour around the 5–4 split vote to hike.
	Feb	Private Sector Credit	%mth	0.5	0.6	0.6	With house prices firm credit growth should see support.
NZ	Mar	ANZ Business Confidence	index	59.2	–	–	An immediate response to the Iran conflict and fuel prices.
Jpn	Mar	Tokyo CPI	%ann	1.6	1.6	–	Core inflation decelerating but still sustainable.
	Feb	Jobless Rate	%	2.7	2.7	–	Labour market is softening marginally.
	Feb	Industrial Production	%mth	4.3	–2.0	–	Very strong start to the year for factory output.
Chn	Mar	NBS Manufacturing PMI	index	49.0	50.2	–	Factory activity softened as expected ...
	Mar	NBS Non–Manufacturing PMI	index	49.5	50.0	–	... post-LNY data will provide a clearer read.
Eur	Mar	HICP Inflation	%ann	1.9	2.7	–	ECB now forecasting inflation above target in 2026.
UK	Q4	GDP	%qtr	0.1	–	–	Final estimate.
US	Jan	S&P/CS Home Price Index	%mth	0.5	–	–	Stabilising but on fragile footing as confidence falters.
	Mar	Chicago PMI	index	57.7	–	–	Middle East conflict brings apparent exuberance into question.
	Mar	Conf. Board Consumer Confidence	index	91.2	88.0	–	Confidence revisiting pandemic- and tariff-era lows.
	Feb	JOLTS Job Openings	000s	6946	–	–	Labour market is not a source of inflationary pressure.
		Fedspeak	–	–	–	–	Goolsbee.
Wed 01							
Aus	Feb	Dwelling Approvals	%mth	–7.2	6.0	5.0	Volatile high-rise approvals to come off an 18-month low.
NZ	Feb	Building Permits	%mth	1.9	–	5.0	Consent issuance to continue trending higher.
Jpn	Q1	Tankan Large Manufacturers	index	15	16	–	How will manufacturers react to offshore risks?
Chn	Mar	RatingDog Manufacturing PMI	index	52.1	52.5	–	Suggests export-facing businesses are faring better.
Eur	Feb	Unemployment Rate	%	6.1	6.1	–	Continues to surprise and hit new record lows.
US	Mar	ADP Employment Change	000s	63	40	–	Been on the firmer side of official payrolls figures of late.
	Feb	Retail Sales	%mth	–0.2	0.4	–	Momentum decelerating but consistent with growth at trend.
	Mar	ISM Manufacturing	index	52.4	52.3	–	Echoing the positive signals from regional surveys recently.
		Fedspeak	–	–	–	–	Musalem.
World	Mar	S&P Global Manufacturing PMI	index	–	–	–	Final estimate for Japan, Europe, UK and US.
Thu 02							
Aus	Feb	Goods Trade Balance	$bn	2.6	2.9	1.5	Adverse weather disruptions to major commodity exports.
	Q2	Job Vacancies	%qtr	–0.2	–	3.0	Monthly indicators point to a bounce in Q1.
US	Feb	Trade Balance	US$bn	–54.5	–66.0	–	Volatile as companies adapt to tariffs.
		Initial Jobless Claims	000s	–	–	–	Still at a low level versus history.
Fri 03							
Chn	Mar	RatingDog Services PMI	index	56.7	53.7	–	Suggests Lunar New Year holiday spend was firm.
US	Mar	Nonfarm Payrolls	000s	–92	51	70	Jobs growth revised lower, strikes also temporarily weighing.
	Mar	Unemployment Rate	%	4.4	4.4	4.4	Constrained labour supply keeps unemployment low ...
	Mar	Average Hourly Earnings	%mth	0.4	0.3	–	... and wages growth fairly robust.
	Mar	ISM Services	index	56.1	–	–	Shaky confidence puts services activity boom at risk.
World	Mar	S&P Global Services PMI	index	–	–	–	Final estimate for Japan, US.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (27 Mar)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.35	4.35	4.35	4.35	4.35	4.35	3.85	3.60	3.60
90 Day BBSW	4.30	4.40	4.40	4.40	4.45	4.45	4.30	3.80	3.70	3.70
3 Year Swap	4.80	4.60	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
3 Year Bond	4.82	4.62	4.47	4.42	4.37	4.27	4.12	3.97	3.82	3.62
10 Year Bond	5.11	4.95	4.90	4.85	4.80	4.75	4.75	4.70	4.70	4.70
10 Year Spread to US (bps)	70	65	55	45	35	25	20	10	5	0
United States										
Fed Funds	3.625	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375
US 10 Year Bond	4.42	4.30	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70
New Zealand										
Cash	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.54	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.52	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.76	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	34	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (27 Mar)	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.6909	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5761	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	159.64	156	155	154	152	150	148	146	144	142
EUR/USD	1.1542	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3343	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.9128	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.1963	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.5	0.8	0.5	0.1	0.3	0.4	0.5	0.5	–	–	–	–
%yr end	2.1	2.6	2.6	1.9	1.7	1.4	1.4	1.8	2.6	1.4	2.0	2.8
Unemployment rate %	4.3	4.3	4.2	4.3	4.5	4.7	4.7	4.6	4.3	4.7	4.5	4.4
Wages (WPI) %qtr	0.8	0.8	0.8	0.8	0.8	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.2	3.2	3.2	3.2	3.2	3.4	3.2	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.4	2.1	0.7	0.3	0.5	0.6	–	–	–	–
%yr end	3.2	3.6	4.1	5.5	4.8	4.5	3.6	2.1	3.6	4.5	2.4	2.7
CPI Trimmed Mean %qtr	1.0	0.9	0.9	1.0	1.0	0.9	0.8	0.7	–	–	–	–
%yr end	3.0	3.4	3.5	3.9	4.0	4.0	3.8	3.5	3.4	4.0	3.0	2.7

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	-0.4	0.5	1.0	1.4	0.8	–	–	–	–
Annual avg change	-0.6	0.2	0.6	1.2	1.3	1.5	1.9	2.4	-0.3	0.2	1.5	3.5
Unemployment rate %	5.3	5.4	5.4	5.6	5.6	5.4	5.1	4.9	5.1	5.4	5.4	4.6
CPI %qtr	1.0	0.6	0.8	1.6	1.0	0.4	0.3	0.1	–	–	–	–
Annual change	3.0	3.1	2.9	4.1	4.0	3.8	3.3	1.7	2.2	3.1	3.8	1.7

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February CPI – Core inflation is less than expected

#inflation #australia #rba #economicbulletinsaustralia


By Justin Smirk
Senior Economist, Westpac

13:10 March 25 2026

Share

The softest update on core inflation in just over half a year suggests that inflationary pressures were moderating at the start of 2026, prior to the Middle East conflict.

- Headline inflation was flat at 3.7%yr which was softer than expected.
- Core inflation was also softer than expected rising just 0.2% in the month helped by a softer than expected print from dwellings.

- This all predates the current crisis in the Middle East. Westpac now expects headline inflation to be around 5½%yr, on a monthly basis, by mid-year. However, this is mostly due to a surge in fuel prices with core inflation showing a more modest lift to around 3½%yr over the same period of time.

The February CPI rose 3.7%yr, marginally below both Westpac's and market expectations of 3.8%yr. On a monthly basis, CPI was flat, undershooting Westpac's near-cast of 0.1%mth, reflecting broader-than-expected softness across several expenditure classes. The standout was housing, with dwelling prices rising just 0.1%mth, alongside weakness in household contents & services.

February is seasonally soft. On a seasonally adjusted basis, CPI rose 0.2%mth, leaving the annual pace unchanged at 3.7%yr. Given the short history of the new monthly CPI series, we continue to expect revisions to seasonal factors as the ABS refines its estimates. There were no revisions to February's seasonal adjustment this month (0.24ppt).

CPI Item	Monthly CPI Indicator Feb-25 % mth	Dec-25 % mth	Jan-26 % mth	Feb-26 % mth	WBC fcs Feb-26 % mth
Food	-0.1	0.4	0.5	-0.1	0.1
of which, bread & cereals	-1.2	0.9	0.2	-1.2	-0.9
of which, meat & seafood	0.0	0.6	0.2	0.5	-0.1
of which, dairy & related products	-0.7	0.7	-0.4	-0.6	-0.8
of which, fruit & vegetables	-0.5	-0.2	0.8	0.0	1.0
of which, food products nec	-1.3	0.9	1.1	-1.1	-1.3
of which, non-alcohol beverages	2.1	-0.3	0.6	0.7	1.8
Alcohol & tobacco	0.9	0.0	0.9	0.2	0.7
of which, Alcohol	1.0	-0.2	1.3	0.1	0.7
of which, Tobacco	0.7	0.5	-0.1	0.4	0.6
Clothing & footwear	3.2	-0.8	2.9	2.6	2.3
of which, garments	3.9	-1.3	2.2	2.9	2.9
Housing	-0.1	0.1	2.2	0.3	0.4
of which, Rents	0.5	0.2	0.3	0.4	0.4
of which, House purchases	-0.1	0.2	0.4	0.1	0.5
of which, Electricity	-2.5	0.0	18.5	1.0	0.9
of which, Gas & other fuels	0.2	0.0	0.0	-0.1	0.1
H/hold contents & services	1.0	1.0	-3.6	0.9	1.3
Health	0.1	-0.4	2.7	0.1	0.1
Transportation	0.6	0.0	-0.7	-0.7	-1.2
of which, auto fuel	1.2	-0.5	-3.2	-3.4	-4.5
Communication	0.7	-0.4	-0.1	0.2	0.6
Recreation	-3.4	7.4	-3.4	-3.0	-3.1
of which, holiday travel	-7.6	15.9	-7.6	-6.3	-6.9
Education	0.0	0.0	0.0	4.5	5.4
Financial & insurance services	0.0	0.5	0.3	0.1	0.0
CPI: All groups %mth	**0.1**	**1.0**	**0.4**	**0.0**	**0.1**

The Monthly Trimmed Mean (TM) rose 3.3%yr in February, slightly below Westpac's and the market's 3.4%yr expectation. The annual pace is unchanged from January, which was revised down from 3.4%yr, leaving TM inflation at 3.3%yr for three consecutive months.

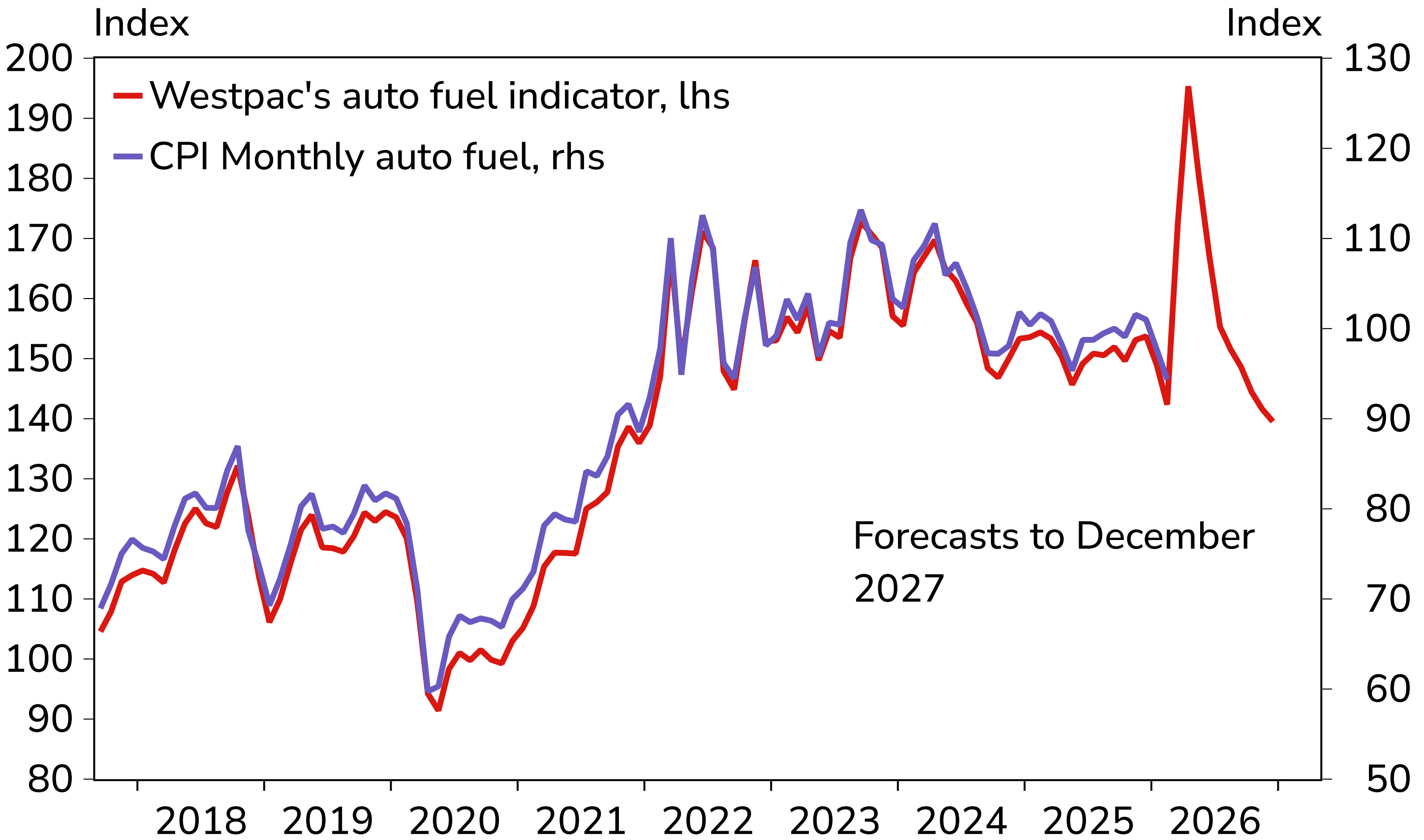
In monthly terms, the TM increased 0.2%mth, a touch softer than Westpac's 0.3% forecast. At two decimal places, the rise was 0.20%, compared with our estimate of 0.34%. After printing 0.3%mth for six consecutive months to January, February signals some easing in underlying inflation momentum.

This data predates recent Middle East developments and the sharp lift in crude oil and fuel prices. We currently estimate March CPI at 1.0%mth, with headline inflation peaking around 5½%yr by mid-2026, driven largely by fuel.

By contrast, the trimmed mean, which will exclude fuel volatility, is projected to rise 0.4%mth in March, with the annual pace peaking closer to 3½%yr in mid-2026.

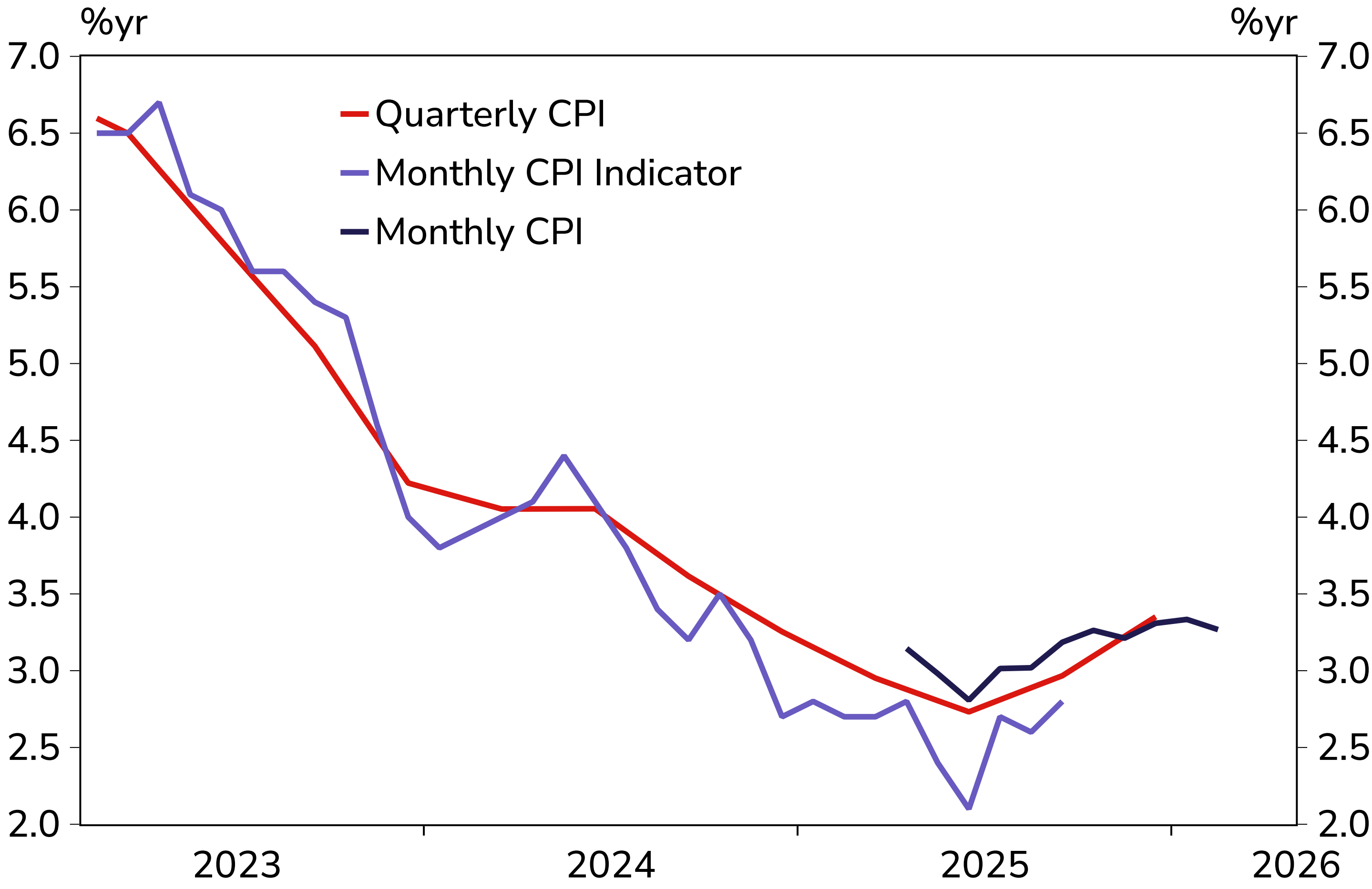
Auto fuel prices

Pump price average for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

February Monthly CPI in more detail

A major surprise was the modest 0.1% increase in new dwellings, the smallest monthly increase since the flat print in May 2025. Rents were as expected lifting 0.4% in the month while the slightly stronger rise in electricity was offset by an unexpected –0.1% fall in gas & other household fuels. We are surprised by this moderation in dwelling price inflation as we had been expecting an increase of between 0.3% and 0.4% for the next few months.

The ABS notes that the 1.0% increase in electricity in February takes electricity as reported in the CPI back to where it would be without the EBRF rebates. As such, going forward there is no further unwinding of those cost-of-living assistance boosting headline inflation.

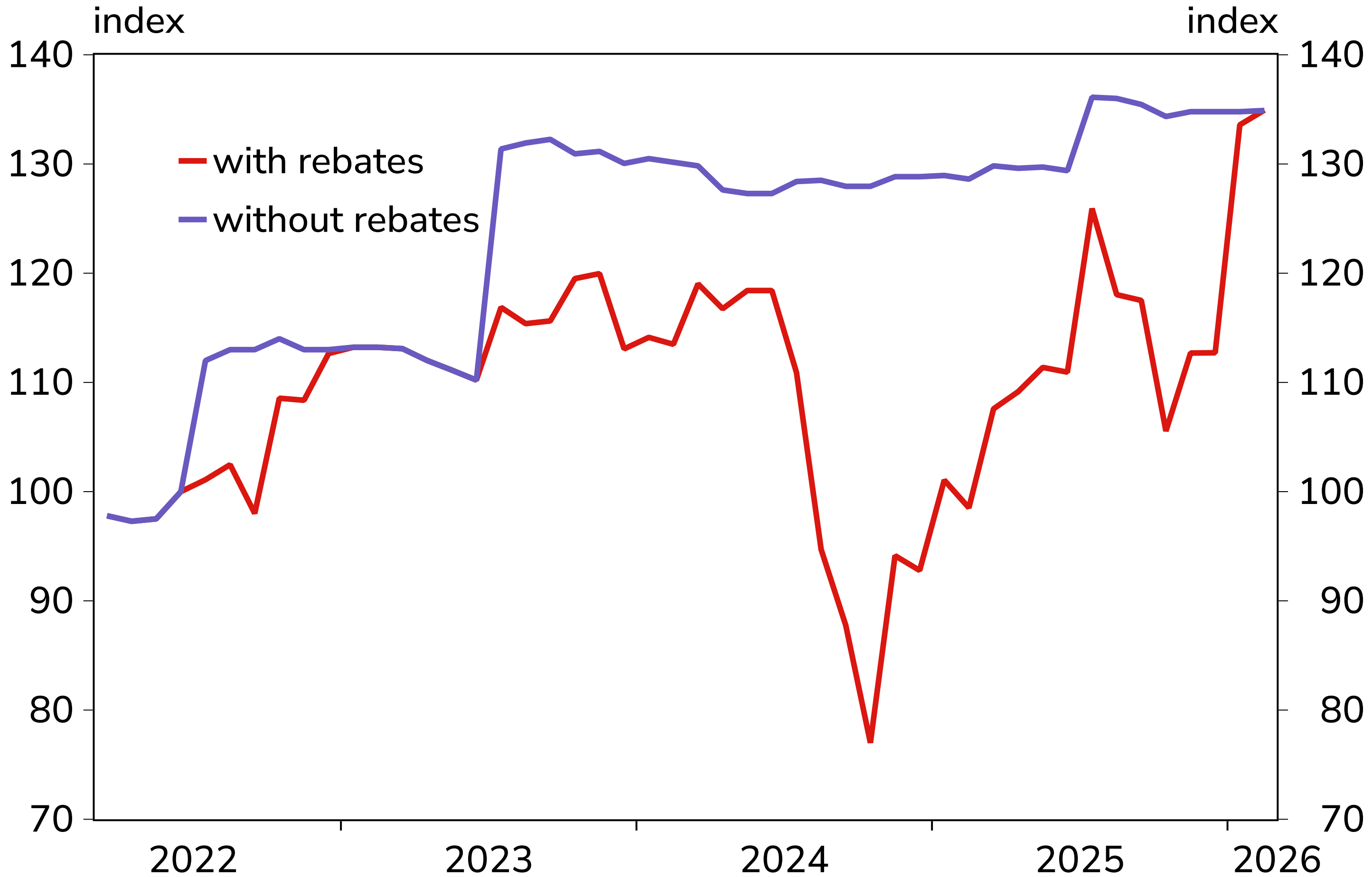
Also surprising to the downside was a more modest 4.5% increase in education versus the 5.4% expected. Secondary education rose a chunky 6.6% but preschool & primary lifted a more modest 4.4% while tertiary education was up just 2.2%.

Holiday travel & accommodation fell –6.3% in February, a bit less than our estimate with the –7.4% fall in domestic travel being offset by a smaller –5.1% decline in international travel.

As in January, a key upside surprise was in clothing & footwear which gained 2.6% in the month compared to our estimate of 2.3%. Most of this discrepancy was due to women's garments (3.5%) and footwear (5.5%) and footwear for men (3.1%).

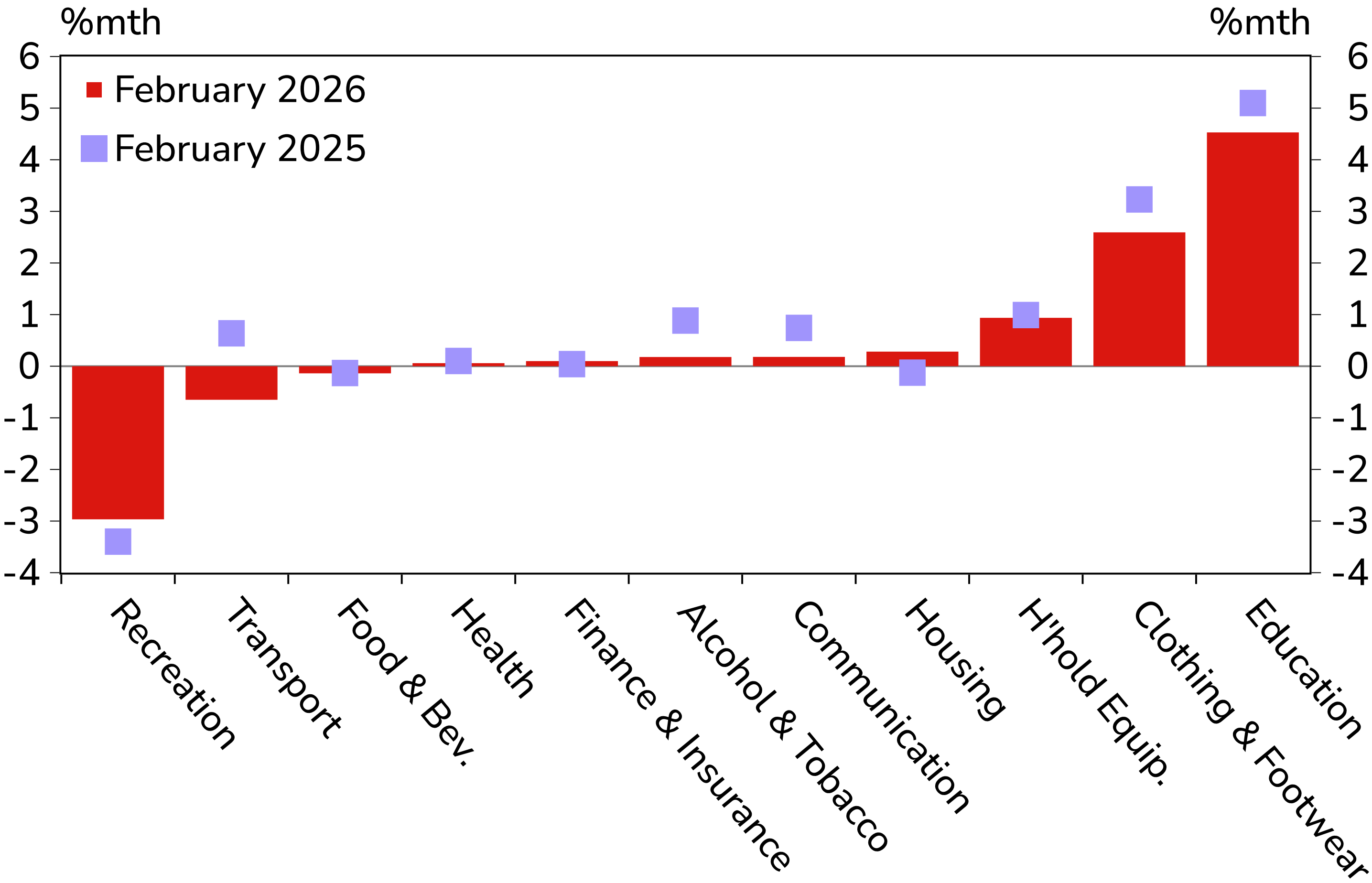
The modest 0.9% increase in furnishings, household equipment & services was due to falling prices for glassware & tableware (–1.8%), cleaning & maintenance products (–0.8%) and childcare (–1.6%). The recent fall in childcare prices reflects the Child Care Subsidy activity test was replaced resulting in more families getting access to subsidised Childcare from the 5th of January reducing out of pocket expenditure for some families.

Electricity is back to pre rebate levels



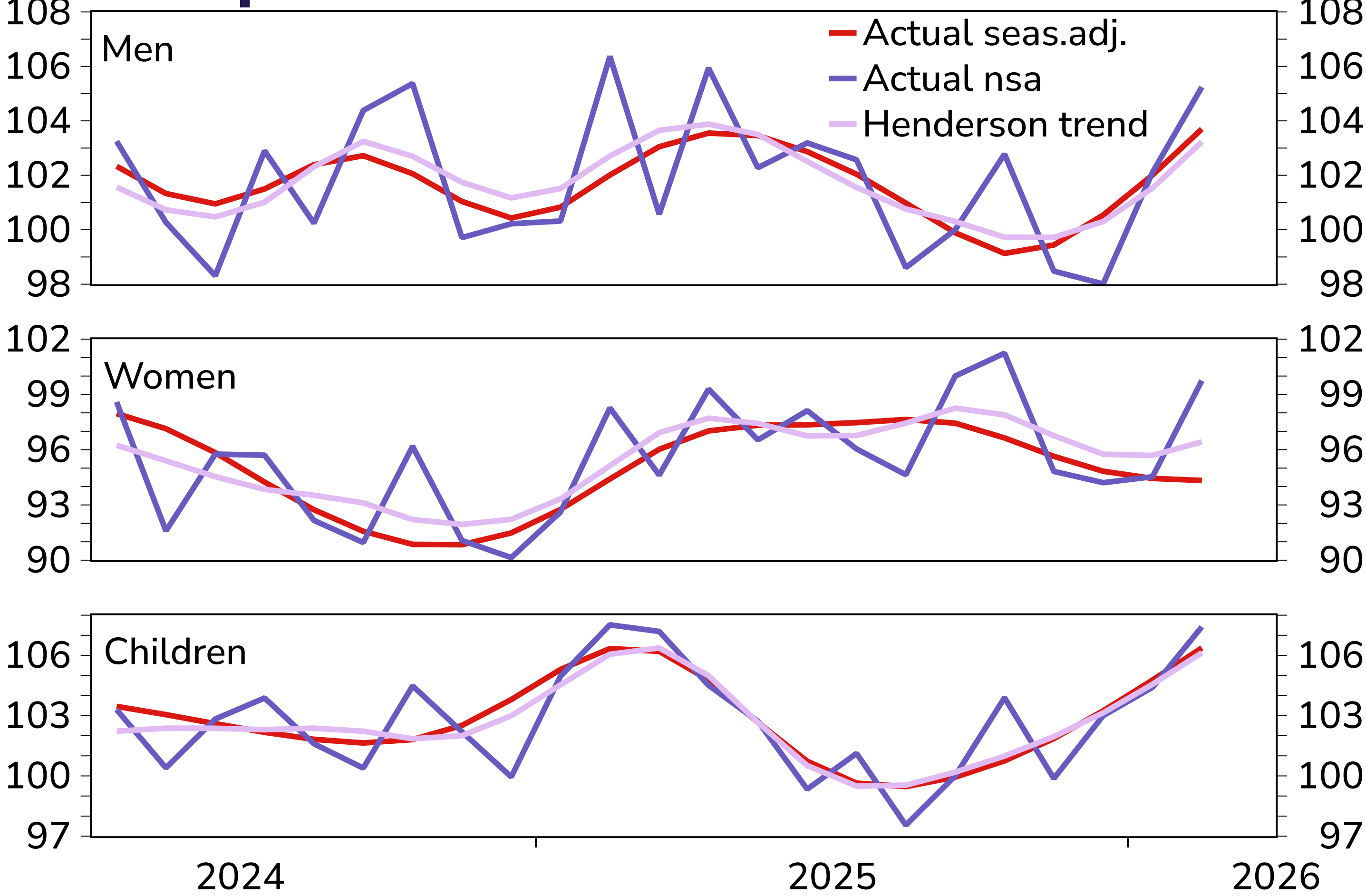
Source: ABS, Macrobond, Westpac Economics

Monthly CPI by Category



Source: ABS, Macrobond, Westpac Economics

Footwear prices (index)



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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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Cliff Notes: fear overwhelms

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke, Ryan Wells & Mantas Vanagas

10:04 March 20 2026

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Key insights from the week that was.

Among the plethora of major central bank decisions this week, the RBA stood out from the pack, delivering a 25bp rate hike which took the cash rate to 4.10%. The widely expected decision was finely balanced in the end, the 5-4 split vote coming down to a difference in opinion over timing – the minority believing they had the opportunity to assess more data before acting.

In the press conference, Governor Bullock made clear that the decision was driven by the Board's assessment of the starting point for inflation, which is "already too high", and capacity developments, "the labour market ha[ving] tightened a little recently and [with] capacity pressures… slightly greater than previously assessed". The conflict in the Middle East is also adding to near-term price pressures and uncertainty. In this week's video update, Chief Economist Luci Ellis discusses these points in more detail. We continue to expect another 25bp hike in May, and the market sees a risk of further tightening before year end.

The RBA decision provided an interesting backdrop for the latest labour force survey which surprised on two fronts. Firstly, employment growth was firmer than expected, the 48.9k gain in February lifting the three-month average growth pace above its likely nadir, from 1.0%yr to 1.3%yr. Increased participation also lifted the unemployment rate to 4.3% in February after two months at 4.1%. We previously flagged the risk of a turnaround in participation lifting the unemployment rate. Assuming this turn persists in coming months, December/ January will be seen as a display of weaker labour force participation temporarily compressing the unemployment rate rather than a meaningful 're-tightening'.

Before moving offshore, it is worth emphasising that, while higher fuel prices were "not the reason" for the RBA's March rate hike, the Middle East conflict was assessed to have skewed the risk profile for inflation to the upside, both in the near-term via global energy prices and "further out" should supply capacity be impacted, or inflation expectations increase materially. While the RBA have not yet modelled the impact in detail, our scenario analysis and deep-dive into Australia's exposure to energy price shocks provides the structure around our current thinking.

In the US, while the FOMC recognised the increase in global uncertainty since January, their focus remained on the domestic economy. GDP growth is now expected to be 2.4% in 2026 (prev. 2.3%) and, more significantly, 2.3% in 2027 (prev. 2.0%), then 2.1% in 2028 (prev. 1.9%), growth benefitting from productivity versus a stronger labour market. The consequences for inflation of tariffs and the Middle East conflict are, in contrast, seen as temporary, annual inflation revised up 0.3ppts to 2.7% for 2026 but only edged higher in 2027 to 2.2% and unchanged at 2.0% in 2028. Capacity constraints evident in the US economy (housing and energy are prime examples) continue to get little airplay in the FOMC's communications, so too the potential for second-round effects from energy and other commodities impacted by the conflict in the Middle East (fertiliser being an example). Inflation expectations are clearly not a concern for the FOMC, in stark contrast to the RBA's view for Australia.

The Committee's base case for the stance of policy therefore remains one cut in 2026 and another in 2027 to 3.1%, which is now members' best estimate of the US' longer run neutral rate. Westpac continues to believe that the FOMC are, at most, likely to cut once more in this cycle. The lack of private sector job creation spoken about in the press conference points to the timing of this cut being sooner than later. We have this decision pencilled in for June, albeit with low conviction. The more critical point here though is that, with economic and fiscal capacity constrained as well as potential upside risks from tariffs and commodities, term US yields are likely to rise from here.

The global energy price shock meanwhile brought greater unity among policymakers at the Bank of England. Having previously voted to cut Bank Rate by the narrowest of margins in February, in March the Monetary Policy Committee unanimously opted to maintain the policy rate at 3.75%. Both the policy summary and meeting minutes emphasised the ongoing conflict in the Middle East and its repercussions for UK inflation. The committee remains particularly vigilant for any indications of domestic inflationary pressures emerging through second-round effects, though they also acknowledged the implications for inflation from weakening economic activity. In the minutes, MPC members noted that the policy stance has shifted from considering rate cuts towards the possibility of hikes, with concerns about higher inflation outweighing downside risks to growth. Even the most dovish members now appear open to the prospect of a rate hike. Fearing the duration of the current conflict, the market has priced more than two hikes before year end.

Across in Europe, the ECB Governing Council unanimously voted to keep interest rates unchanged, with the deposit rate remaining at 2.0%. The policy statement highlighted that the outlook has become considerably more uncertain due to the Middle East conflict, yet maintained a balanced tone, noting that “monetary policy is well positioned to navigate this uncertainty”. President Lagarde argued during the press conference that the economy is in a stronger position compared to the 2022 energy shock, and the ECB is better equipped to assess the impact of shocks.

Previously, the ECB expected euro area inflation to be slightly below 2% in 2026 and 2027. Now, the ECB forecasts inflation to peak at 3.1%yr in Q2 and average 2.6%yr for this calendar year. However, these projections are based on financial market variables, including oil and gas prices, as of 11 March which current spot prices materially exceed. Helpfully, the ECB also released stress scenarios that assume more severe energy supply disruptions via the Strait of Hormuz and higher energy prices.

In their ‘adverse scenario’ – which appears closer to current experience – the ECB sees inflation at 3.5%yr for this year, while in the ‘severe scenario’ the ECB’s modelling suggest it could rise as high as 4.4%yr and remain well above target through 2027. The impact on GDP growth appears to be more manageable, but still significant. Under the baseline scenario, 2026 growth is expected to be 0.9%yr, down from 1.2%yr forecast three months ago. It would be 0.3ppt and 0.5ppt lower in the adverse and severe stress scenarios, respectively. As for inflation, under severe, the hit to GDP extends through 2027. The lesson to take from this scenario analysis is not the point estimates themselves, but rather that the impact on both inflation and growth of a loss of supply becomes increasingly non-linear as the duration of the crisis lengthens, as second round and confidence effects are felt. The risk to inflation expectations means that most central banks will initially be focused on price uncertainty near term, then the downside risks for activity as they appear – more so in 2027 than 2026.

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19 March 2026

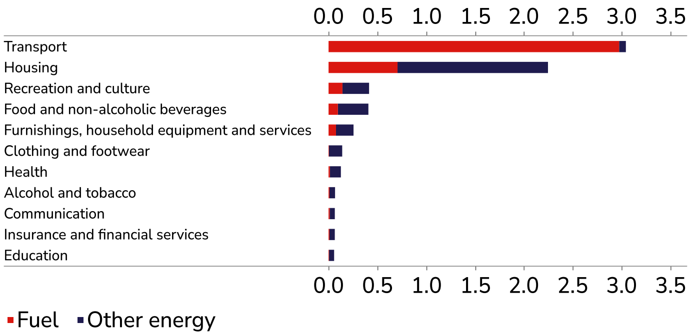
ENERGY PRICES, COSTS AND INFLAITON

Key points

- Energy is far more embedded in domestic activity than direct usage suggests. Once indirect supply chain impacts are captured, around 40 cents of energy inputs are required for every $1 of output in the non tradable (or domestic) sector. **The extent of this exposure explains why energy shocks can have broad, persistent inflationary effects.**
- Not all production flows to households. Some is exported or invested so the pass through to CPI inflation is smaller but significant. We estimate that around 7 cents of energy is embedded in every $1 of spending on the CPI basket. This captures the energy used in producing items in the CPI basket and is over and above imported fuel.

Energy intensity levels by CPI group

Energy usage per dollar of spending on the CPI basket in cents



Source: ABS, Macrobond, Westpac Economics

- Thus far Australia's exposure to the conflict in the Middle East has been concentrated in oil and fuel. If that remains the case, CPI impacts should be roughly half those seen under a broad based energy shock. Higher prices would need to spread to gas and electricity, as in 2022, for inflation risks to be more persistent and harder to unwind. The wholesale gas price cap ($12 per gigajoule) now in place helps to limit this risk.

Why energy shocks matter more than you think

Pat Bustamante
Senior Economist

The supply disruptions to oil and gas stemming from the conflict in the Middle East are unambiguously negative. Higher energy prices erode real incomes and slow spending, even before confidence effects are felt. But the economic impact will be highly uneven, varying across countries, sectors and industries. To identify where domestic cost pressures and inflation risks are most likely to surface, we estimate energy intensity levels across the Australian economy.

Direct vs indirect energy use

ABS input-output tables allow us to trace not only direct energy use, but the much larger, and often overlooked, indirect energy embedded in supply chains.[1]

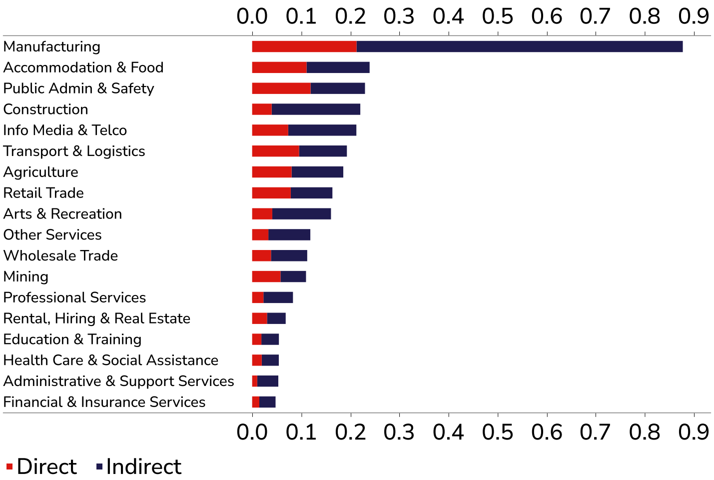
Direct energy is energy consumed on site, such as electricity used by a food packaging manufacturer or diesel burned by farm machinery. Indirect energy captures the upstream energy required to produce intermediate inputs, such as the energy used to make cement, steel and glass for construction, or the fuel used to transport goods.

For most industries, direct usage captures only a small share of the true energy exposure. What matters far more is indirect energy usage, or the energy embodied in intermediate inputs such as materials, transport and upstream production.

Construction illustrates this clearly. While direct energy use is modest, total energy intensity jumps to more than five times that level once steel, cement, transport and other inputs are included. In total, around 22 cents of energy inputs are required for every $1 of construction output or value added, **making construction one of the economy's most sensitive sectors for energy price shocks.**

Energy intensity levels by sector

Energy usage per dollar of gross value added in cents



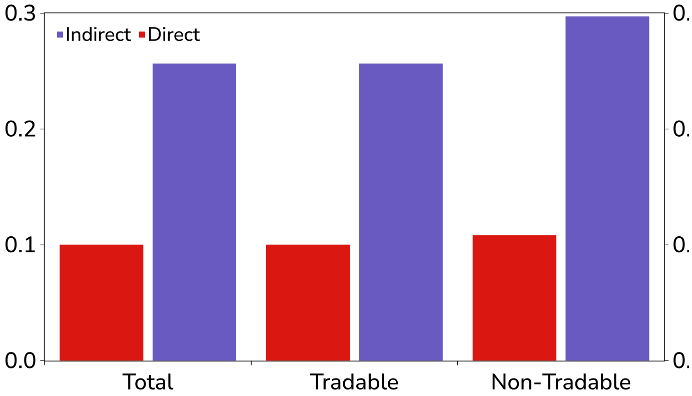
Source: ABS, Macrobond, Westpac Economics

Tradable vs nontradable sectors

Perhaps more surprisingly, the non tradable sector is more energy intensive than the tradable sector. Despite being dominated by labour intensive market services, total energy use is higher once indirect, supply chain energy is taken into account. This exceeds the energy required to produce tradables, which are concentrated in goods production and the export of rural and non rural commodities, including energy intensive long distance transport.

Energy intensity levels by sectors

Energy usage per dollar of gross value added in cents



Source: ABS, Macrobond, Westpac Econom

In the non tradable sector, producing one dollar of output requires around 40 cents of energy inputs, with roughly 30 cents driven by indirect energy embedded in supply chains. In the tradable sector, energy intensity is lower, at around 27 cents per dollar of output, with about 17 cents attributable to indirect exposure.

In both cases, **indirect channels dominate, highlighting how energy price shocks propagate through supply chains rather than appearing only in energy intensive industries**. Note, our tradable and non tradable classifications follow the ABS convention, where an industry is defined as tradable if imports or exports exceed 10 per cent of domestic supply.

[1] The use of ABS input-output tables assumes production processes, consumption patterns and preferences remain fixed. If an energy shock is prolonged, businesses and households may respond to relative price changes, altering the CPI impacts estimated here. This needs to be weighed against the fact that the analysis is confined to domestic production and excludes energy embedded in imported final consumption goods, such as fuel or motor vehicles. As a result, the estimates should be interpreted as capturing domestic cost-pass-through channels rather than the full exposure of the CPI basket to global energy prices.

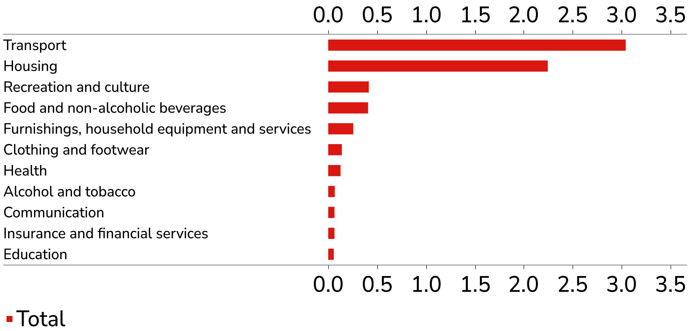
What does this mean for households?

Input–output analysis tells us where cost pressures are created. Consumer spending patterns and the CPI tell us where those pressures are likely to show up for households.

We estimate that total energy exposure embedded in consumer prices is around 7 cents per dollar of spending on the CPI basket. **Importantly, this reflects how pressures on the production side of the economy flow through to consumer prices, it excludes the direct impact of higher refined fuel import prices on the CPI.** The chart shows the main pass through to the CPI is via Transportation (such as freight, taxi and air fares, and other logistical services), Housing (including the cost of constructing a dwelling and dwelling maintenance) and Recreational and cultural services (such as entertainment, leisure, accommodation, subscriptions).

Energy intensity levels by CPI group

Energy usage per dollar of spending on the CPI basket in cents



Source: ABS, Macrobond, Westpac Economics

While 7 cents per dollar of spending on the CPI basket may sound modest, it is significant. For example, a broad based 20% increase in energy costs over two quarters, consistent with past energy price spikes, including early 2022 following Russia's invasion of Ukraine, could add close to 0.8 percentage point to year ended inflation, solely through the energy embedded in domestic production of CPI items.

The good news is that risks appear far more contained, for now

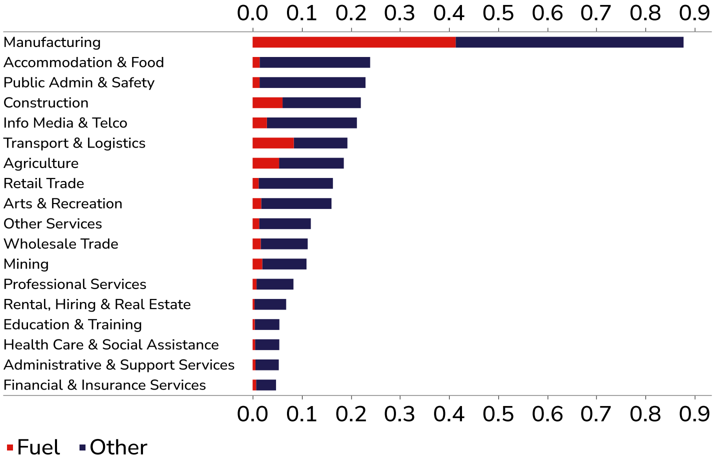
This exercise is based on a broad definition of energy, encompassing not only fuel but also domestic electricity and gas. At present, we expect the conflict in the Middle East to have a material impact on fuel prices, but a more muted effect on domestic gas and electricity prices than was seen in 2022. As a result, the inflationary impact should be smaller than under a broad based energy price shock.

Fuel is also less central to the domestic production process than energy more broadly. While it is an important input for manufacturing, transport, construction, and agriculture, fuel plays a more limited role across much of the non tradable, services dominated sector.

As a result, the inflationary impulse should be smaller and less persistent than under a broad based energy shock, with effects concentrated in sectors with high direct fuel use, rather than energy inputs more generally. In this scenario, a 20% increase in fuel costs over two quarters, broadly consistent with forecasts published in the February Westpac Market Outlook, could add close to 0.35 percentage point to year ended inflation, via fuel embedded in the domestic production of CPI goods and services.

Energy intensity levels by sector

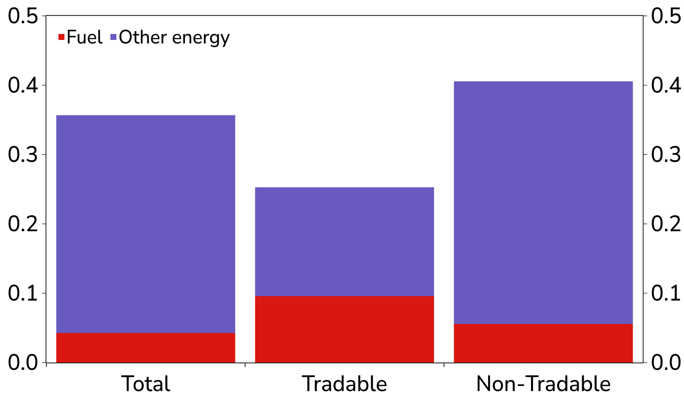
Energy usage per dollar of gross value added in cents



Source: ABS, Macrobond, Westpac Economics

Energy intensity levels by sectors

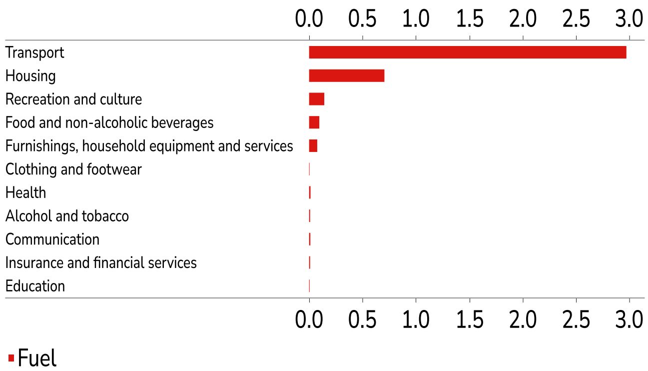
Energy usage per dollar of gross value added in cents



Source: ABS, Macrobond, Westpac Economics

Fuel intensity levels by CPI group

Energy usage per dollar of spending on the CPI basket in cents



Source: ABS, Macrobond, Westpac Economics

However, if the shock were to feed more broadly into electricity and gas costs, the indirect channel would become far more powerful. In that case, the economic impact would grow materially, with larger and more persistent flow on to both activity and inflation, similar to the experience in 2022.

Bottom line

Energy matters not just where it is consumed directly, but where it is embedded throughout the economy. That is why energy shocks tend to have broad and persistent macroeconomic effects. If the fallout from the conflict in the Middle East remains largely confined to fuel, the inflationary impact should be smaller, but still meaningful. A more widespread energy shock would pose significantly greater risks to the inflation outlook.

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18 March 2026

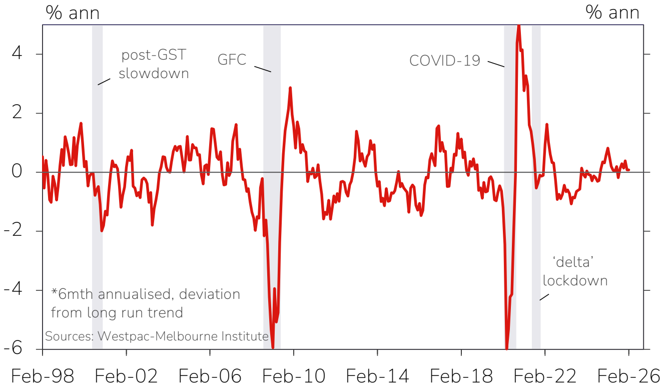
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate unchanged at +0.08% in February.
- Softer financial components offset by higher commodity prices, hours worked.
- Rate hikes, Middle East conflict starting to impact but likely more to come.

Westpac-MI Leading Index



Leading Index holds slightly above trend for now

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, held at +0.08% in February, unchanged from January but down from more firmly positive reads seen late last year.

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

Momentum remains a touch above average in early 2026 but is likely to drop in coming months as the RBA's latest interest rate hike impacts and we start to see the fuller effects from conflict in Middle East. Westpac expects the combination to see Australia's GDP growth slow to 2% this year, a material weakening on last year's 2.5% pace and one that we see as below trend for Australia. While there are some hints of this in the February Leading Index read, these signals should become much clearer as we move into March and April.

The Leading Index growth rate has moderated slightly from +0.13% in September to a +0.08% in February. The main drivers have been developments in financial markets. A cooling sharemarket has seen the contribution from the S&P/ASX200 component shift from +0.19ppts to flat with current readings suggesting this will become an outright drag on the Index growth rate next month.

Over the same period, the yield spread – the gap between the 10yr government bond rate and the 90-day bank bill rate – has widened at a slower pace, mainly reflecting the impact of RBA rate hikes on short term interest rates. The shift has taken 0.09ppts off the growth rate since September. With the RBA hiking interest rates by another 25bps at its March meeting, this also looks set to become an outright drag next month.

The main offsetting positive since September has been from commodity prices. A 13% rally in prices in USD terms since September has been muted somewhat by a higher AUD but still resulted in a 4% gain in local currency terms that has added 0.13ppts to the Leading Index growth rate. The sharp spike in global energy prices (and relatively steady AUD) since February 28 means this component is likely to make a more positive contribution next month.

Across the remaining components, the contribution from aggregate hours worked has added 0.09ppts a well but the contributions from other components have been essentially unchanged since September. Developments around both interest rates and the Middle East conflict also look likely to have a more pronounced drag on these components in the next month, particularly those based on Consumer Sentiment.

The Reserve Bank Monetary Policy Board (MPB) next meets on May 4–5. While the latest Leading Index update shows momentum still slightly positive, the detail suggests its susceptible to a weakening near term as the RBA's March interest rate hike and the full effects of the conflict in the Middle East come through. For the MPB, the main focus will continue to be on inflation and how the balance of risks – between slower growth and higher energy costs – affect inflation expectations. Another 25bp rate hike looks likely to come at the May meeting.

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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Cliff Notes: a time for caution

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke & Ryan Wells

08:58 March 13 2026

Share

Key insights from the week that was.

The Westpac-MI Consumer Sentiment Index lifted modestly in March, up 1.2% to 91.6, still an outright pessimistic reading. The latest survey was in the field over the week to March 7, so it only captured part of this week's conflict escalation in the Middle East. Responses over the last three days of the sample were closer to an index read of 84 – a deeply pessimistic result which emphasises just how dynamic sentiment is to the situation offshore.

Underscoring the slightly firmer headline result in the month was an improvement in current assessments of family finances (+1.8%), buyer sentiment (4.9%) and the economy in five years' time (2.4%). This more than offset the flat and weaker readings on the year-ahead view for family finances and the economy respectively. Many of the near-term nerves stem from consumers' hawkish mortgage rate expectations, with over 75% of respondents anticipating a lift over the next twelve months.

Recent commentary from RBA officials has continued to emphasise the Board's pessimistic view on supply capacity, concerns over the persistence of domestic inflation and their desire to keep price expectations anchored. Now facing an additional threat from offshore in the form of surging energy prices, the RBA is likely to feel compelled to act without delay. Responding to these developments, Chief Economist Luci Ellis this week announced a revision to our RBA profile, adding an additional 25bp rate hike next week at the March meeting, in addition to the hike already forecast for May. This cumulative 50bps of tightening will take the cash rate back to its post-pandemic peak of 4.35%. The breadth, intensity and persistence of inflation risks stemming from the conflict are highly uncertain and skewed upward near term, but should fade through 2027, allowing a reversal of 2026's rate hikes from late-2027.

Before moving offshore, it is worth noting that the latest NAB business survey suggests optimism among Australian businesses largely evaporated in February. Not only does this coincide with weaker reads on consumer sentiment, but also a somewhat softer start to the year for trading conditions and profitability. This foreshadows a plateauing of economic growth after an acceleration to near trend over the course of 2025.

In the US, current assessments and expectations of the labour market were re-written last Friday. US nonfarm payrolls surprised to the downside in February, declining 92k in the month. Gains over the prior two months were also revised down 69k, leaving the 3-month average at just 6k versus 50k in January, and the 12-month average around 13k compared to 89k the year prior. The unemployment rate also ticked up to 4.4% despite a 0.1ppt decline in the participation rate. More significantly, annual revisions reduced the participation rate and employment-to-population ratio by 0.4ppts and 0.5ppts respectively. These outcomes point to US labour supply being constrained by both structural and cyclical factors, risking economic growth into the medium term.

That said, to date economic growth has held up, as highlighted by January retail sales – the control group up 0.3%. Housing starts also showed some life in January, up 7.2%, although the level of starts is still 18% below its 2022 peak and permits are weaker still, 28% below. The run up in US term interest rates into the end of the week meanwhile signals growing risks for US inflation and financial conditions. This is particularly troubling for the US, coming at a time when labour market data warrants further easing. Our full updated expectations for the US economy and interest rates can be found in March Market Outlook, out today on Westpac IQ.

Finally to China. The January/February trade data highlighted the continued success of China's rapid expansion of high-tech manufacturing and related infrastructure, exports up 21.8% year-to-date and the trade surplus near its widest mark at $213.6bn (for the two months combined). Persistent strength in the trade surplus is a core expectation of our China forecasts. But, after near 20% gains for several years, growth in external demand must slow. As discussed in the last edition of Cliff Notes and March Market Outlook, pro-active stimulus is necessary to accelerate domestic demand from H1 2026. The greater the risk for global energy prices and supply, the more pressing the need for action.

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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Cliff Notes: a fork in the road

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke & Ryan Wells

09:15 March 27 2026

Share

Key insights from the week that was.

In Australia, February's CPI came in slightly below expectations, headline inflation ticking down to 3.7%yr from 3.8%yr, while trimmed mean inflation held steady at 3.3%yr. Constructive elements of the detail included: dwelling purchases posting its smallest increase in ten months; a below-expectations annual increase in education prices; and lower childcare costs, the result of increased take-up of the Childcare Subsidy following the introduction of the three-day guarantee. There were also a couple of upside surprises, however, most notable were clothing and some food-related categories. The impact from electricity rebates has also now abated, bringing reported electricity prices back into line with actual prices.

The net result is that the inflationary pulse Australia was experiencing prior to the current surge in fuel prices was marginally softer than expected. While fuel will undoubtedly boost headline inflation from March, the trimmed mean pulse is likely to hold above but near the top of the target range through 2026. For a detailed view of how each state's economy is positioned to weather coming headwinds, see our latest Coast-to-Coast report.

The Q1 Westpac-ACCI Survey of Industrial Trends meanwhile showed that the long-awaited improvement in manufacturing conditions is finally materialising, the Actual Composite rising to 59.3 – a strong expansionary read. Underpinning the move was a surge in output growth, another solid lift in new orders and, encouragingly, a rise in employment and overtime. Note though, this survey was largely completed before the onset of the Middle East conflict. Australian manufacturing's acute exposure to fuel and energy costs is likely to see a partial reversal in Q2 and a degree of apprehension over the outlook.

Offshore, data released was inconsequential. The preliminary March S&P Global PMIs for the major advanced economies unsurprisingly pointed to softer momentum and heightened inflationary pressures in the initial weeks of the Middle East conflict. FOMC members Bowman and Waller meanwhile were focused more on labour market weakness than inflation, though they felt it prudent to wait-a-while to assess the implications of the current conflict for price risks.

Regarding the state of the Middle East conflict, equity markets took solace in news the White House had been involved in initial intermediated discussions over the path to a ceasefire, although uncertainty over who in Iran's leadership will take the lead in any formal negotiations has kept participants guessing on both the timing and potential success of these initiatives. The overnight extension of the 5-day reprieve for Iranian energy infrastructure by President Trump to 10 days is a positive step towards fruitful negotiations, however.

Iran's military actions have also been relatively contained this week, and safe passage through the Strait of Hormuz has been provided to several ships, consistent with prior communications from Iranian officials that ships operated by countries not involved in the conflict are free to transit if Iran's conditions are met. It is not clear if this includes a payment of up to US$2 million per shipment as previously telegraphed. If Iranian authorities hold to this guidance, China's fleet and vessels from other non-aligned countries such as Malaysia (a key supplier to Australia who reportedly reached an agreement with Iran overnight) could slowly reduce the current global deficiency in crude and LNG supply, even if the US/Israel and Iran continue military actions against one another. The key risk remains the intentional, or unintentional, destruction of production and/or logistics facilities, turning a temporary loss of supply into an enduring one. The duration of this conflict and lost supply matters a great deal to both the persistence of global consumer inflation and the policy outlook.

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24 March 2026

FEBRUARY CPI PREVIEW AND ANALYSIS

Pre-dates the conflict but sets the tone for core inflation

Key points

- We estimate a 0.1% rise in the February CPI holding the annual pace flat at 3.8%yr, the third month in a row at this pace.
- Our February Trimmed Mean estimate is 0.3% (0.34%) holding the annual pace at 3.4%yr. The six-month annualised pace lifts from 3.4%yr to 3.6%yr.
- Our current estimate for the March quarter CPI is 1.2%qtr lifting the annual pace from 3.6%yr to 3.9%yr.
- Westpac's preliminary estimate for the March quarter Trimmed Mean is 0.9%qtr (0.88%) with the annual pace lifting from 3.4%yr to 3.5%yr.
- The conflict in the Middle East had Westpac revise our forecasts with headline inflation now peaking at 4.6%yr in the June quarter before easing back to 3.9%yr by end 2026.
- Core inflation is forecast to lift to 3.6%yr at the June quarter 2026 and not returning to 3.4%yr till end 2026.

Breakdown: Monthly CPI

	Feb-25	Dec-25	Jan-26	Feb-26
	Mth	Mth	Mth	Mth fcs
Item	% mth	% mth	% mth	% mth
Food	**-0.1**	**0.4**	**0.5**	**0.1**
of which, bread & cereals	-1.2	0.9	0.2	-0.9
of which, meat & seafood	0.0	0.6	0.2	-0.1
of which, dairy & related prod.	-0.7	0.7	-0.4	-0.8
of which, fruit & vegetables	-0.5	-0.2	0.8	1.0
of which, food products nec	-1.3	0.9	1.1	-1.3
of which, non–alcohol bev.	2.1	-0.3	0.6	1.8
Alcohol & tobacco	**0.9**	**0.0**	**0.9**	**0.7**
of which, alcohol	1.0	-0.2	1.3	0.7
of which, tobacco	0.7	0.5	-0.1	0.6
Clothing & footwear	**3.2**	**-0.8**	**2.9**	**2.3**
of which, garments	3.9	-1.3	2.2	2.9
Housing	**-0.1**	**0.1**	**2.2**	**0.4**
of which, rents	0.5	0.2	0.3	0.4
of which, house purchases	-0.1	0.2	0.4	0.5
of which, electricity	-2.5	0.0	18.5	0.9
of which, gas & other fuels	0.2	0.0	0.0	0.1
H/hold contents & services	**1.0**	**1.0**	**-3.6**	**1.3**
Health	**0.1**	**-0.4**	**2.7**	**0.1**
Transportation	**0.6**	**0.0**	**-0.7**	**-1.2**
of which, auto fuel	1.2	-0.5	-3.2	-4.5
Communication	**0.7**	**-0.4**	**-0.1**	**0.6**
Recreation	**-3.4**	**7.4**	**-3.4**	**-3.1**
of which, holiday travel	-7.6	15.9	-7.6	-6.9
Education	**0.0**	**0.0**	**0.0**	**5.4**
Financial & insurance services	**0.0**	**0.5**	**0.3**	**0.0**
CPI: All groups	**0.1**	**1.0**	**0.4**	**0.1**

Sources: ABS, Westpac Banking Corporation

- Our forecasts are based on the scenario with the Strait of Hormuz closed for one month. There is a clear risk to this scenario as the conflict continues.

February is a seasonally soft month

Justin Smirk
Senior Economist

January highlighted some persistence ...

In January the CPI gained 3.8% in the year, a touch stronger than Westpac's estimate of 3.6%yr and the market estimate of 3.7%yr. In the month, the CPI lifted 0.4%, stronger than Westpac's published near-cast of 0.1% on the back of stronger than expected gains in electricity and garments & footwear offset somewhat by a larger than expected fall in holiday travel and a smaller than expected rise in health.

January is seasonally a soft month with the seasonally adjusted CPI lifting 0.5% in January. Due to the short history of the new monthly expenditure class series, we expect to see ongoing revisions to the CPI seasonal factors with the ABS fine tuning the process as they gather more data. In the December release the ABS estimated a seasonal impact of 0.3% in January, this was reported as 0.1% in the January release. Remembering that the Trimmed Mean is seasonally adjusted, this suggests we should expect to see ongoing revisions to the Monthly Trimmed Mean until the seasonal adjustment process is more mature.

The Monthly Trimmed Mean (TM) measure was up 3.4% in the year to January, Westpac and the market had estimated 3.3%yr, which was up a touch from 3.3%yr in December.

The TM lifted 0.3% in the month of January, on par with Westpac's estimate of 0.3% with the higher than expected annual pace due to revisions. The monthly TM has printed 0.3%mth in five of the last six months. This month expenditure classes trimmed off the top included electricity, insurance, garments, child care, veterinary services and take away & fast foods. Trimmed off the lower bound in January included automotive fuel, vegetables and other non-durables.

For more information on the January Monthly CPI see "January CPI – Sparks and sneakers behind the lift".

... February, before the war.

The Israel/US assault on Iran began in the morning of the 28th of February. As such, the recent surge in oil prices occurred too late to have an impact on the February CPI. In fact, fuel prices were still falling through February and we estimate they were down –4.5% in the month adding to the seasonal –6.9% fall in holiday accommodation & travel. Offsetting this is the 5.4% increase in education, 0.4% increase in rents, a 0.5% gain in dwellings, a 0.9% increase in electricity and a 2.9% gain in garments.

Westpac is forecasting a 0.1% increase in February which will hold the annual pace flat at 3.8%yr. Just like January, February is a seasonally softer month, our 0.1%mth estimate translates to 0.3% in seasonally adjusted terms.

Breakdown Monthly CPI Indicator

	Nov-25	Dec-25	Jan-26	Feb-26
	Mth	Mth	Mth	Mth fcs
Item	% yr	% yr	% yr	% yr
Food	**3.3**	**3.4**	**3.1**	**3.3**
of which, bread & cereals	1.2	1.5	0.9	1.3
of which, meat & seafood	3.9	4.4	3.9	3.8
of which, dairy prod.	3.2	2.9	2.6	2.5
of which, fruit & vegetables	2.7	4.0	1.4	0.0
of which, food products	3.6	3.2	2.9	0.0
of which, non–alcohol bev.	4.7	4.0	3.4	3.0
Alcohol & tobacco	**4.3**	**4.9**	**5.0**	**4.8**
of which, alcohol	1.0	1.8	2.3	2.1
of which, tobacco	12.2	12.5	11.8	11.8
Clothing & footwear	**5.1**	**3.4**	**5.6**	**4.7**
of which, garments	2.2	0.7	4.2	3.2
Housing	**5.2**	**5.5**	**6.8**	**7.3**
of which, rents	4.0	3.9	3.9	3.8
of which, house purchases	2.8	3.0	3.5	4.1
of which, electricity	19.7	21.5	32.2	36.8
of which, gas & other fuels	4.1	5.8	5.8	5.7
H/hold contents & services	**1.3**	**2.0**	**1.4**	**1.7**
Health	**3.6**	**3.6**	**3.2**	**3.2**
Transportation	2.7	1.6	1.1	-0.7
of which, auto fuel	3.5	-0.8	-2.7	-8.2
Communication	**1.3**	**1.1**	**1.4**	**1.2**
Recreation	**2.0**	**4.4**	**3.7**	**4.0**
of which, holiday travel	1.8	5.8	3.9	4.7
Education	**5.4**	**5.4**	**5.4**	**5.7**
Financial & insurance	**2.5**	**2.5**	**2.4**	**2.4**
CPI: All groups	**3.4**	**3.8**	**3.8**	**3.8**

Sources: ABS, Westpac Banking Corporation

Westpac's inflation profile

		Mar–26	Jun–26	Sep–26	Dec–26
CPI	Index	101.5	102.9	103.8	104.2
	(%qtr)	1.2	1.3	0.9	0.4
	(%yr)	3.9	4.6	4.1	3.9
Trimmed mean	(%qtr)	0.9	0.8	0.9	0.8
	(%yr)	3.5	3.6	3.5	3.4
	(6mth ann'd)	3.6	3.3	3.5	3.5

Source: ABS, Westpac Economics.

Core inflation remains above the band

We estimate a 0.3%mth (0.34%) rise in the Monthly TM, holding the annual pace steady at 3.4%yr. The six-month annualised rate picks up to 3.6%yr from 3.4%yr but this is still less than 3.7% in December and, prior to recent conflict in the Middle East, we had expected the pace to ease from here. For now we still do with the six-month annualised pace easing back to 3.2%yr by the month of June.

This incorporates our existing scenario of the conflict disrupting supplies out of the Gulf for one month. We are nearing the end of March and we are reviewing our position. But clearly, we need to incorporate a longer closure of the Strait, as well as damage to the infrastructure, than we have in our current scenario outlined below. As such, we expect to see an upward revision to crude prices and thus headline CPI. Any revision to our TM estimates will depend on what we settle on in terms of duration of supply disruptions.

As we have noted in earlier bulletins, until the ABS are comfortable and they have a better understanding of the seasonality of the new monthly CPI, they will continue publishing quarterly underlying inflation measures in a manner consistent with the history of price collection frequency. We have replicated this process and find it could shave as much as 0.1ppt off our current TM estimate for the March quarter. We will have a better idea once we have the February data.

One month closure of the Strait

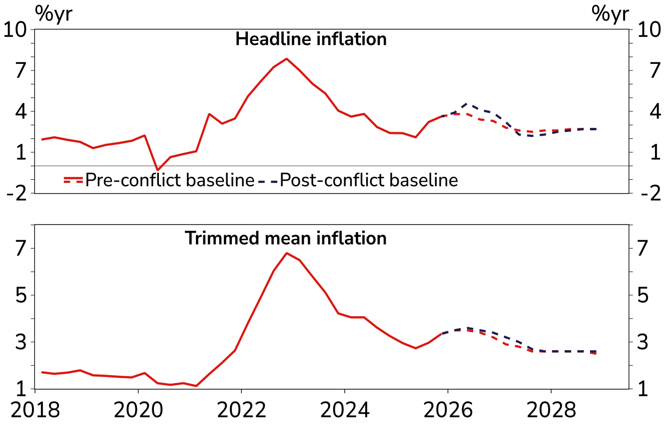
The escalating Middle East conflict has become a key near-term risk to the inflation outlook. Disruption to shipping through the Strait of Hormuz has driven a sharp rise in energy prices, with Brent oil averaging US$102/bbl over the past week. As set out in a recent note (Middle East conflict scenarios), our forecasts are conditioned on a central scenario in which hostilities last around one month, followed by a month of gradual normalisation in shipping and energy markets. Under this baseline, Brent crude peaks around US$110/bbl, averaging roughly US$90/bbl in the June quarter of 2026.

Higher energy prices are expected to flow into headline inflation primarily through fuel and transport costs. Retail petrol and diesel prices are forecast to average around $2.02/litre and $2.50/litre respectively in the June quarter. Input costs have also risen, with fertiliser prices (which are likely to flow onto food prices) such as urea higher and airlines announcing fare increases in response to higher jet fuel costs.

Overall, we estimate the energy shock adds up to 0.8ppts to headline inflation at its peak, pushing year-ended inflation to 4.6%yr in the June quarter. The impact is front-loaded and expected to ease as supply routes reopen, with the boost declining to around 0.6ppts by year-end with the end-2026 inflation forecast revised up to 3.9%yr from 3.3%yr previously.

By contrast, the impact to underlying inflation is more muted. We assume some limited pass-through to market services, particularly around construction. As a result, we have revised up our trimmed mean estimate modestly to 3.4%yr in Q4, with

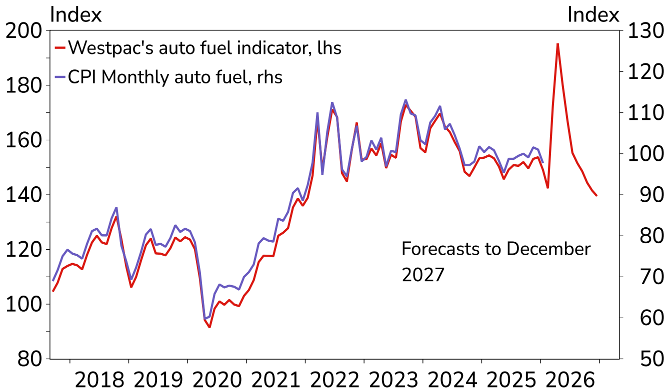
Middle East conflict forecast revisions



Source: ABS, Macrobond, Westpac Economics

Auto fuel prices

Pump price average for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

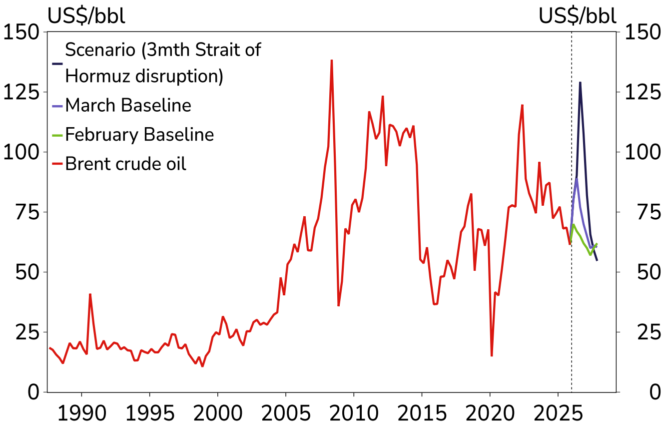
spillovers adding around 0.2ppts in the second half of 2026. The boost will have largely dissipated by end-2027.

The balance of risks has shifted to the upside. While energy is not a major direct input for many industries, indirect costs through upstream processes can be significant (see page 8 of our March Market Outlook).

As noted earlier, a more prolonged conflict would increase the risk of wider cost pass-through. This is clearly where we are heading given that there is no near-term resolution in sight. There has also been a number of attacks on petroleum and LNG infrastructure in the region. Unfortunately, the extent of the damage is yet to be meaningfully quantified.

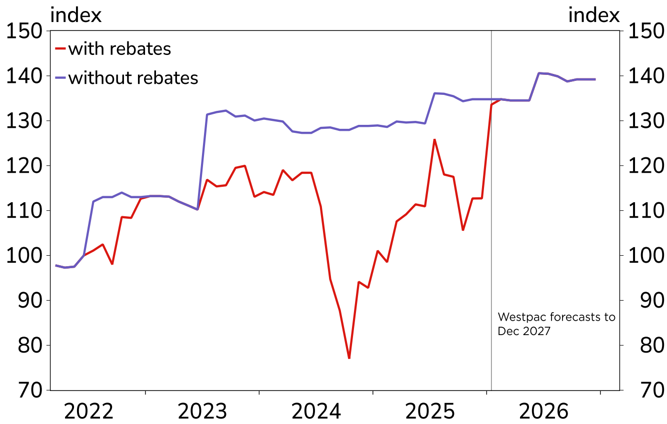
Additionally, consumers' backward-looking nature and focus on fuel prices in forming inflation expectations poses another risk. If higher expectations begin to feed into wage setting, or drive accelerated purchasing behaviour, the inflation shock could become more persistent.

Oil price scenarios



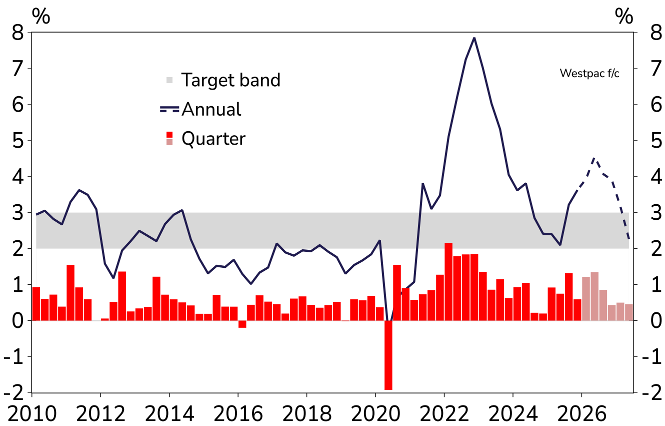
Source: EIA, Macrobond, Westpac Economics

Electricity forecast as currently published



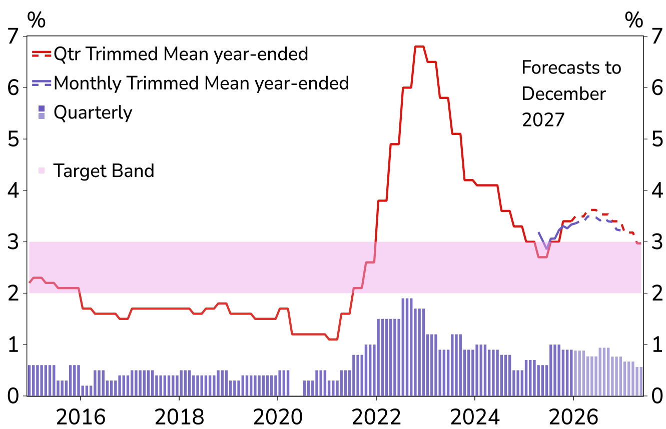
Source: ABS, Macrobond, Westpac Economics

Headline CPI Inflation



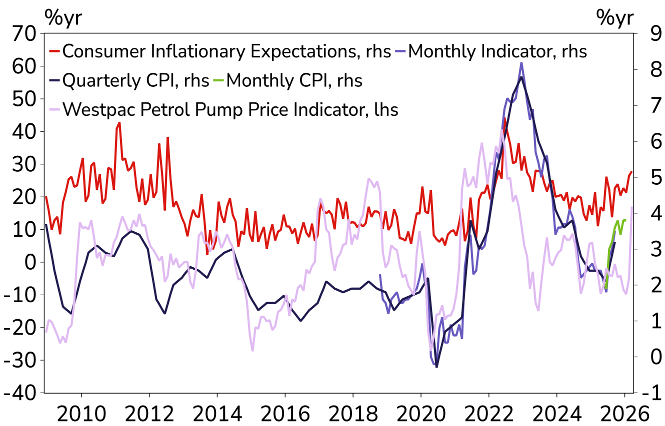
Source: ABS, Macrobond, Westpac Economics

Trimmed Mean Inflation



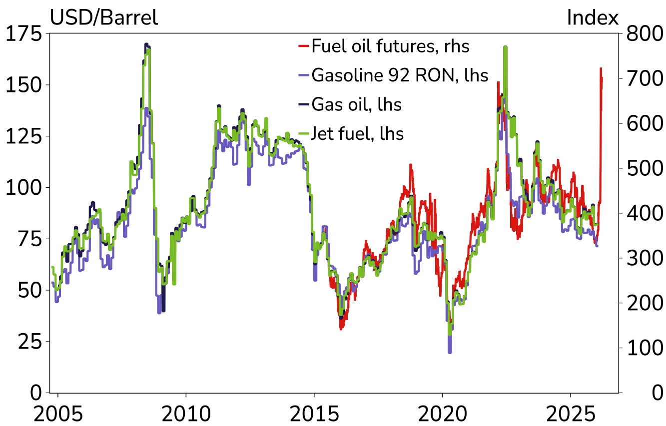
Source: ABS, Macrobond, Westpac Economics

Consumer Inflationary Expecatations



Source: Melbourne Institute of Applied Economic & Social Research, AIP, ABS, Macrobond, Westpac Economics

Singapore refined fuel prices



Source: SGX, OPEC, Macrobond, Westpac Economics

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MIDDLE EAST CONFLICT SCENARIOS

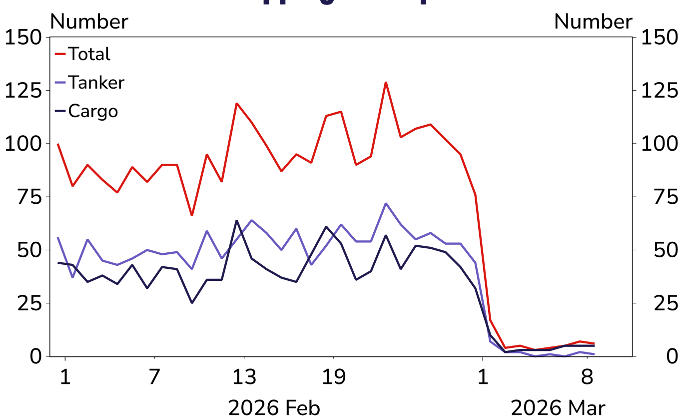
EXCERPT FROM WESTPAC MARKET OUTLOOK PUBLISHED 13 MARCH 2026

Energy shock, elevated risks ...

Sian Fenner
Head of Business & Industry Economics

The US/Israel–Iran conflict, which began in late February, has disrupted global energy markets with the all-important Strait of Hormuz officially closed due to heightened security risks and surging insurance costs. The Strait typically carries around 25% of global seaborne oil trade and 20% of LNG exports. The IEA estimates that around 8mb/d of global supply has been disrupted, making this as one of the largest oil supply disruptions on record.

Strait of Hormuz Shipping Chokepoint



Source: IMF, Macrobond, Westpac Economics

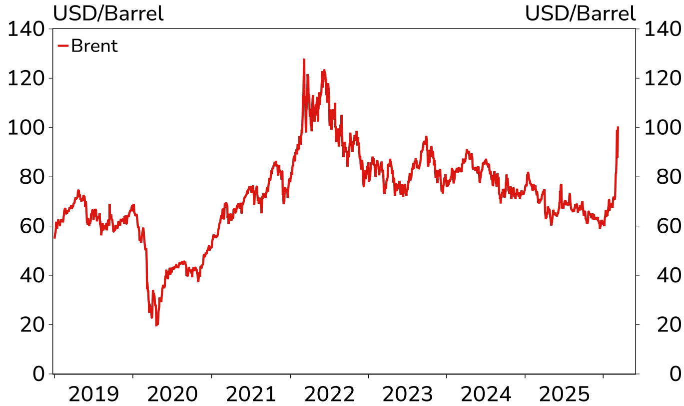
Since the start of the conflict Brent crude prices have spiked above US$100/bbl and while oil prices have since eased to US$93 after comments from President Trump signalling a desire to avoid a prolonged disruption, volatility remains elevated, with markets still pricing a supply risk premium of around US$25/bbl. Benchmark gas prices have jumped by more with the Japanese LNG price surging to around US$16mmbtu, reflecting concerns over LNG supply, particularly from Qatar.

This underscores the ongoing uncertainty over shipping flows through the Strait and the duration of the conflict. Against this backdrop, we outline our baseline and an alternative scenario for energy prices and the broader economic implications using the Oxford Economics Model.

Oils prices to lift to around $110 in Q2

It is highly uncertain how long the conflict will last and whether any eventual truce proves durable enough to allow production and shipping to normalise quickly. Our baseline assumes the conflict lasts around one month but that it takes at least a further month for shipping through the Strait of Hormuz to normalise given the risks of sporadic attacks and elevated insurance costs even after hostilities ease.

Crude Oil (Brent)



Source: CME Group, Macrobond, Westpac Economics

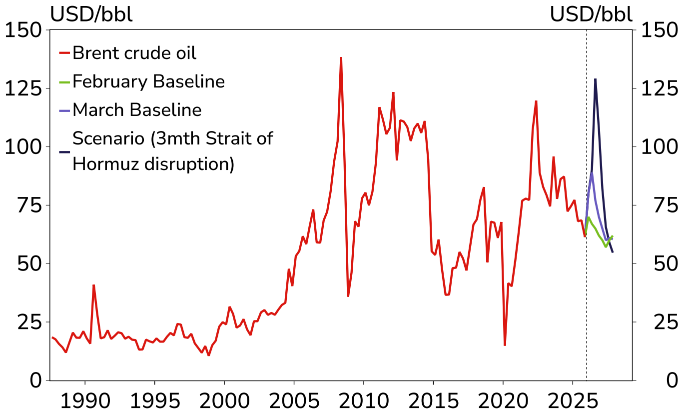
This is expected to reduce global oil supply by over 4mbpd on average in Q2. Only Saudi Arabia and the UAE have operational crude pipelines that can partially bypass the Strait with available capacity at around 1.6-5.5 mbpd. Meanwhile, smaller Gulf producers, including Kuwait, face temporary production 'shut ins' as storage capacity is exhausted. Indeed, UAE and Kuwait have already announced some temporary production 'shut-ins', highlighting that the longer the conflict continues the greater the disruption to global oil supply.

While the current disruption to global oil supply is significant, global oil inventories were ample heading into the current conflict, with world stocks at around 8.2bn barrels, and the IEA has announced plans to release 400m barrels of strategic reserves, although the timing and pace of those releases remain uncertain.

These buffers limit the downside risk to supply but do not eliminate it. Combined with a persistent supply risk premium, this is expected to keep Brent elevated, averaging around US$90/bbl in Q2, nearly US$20 above our February Market

… duration is the key uncertainty …

Oil price scenarios



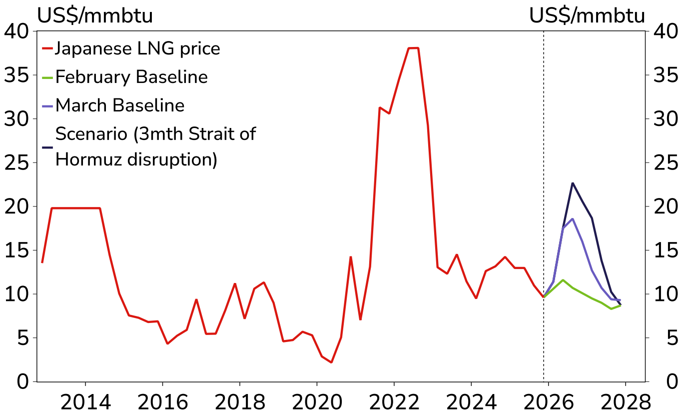
Source: EIA, Macrobond, Westpac Economics

Outlook forecast, with prices expect to climb briefly to around US$110.

The shock to gas markets is expected to be larger. Qatar, which accounts for around 20-25% of global LNG exports, has no viable alternative route to the Strait, and operations at Ras Laffan, the world's largest LNG facility, have been temporarily suspended. Consistent with the IEA assessment we assume a drop in global LNG supply of over 200mcm/day. As a result, we expect Japanese LNG gas prices to rise to average around US$19.5mmbtu, nearly US$8 above our February Market outlook forecasts in Q2.

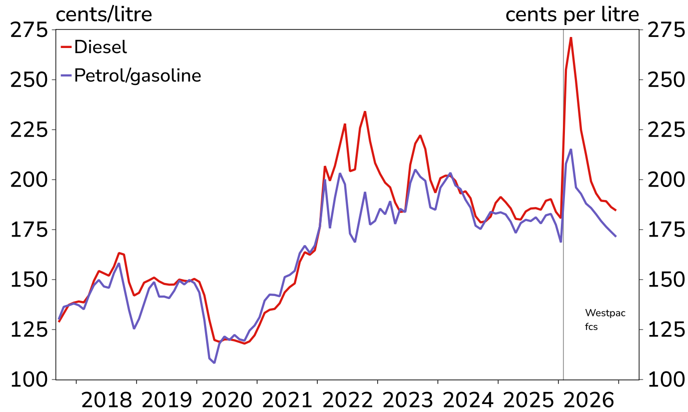
Both oil and gas prices are expected to ease as the risk premium fades and supply conditions normalise but remain above our February forecasts through the rest of 2026 with prices averaging US$70/bbl and US$16mmbtu in Q4. Our baseline assumes that the path for gas and oil prices will converge back towards the pre-conflict path by around mid-2027, with oil prices then drifting modestly lower as supply and demand balances improve.

Japanese LNG price scenarios



Source: EIA, Macrobond, Westpac Economics

Australian pump prices for auto fuel



Source: , Macrobond, Westpac Economics

Impact on growth and inflation

Higher oil prices feed rapidly into headline CPI via fuel and transport costs, and indirectly via energy-intensive products such as fertilisers, freight and manufacturing. Already national petrol prices have risen since the start of the conflict. Singapore refinery margins on Gasoline10, the key benchmark for Australian wholesale petrol and diesel prices, recently increased to around US$30/bbl, its highest in four years. This suggests petrol and diesel prices are likely to rise by more than the direct pass-through from higher crude oil prices alone. As a result, we expect retail petrol and diesel prices to average around $2.02/litre and $2.50/litre respectively in Q2. Fertiliser prices such as Urea are also up sharply and some airlines have already announced price increases due to the rise in jet fuel.

In Australia, we expect the peak impact of higher energy prices on annual headline inflation in Q2, lifting it by around 0.8ppts to 4.6%yr. While inflation is expected to ease thereafter, headline CPI is still likely to be around 0.6ppts higher in Q4 2026 than it would have been otherwise.

The impact on trimmed mean inflation is considerably smaller. However, we do expect some second-round effects from higher energy costs, adding around 0.2ppts to trimmed mean inflation in the second half of 2026.

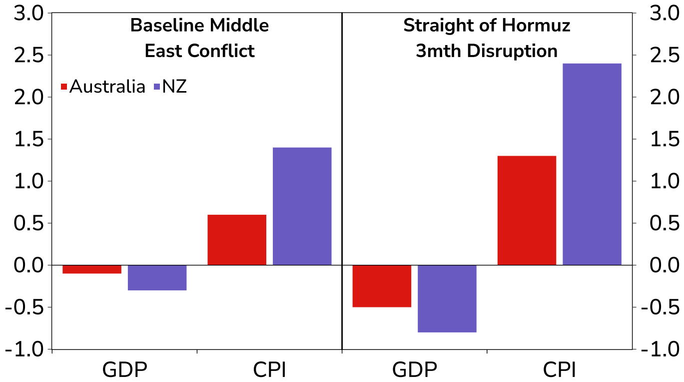
Based on the Oxford Economics Model, the impact of higher energy prices lowers Australia's 2026 GDP growth by around 0.1ppt as higher inflation lowers household disposable income and spending and weakens investment. These effects are only partially offset by higher coal and LNG prices, which support export incomes.

Globally, the model estimates that higher energy prices trim global GDP growth by around 0.1ppt in 2026, with the largest effects concentrated in the Middle East and energy importing regions such as Europe. For Australia and New Zealand, weaker global demand modestly weighs on exports, with

... adverse scenario sees oil prices at $130 in Q2

Model estimates of Middle East Conflict impact

Percentage point difference to Q4 2026 yr end growth



Source: ABS, Macrobond, Westpac Economics

lower imports providing only a partial offset.

In New Zealand, the same shock transmits more forcefully. Higher oil prices represent a negative terms of trade and income shock, with no offsetting energy export gains, pushing CPI around 1.5ppts higher at its peak in Q2 and leaving GDP around 0.3ppts lower under comparable assumptions.

Note that all of these estimates reflect the modelled impact of higher energy prices in isolation. Our final forecasts incorporate a broader set of moving parts, which can act in offsetting directions and influence the final economic outcomes.

An alternative scenario amid heightened uncertainty

A key determinant of the economic impact of the conflict is its duration, and there remains a material risk of a more extensive and prolonged disruption than assumed in our baseline. To capture this risk, we have updated our alternative scenario, which assumes the conflict persists for three months with no permanent damage to oil and LNG production and freight facilities.

Under this scenario, oil prices could average US$130/bbl in Q2, with prices close to, or above US$200/bbl possible at the peak. Japanese LNG prices would also rise sharply and remain elevated for longer, averaging around US$20mmbtu in Q4 2026. Such an outcome would trigger a broad surge in energy intensive costs, including transport, freight and logistics, amplifying inflationary pressures across the global economy. A sustained period of elevated energy costs would also increase the likelihood that higher prices spill into wages and broader pricing behaviour, making inflation more persistent.

Under this three month disruption scenario, CPI lifts by around 1.3ppts above our baseline by end 2026 with the Trimmed Mean remaining above the RBA's 2–3% inflation target range until Q2 2027. A larger and more persistent squeeze on real household incomes lowers growth over the year to Q4 2026 by around 0.5ppts.

In NZ, CPI could be 2.4ppts higher at the peak than our current forecast, with core inflation above the upper part the RBNZ's target band for an extended period and GDP growth around 0.8ppts lower by end-2026.

Central banks have traditionally looked through the first-round inflation effects of temporary supply shocks such as higher energy prices. However, in the post pandemic world central banks may be less willing to dismiss large energy shocks, particularly where there is a risk that inflation expectations could shift higher against a backdrop of existing inflationary pressures.

In Australia, this unwillingness is already reflected in our updated base case, which now sees two further rate hikes in March and May compared to our previous forecast of just one more move in May. The slightly front-loaded tightening may give the RBA a bit more scope to remain on hold later, even if headline inflation rises more sharply under this scenario (noting that this scenario also has a more protracted growth slowdown that will weigh more heavily on inflation once the initial pulse has passed).

A crucial consideration here is the extent to which global energy market disruptions start feeding into domestic electricity and gas prices. As discussed on p6, this channel is expected to be fairly muted, especially compared to the energy shock following Russia's invasion of Ukraine. That reflects both caps on domestic gas prices and other factors that we expect to mute spillover effects from global gas and coal prices to local prices. A more prolonged conflict would clearly challenge these views.

In New Zealand, the policy challenge is more acute. Persistently higher inflation, combined with a lower starting point for interest rates, raises the risk that inflation pressures become more entrenched. Under this scenario, the model estimates, based on a simple Taylor rule, that the RBNZ could raise rates by a further 50bps in 2027 to contain ongoing core inflation pressures.

This scenario assumes no significant damage to oil and LNG production and freight facilities. A permanent loss of supply would prolong the cost to the real economy. It would also add to the risk of a sell-off in financial markets that would not only amplify the negative shock to the global economy but complicate the policy response.

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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The epic blunder of fighting the last war

#australia #luciellis #fx #interestrates

By Luci Ellis
Chief Economist Westpac Group, Westpac

10:30 March 27 2026

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The Middle East conflict is not Venezuela, or Russia's invasion of Ukraine, or COVID. Policymakers should not use "the last war" as a template for the current one.

- The Middle East conflict and the resulting fuel crisis are not the same as previous crises and should not require COVID-style policy responses such as work-from-home mandates. Governments and other decision-makers need to avoid the temptation to "fight the last war". Nor should they fall into the trap of “we must do something, and this is something”, when that something is ill-suited to the current problem.

- The focus should instead be on the key issue for the world economy: how the conflict maps into energy-supply disruption via the closure of the Strait of Hormuz and/or damage to oil and gas infrastructure in other Gulf states. Time is almost up on our initial assumption that the Strait would be closed for about a month, so we will shortly update our baseline forecast to reflect this. But the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.
- This is a significant shock to the economy and a challenging situation for public policy. For the next few weeks, though, the appropriate monetary policy response is “wait and see”. The current crisis is not (yet) a financial crisis or a pandemic requiring immediate, potentially out-of-cycle, action. And conditions could be quite different in a month’s time. Domestic conditions will continue to shape the RBA’s decisions at its regular meetings.

“Fighting the last war” is a common cognitive trap: trying to make a current crisis fit a past one. We saw attempts to make COVID fit the GFC template by expecting borrower distress despite massive fiscal support and, in some quarters, to make the AI boom fit the COVID template of sudden mass job losses, at least in the US.

The current conflict in the Middle East is producing plenty of examples of this behaviour, again misguided. The US/Israel attack has not gone the same way as the US intervention in Venezuela, nor are the implications like those of Russia’s invasion of Ukraine. The geographic pinch-point of the Strait of Hormuz shapes both the energy-price implications and the military ones. The context also differs significantly: the world is not emerging from a pandemic, with macroeconomic policy highly expansionary and other supply chains already disrupted.

The domestic context in Australia also differs in important ways, particularly the ceiling on east coast wholesale gas prices introduced after the 2022 episode. We are also four years further along with solar and battery installation. These changes mean that, for Australia, this is mostly an issue of fuel prices and availability, rather than electricity (as in 2022–23).

In addition, the current conflict bears little resemblance to the COVID pandemic, so policy responses should differ. We were surprised that work-from-home mandates have been seriously proposed. A fuel shortage is not a respiratory virus, and there is no reason to prevent or discourage workers from attending their workplace if they commute by foot, bicycle or public transport. Better responses would be to expand public transport coverage and frequency, encourage carpooling (including more extensive transit lanes), and cancel non-essential government travel. Only if those policies fail, or fuel shortages become so extreme that critical workers need to be prioritised, would WFH become an appropriate response.

Likewise, businesses are not facing a sudden loss of income as the community goes into lockdown. Income support measures should therefore be much more targeted, if they are needed at all.

The main similarity to the pandemic is stockpiling, as people fear downstream supply disruptions. Policy responses to address this make more sense than mandating work-from-home. Options include publicising the restocking of petrol stations that had run out of some fuels, as well as measures already taken such as temporary changes to fuel standards and the oil-for-gas supply deal with Singapore.

A kinetic war between US/Israel and Iran could drag on without necessarily having its current dramatic impact on global energy markets. For the rest of the world, the key issues are closure of the Strait of Hormuz and actual or threatened damage to gas and other civilian infrastructure in non-combatant Gulf states. But closure of the Strait is a time-limited source of leverage for Iran. At some point, third-party countries will respond to the damage being done to them; already some tankers are being allowed through.

The immediate issue for the global and Australian economies is fuel availability. Higher prices will curb demand, but periods of localised unavailability will be especially disruptive.

The implications for macroeconomic policy depend on the broader effects on inflation and growth. The RBA was already hiking rates ahead of the outbreak of the conflict. Demand growth had picked up a little more sharply than they, or we, had expected. And with the economy no longer running with significant spare capacity as in the 2010s, even small upside demand or downside supply shocks show up in prices rather than being absorbed. More frequent policy adjustments should therefore be expected.

As highlighted by the RBA's counterparts at the RBNZ, policymakers should ordinarily try to look through the first-round, fuel-specific impacts on inflation from a shock like this. Second-round effects such as higher transport and materials costs flowing through to other prices may, however, require a response. A lift in inflation expectations is also a watch point. But if the supply-disruption element of the conflict fades over the next month or so, these effects will also be short-lived. While the forthcoming update to our baseline forecast is more severe than this, the risks around it are two-sided. It will therefore pay to wait to see which scenario plays out ahead of the May meeting. A May rate hike is still on the cards for pre-existing domestic reasons, but pre-judging the second-round effects on inflation, and the need for any hikes beyond the next one, is a much less secure strategy.

In particular, we do not expect an out-of-cycle RBA decision. These are rare: the last one was in March 2020, just ahead of lockdown, and the one before that was in 1997, both to cut rates. Even during the GFC, there were no out-of-cycle policy decisions. The decision tree facing the RBA also does not require one. May seems a long way away, but by then either things will have de-escalated, or the war will have escalated, drawn in Gulf states and worsened energy supply. De-escalation would see some of the inflationary shock soon moderate, weakening the case for further policy tightening. Escalation would be an even larger negative shock to global growth than we are already facing, but also inflationary. With the Board already split on the need to hike expeditiously, we see neither the need, nor the appetite, to bring forward that decision in either scenario. This is not COVID, and we do not expect policymakers to act like it is.

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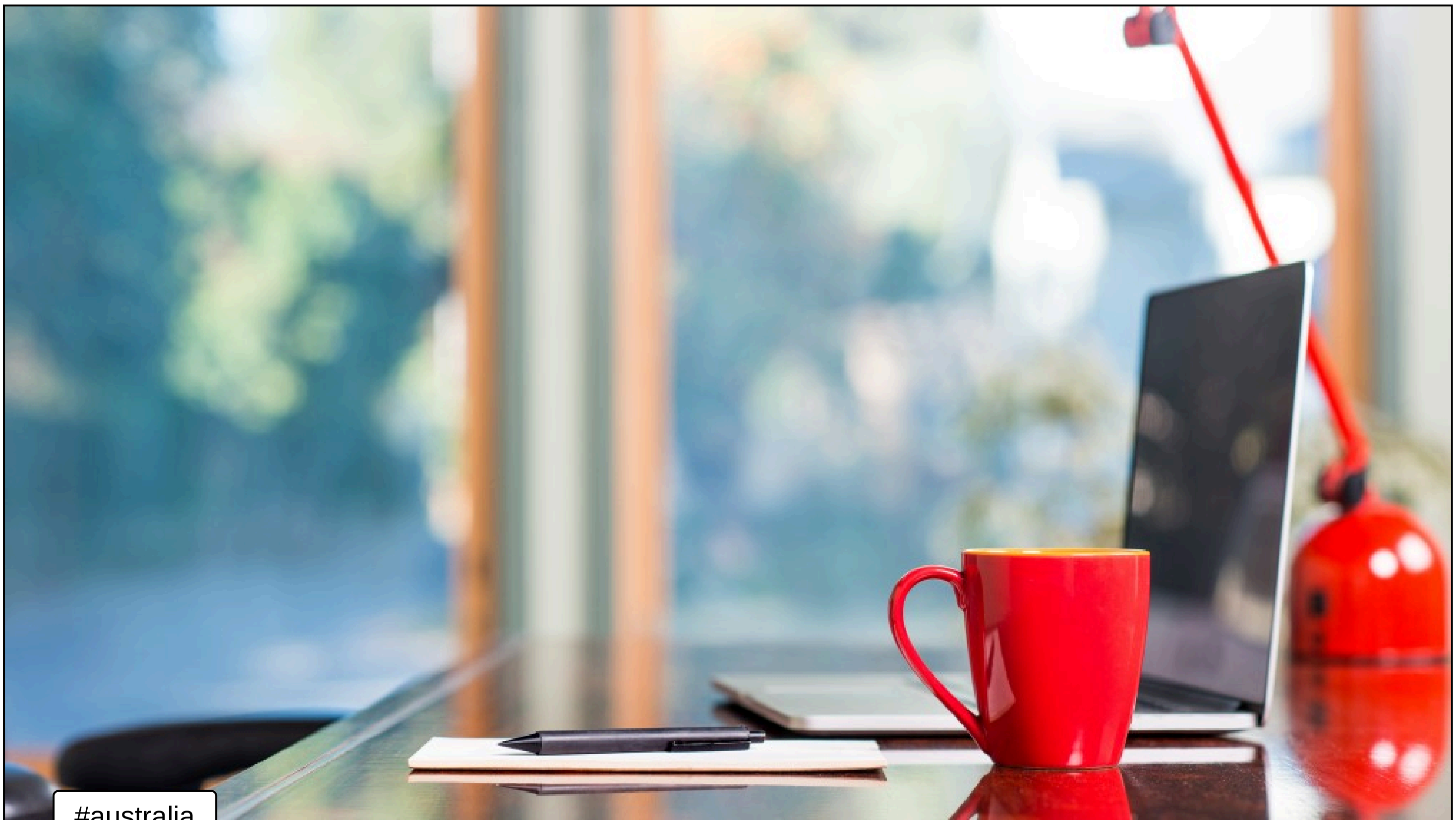

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Australia and NZ Weekly 30 March 2026

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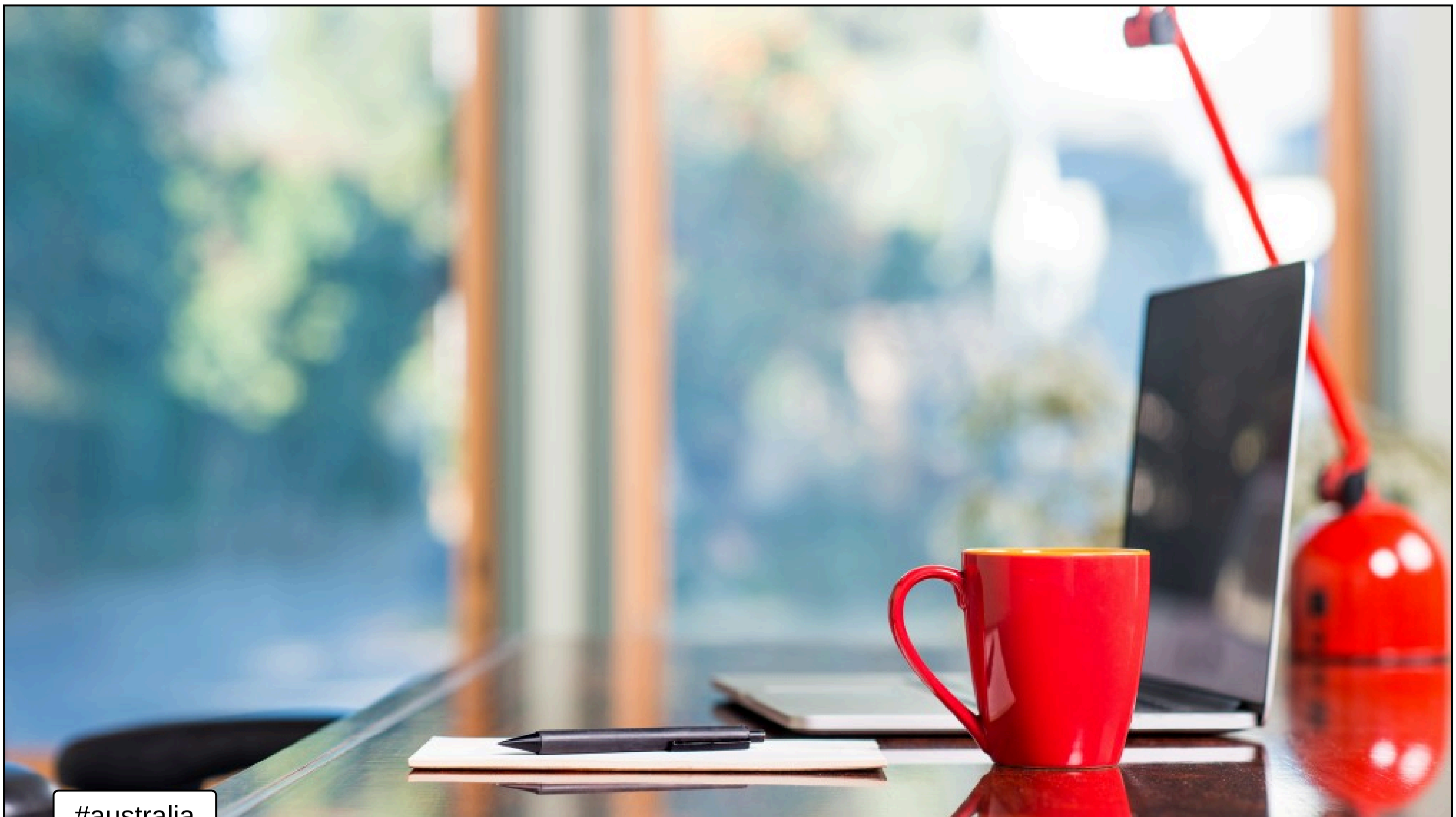

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

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- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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20 March 2026

WESTPAC NOWCAST Q1 2026: FIRST ESTIMATE

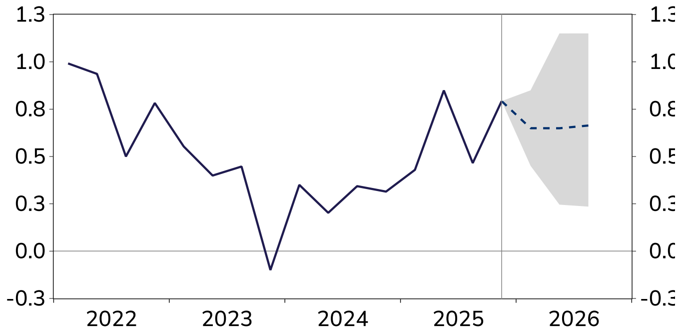
Activity stabilises

Key points

- Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This follows Westpac-Now's final estimate for [Q4 2025 of 0.9% qtr], broadly in line with the actual outcome of 0.8% qtr.
- Our monthly activity index stalled in January, moving sideways for the first time since hitting a trough in May 2025. The indicator heatmap shows that labour market, confidence, consumer spending and global activity indicators have lost some momentum, after finishing 2025 on a strong note.
- This modest easing is likely to be welcomed by the RBA, with growth moderating toward their estimate of trend growth. Importantly, this moderation is evident in January high frequency data, before the Middle East conflict and recent rate hikes occurred, and therefore predates their likely drag on confidence and activity.

Quarterly GDP Growth*

Quarterly % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

*Dotted line show Westpac-Now central estimates. Quarter ahead (or Q1 2025) relies on the actual Westpac monthly activity index to January 2026. Beyond the quarter ahead, estimates rely on projections of the Westpac monthly activity index generated using internal model dynamics. Confidence intervals reflect empirical out of sample forecasting errors.

- Our framework suggests growth will stabilise at around 0.6% qtr over the following two quarters, through to Q3 2026.
- Westpac Now updates will be released monthly, with schedule details set out in Appendix A.

Activity stabilises as growth moderates toward trend

Pat Bustamante
Senior Economist

In November 2025, we introduced Westpac-Now, a real-time measure of current activity in the Australian economy. Westpac-Now draws on more than 60 high-frequency economic and financial variables, using advanced statistical techniques to provide a timely pulse check on economic momentum. It is the first Australian model to incorporate internal banking data, enhancing its predictive power.

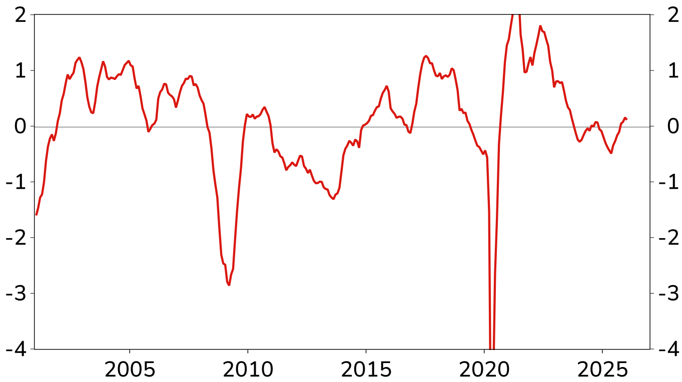
This note provides the first estimate of growth for the March quarter 2026, using domestic and international data released up to and including the February Labour Force Survey (released 19 March 2026). Future updates will be published monthly (see Appendix A for the release schedule).

Monthly activity index moves sideways in January

Our monthly activity index stalled in January, moving sideways for the first time since reaching a trough in May 2025. The indicator recovered throughout the second half of 2025 as Australia's economic upswing broadened and gathered momentum but now appears to have stabilised in the early part of 2026.

Westpac Monthly Activity Index

Index. Axis truncated for covid.

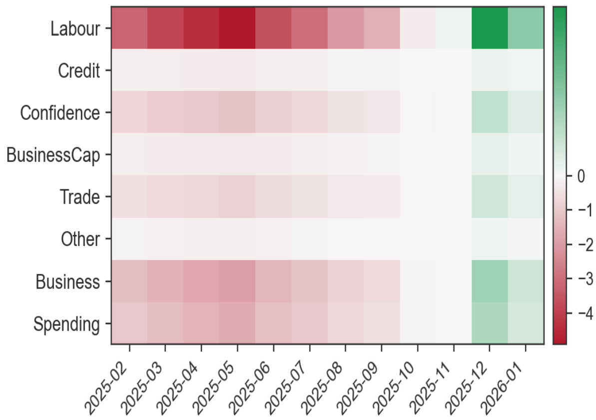


Source: ABS, Macrobond, Westpac Economics

The indicator heatmap below decomposes changes in the monthly activity index into group-level contributions, allowing us to assess which components drove the moderation. For ease of interpretation, indicators are grouped into broad categories. For example, the labour market category includes both official ABS Labour Force Survey outcomes and more timely survey-based measures of labour demand and job advertisements. Appendix B presents the full set of ungrouped indicators.

The heatmap suggests that some momentum has come out of the labour market, business and consumer confidence, consumer spending, and the international sector. Importantly, this reflects high-frequency data covering January, before the conflict in the Middle East conflict and recent rate hikes had even occurred.

The Common Activity Factor Heatmap by Groups



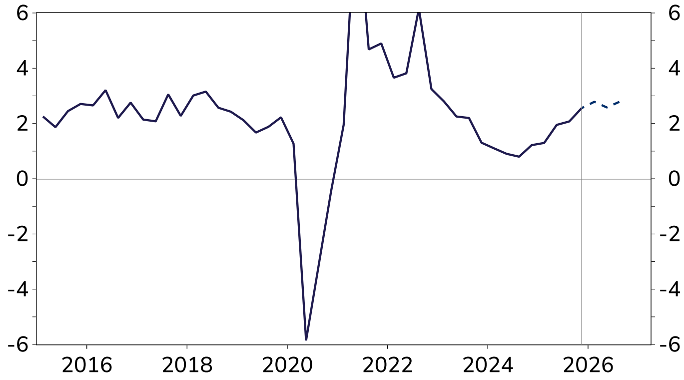
Westpac-Now: Growth moderating toward trend

Recall that the Westpac-Now estimate is a more refined indicator that combines our monthly activity indicator using advanced econometric techniques to produce point estimates of GDP growth. As previously noted, the fit is not expected to be exact, as measured GDP includes components that are not well captured by other activity measures, such as imputed rents for owner-occupiers, public and business inventories, and the depreciation of buildings and equipment. To bridge monthly and quarterly data, we employ a MIDAS framework, which allows us to combine mixed-frequency data and incorporate partial information for the current quarter when producing GDP forecasts.

Based on our current forecast equations, the **Westpac-Now Q1 2026 first estimate points to GDP growth of 0.6% qtr** (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. Projections further out, based on the indicator's internal dynamics, suggest growth of around 0.6% qtr in both Q2 and Q3 2026. However, these projections should be treated as indicative only, with heightened uncertainty given the reliance on projected inputs rather than realised data.

Real GDP Growth

Year-ended % growth. Axis truncated for covid.



Source: ABS, Macrobond, Westpac Economics

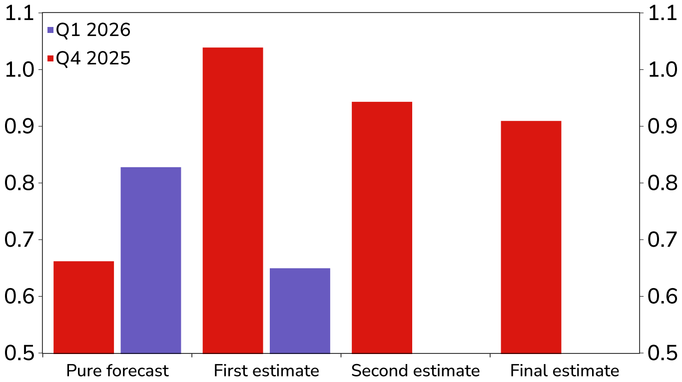
January data signal a moderation in growth

Also recall that we estimate different specifications for our forecast equations that use alternative information sets. The 'pure forecast' specification includes data up to and including the final month of the quarter preceding the forecast quarter (e.g. up to December for a March quarter nowcast). The 'first estimate' specification includes data up to and including the first month of the quarter being forecast (e.g. up to January for a March quarter nowcast).

In moving from the pure-forecast to the first-estimate specification, we see a step-down in our nowcast from around 0.8%qtr to 0.6%qtr. **This suggests that data released in January point to a moderation in growth, or that outcomes were softer than required to be consistent with growth of around 0.8% qtr under the pure-forecast specification.** Notably, this moderation appears before the impacts of the Middle East conflict and 50 basis points of rate hikes have flowed through to confidence and spending decisions.

Evolution of Westpac-Now

Within quarter changes to Westpac-Now, quarterly % change



Source: ABS, Macrobond, Westpac Economics

This contrasts sharply with the evolution of the Westpac-Now Q4 2025 nowcast, where there was a noticeable step-up in the 'first estimate', with our nowcast converging on 0.9%qtr over the subsequent two months.

Bottom line

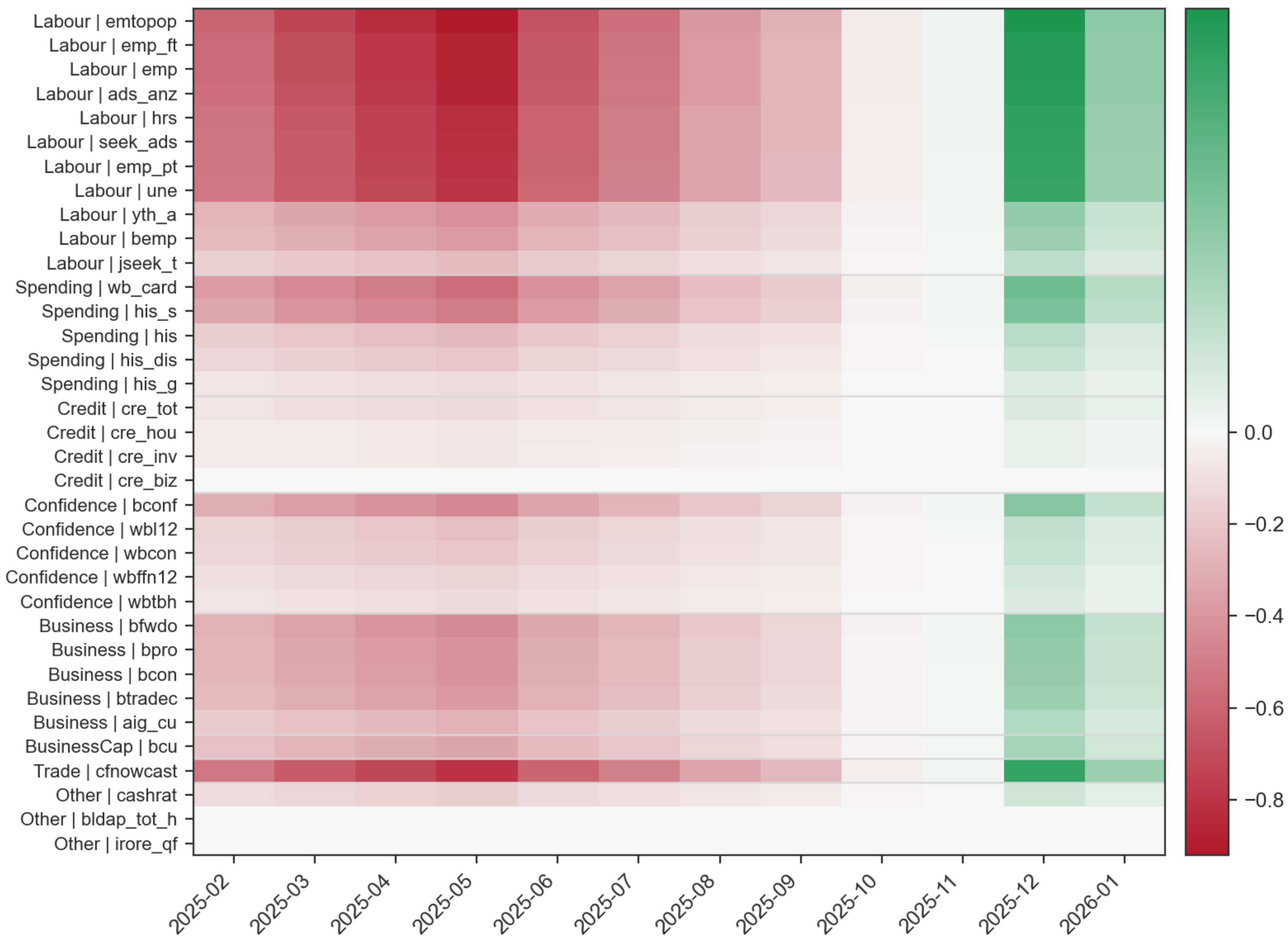
The underlying growth momentum has eased toward trend heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had even occurred.

Appendix A: Westpac Now Release Schedule (2026)

Going forward, Westpac Now will be published on the Friday following each ABS Labour Force Survey (LFS) release, at 11:30am AEDT/AEST (Canberra time). Each release incorporates the latest labour market data alongside other high frequency indicators and provides an updated nowcast for quarterly GDP growth. As the quarter progresses, each update should be interpreted as a progressively more complete estimate of that quarter's economic performance.

Release date (Friday)	LFS reference month	Quarter focus	Interpretation
17 April 2026	March 2026	Q1 2026 – second estimate	Refined Q1 signal as activity data accumulate
22 May 2026	April 2026	Q1 2026 – final estimate	Near complete read on Q1 activity
19 June 2026	May 2026	Q2 2026 – first estimate	Initial assessment of Q2 momentum
17 July 2026	June 2026	Q2 2026 – second estimate	Refined Q2 signal as activity data accumulate
21 August 2026	July 2026	Q2 2026 – final estimate	Near complete read on Q2 activity
18 September 2026	August 2026	Q3 2026 – first estimate	Initial assessment of Q3 momentum
16 October 2026	September 2026	Q3 2026 – second estimate	Refined Q3 signal as activity data accumulate
20 November 2026	October 2026	Q3 2026 – final estimate	Near complete read on Q3 activity
18 December 2026	November 2026	Q4 2026 – first estimate	Initial assessment of Q4 momentum

Appendix B: The common activity factor heatmap by indicators



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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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23 March 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

The risk off tone continued over the final session of the week as the conflict in the Middle East intensified, with little prospect of a near term resolution.

There was a sea of red across all major global equity markets, with key indices in the US now recording four consecutive weeks of losses. Equities were also sold off across Europe and Asia.

The global bond sell off intensified, with yields jumping higher in both the US and Europe. Ten-year yields rose 11bps and 13bps in the US and UK, respectively. Local yields on futures also moved higher, with 10-year yields rising to almost 5.2%, the highest level since 2011. Markets have now priced in a terminal RBA cash rate of 4.85%, suggesting the RBA could hike another three times.

The US dollar was bid amid risk aversion, with the USD index up 0.4% to 99.65. The Aussie underperformed, falling around 1% to 0.7023, with losses broad based across the crosses.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	66.1	0.5%
AUD/USD	0.7023	-0.9%
AUD/JPY	111.82	0.0%
AUD/GBP	0.5260	-0.3%
AUD/NZD	1.2043	-0.2%
AUD/EUR	0.6070	-0.7%
AUD/CNH	4.8502	-0.5%
AUD/SGD	0.9005	-0.5%
AUD/HKD	5.5011	-0.9%
AUD/CAD	0.9630	-1.1%
EUR/USD	1.1572	-0.1%
USD/JPY	159.23	1.0%
USD Index	99.65	0.4%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.11	0.01
90 day BBSY	4.34	0.02
180 day BBSY	4.81	0.04
1 year swap	4.74	0.09
2 year swap	4.84	0.15
3 year swap	4.84	0.14
4 year swap	4.84	0.14
5 year swap	4.82	0.11
6 year swap	4.88	0.13
7 year swap	4.91	0.12
8 year swap	4.94	0.12
9 year swap	4.97	0.12
10 year swap	5.23	0.14

Equities	Close	Change
S&P/ASX 200	8,428	-0.8%
S&P 500	6,506	-1.5%
Japan Nikkei	53,373	-3.4%
Hang Seng	25,277	-0.9%
Euro Stoxx 50	5,501	-2.0%
UK FTSE100	9,918	-1.4%
VIX Index	26.78	11.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.79	0.17
10 year bond	5.02	0.05
United States		
3-month T Bill	3.62	0.00
2 year bond	3.90	0.11
10 year bond	4.38	0.13
Other (10 year yields)		
Germany	3.04	0.08
Japan	2.28	0.00
UK	4.99	0.15

Commodities	Current	Change
CRB Index	367.12	0.8%
Gold	4492.42	-3.4%
Copper	11930	-1.8%
Oil (WTI futures)	98.23	2.8%
Coal (coking)	222.00	0.2%
Coal (thermal)	146.50	0.9%
Iron Ore	107.90	-0.3%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.18	0.11
3 yr bond	4.90	0.06
3 mth bill rate	4.18	0.00
SPI 200	8,343	-1.8%

Data as at 7:00am AEDT. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Risk sentiment deteriorated sharply overnight as the conflict in the Middle East escalated, with no end in sight, heightening concerns over global growth and inflation. Reports suggest the US is considering plans to occupy Iran's Kharg Island to push for the reopening of the Strait of Hormuz. The WSJ reported that the Pentagon is sending thousands of additional Marines to the Middle East. Iran pressed ahead with strikes on Gulf Arab states' energy assets. All of this suggests the conflict is far from over, with markets reacting swiftly and decisively. This is despite the US President declaring the fight with Iran is "militarily won."
- In the US, stocks fell sharply, marking the fourth consecutive weekly loss. The S&P 500 fell 1.5% to finish the week 1.9% lower. The Dow Jones Industrial Average declined 1.0% on the day and 2.0% over the week, while the Nasdaq dropped 2.0% and 2.1%, respectively. Reflecting the spike in uncertainty, the VIX jumped more than 11% to 26.8.
- European equities also moved decisively lower, as stocks and bonds continued to sell off amid an increasingly uncertain global backdrop, falling for a third consecutive week. The Euro Stoxx 50 fell 2.0%, Germany's DAX declined 2.0%, and the UK's FTSE 100 dropped 1.4%. Asian equities were also weak. Japan's Nikkei underperformed sharply, falling 3.4%, while Hong Kong's Hang Seng declined 0.9%. Locally, the S&P/ASX 200 fell 0.8% to 8,428, and SPI futures point to a weaker start today, down a hefty 1.8%.
- Bonds continued to sell off amid heightened inflation risks. US Treasury yields rose sharply across the curve. The 2 year yield increased 11bps to 3.90%, while the 10 year yield rose 13bps to 4.38%. Interest rate futures now expect no more cuts this year, instead pricing in around half a Fed hike (or 12bps) by October, a sharp reversal from the one cut priced just a week ago. European yields also moved higher, with UK 10 year gilt yields jumping 15bps to 4.99%.
- Australian yields followed global moves higher. The 3 year government bond yield rose 11bps on futures to 4.90%, while the 10 year yield increased 11bps on futures to 5.18%, the highest level since 2011. OIS pricing suggests a terminal cash rate this year of around 4.85%, with the first full rate hike pencilled in for June.
- In FX markets, the US dollar was bid amid risk aversion. The USD index rose 0.4% to 99.65. The Australian dollar underperformed, falling around 1% to 0.7023, with losses broad based across the crosses. AUD/CAD and AUD/USD were particularly weak. EUR/USD edged lower to 1.1572, while USD/JPY climbed above 159, underscoring continued divergence in policy expectations.

Today's key data and events

Time	Event	Exp	Prev
23:30	US Chicago Fed Activity Index Feb	-	0.2pts
1:00	US Construction Spending Jan	0.1%	0.3%
2:00	EZ Consumer Confidence Mar Prel.	-	-12.2pts

Times are AEDT. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Commodity markets were volatile. Oil prices surged as geopolitical risks intensified, with WTI futures rising 2.8% to around USD 98/bbl. Gold sold off sharply despite the risk off tone, falling 3.4% to around USD 4,492/oz as USD strength dominated. Base metals weakened, with copper down 1.8%. Coal prices were mixed, with thermal coal up modestly while coking coal edged higher. Iron ore eased slightly to around USD 108/t.

International Data

The **Euro Area's trade** surplus widened at the margin in January from 11.6bn to 12.1bn. Exports fell 1.9% in the month, but imports declined 2.8%.

FOMC member Waller said he is cautious about the impact of surging oil prices on inflation, although a weak job market may still require interest-rate cuts: "Caution is warranted. It doesn't mean that I'm going to stay put for the rest of the year. I just want to wait and see where this goes, and if things go reasonably well, and the labour market continues to be weak, I would start advocating again for cutting the policy rate later this year."

Bowman continued to advocate three cuts this year: "Of course, I've written three cuts in before the end of 2026 to hopefully support the labour market, Its too soon to tell what the impacts of Iran and the conflict may be, but I do expect that we'll start to see some of the supply-side policies working their way through the economy."

Local Data

Westpac-Now points to GDP growth of around 0.6% qtr in Q1 2026 (range: 0.55–0.75% qtr), lifting year-ended growth to 2.8% yr. This suggests the underlying growth momentum has eased heading into 2026, with January data pointing to a slight moderation even before recent external shocks and tighter monetary policy had occurred (see here).

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Week beginning 23 March 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hikes cash rate to 4.10% in split decision.

The Week That Was: Fear overwhelms.

Focus on New Zealand: Focus turns to the RBNZ after data dump.

For the week ahead:

Australia: CPI, Westpac-ACCI business survey.

New Zealand: consumer confidence.

Euro area: consumer confidence, German IFO survey.

United Kingdom: CPI, consumer confidence, retail sales.

United States: Fed surveys, import prices, jobless claims, consumer confidence.

Global: S&P Global PMIs.

Information contained in this report current as at 20 March 2026.

RBA hikes cash rate to 4.10% in split decision

Luci Ellis
Chief Economist, Westpac Group

- **As was widely expected, the RBA Monetary Policy Board (MPB) raised the cash rate 25bps to 4.10% following its March meeting. We flagged the possibility that it could be a split decision, but the 5:4 vote was an even finer majority than we thought might occur.**
- The main reasons for the decision were the existing assessment that Australia is experiencing capacity pressures, coupled with the increase in inflation expectations that has already occurred in response to the Middle East conflict and associated spike in petrol prices.
- With the Board already split, a follow-up hike in May looks less certain. But (as revealed in the media conference) all members agreed that a hike was needed and the question was more about timing. We therefore retain a May hike as our base case. Whether the conflict in the Middle East is still ongoing and how it evolves from here will be crucial.
- The Board are also still concerned about domestic capacity pressures keeping inflation above target. This will mean rate hikes will remain on the table until inflation risks have clearly subsided.

Private sector demand growth was stronger than the RBA expected in late 2025, though consumption and unit labour costs were softer. The Board still assesses that part of the increase in inflation late last year reflected temporary factors. However, it is has taken signal from the recent strength in labour market data and now believes that capacity pressures are slightly greater than previously assessed. (This, incidentally, was the information value in the Deputy Governor's podcast: that data revisions in the national accounts released earlier in the month did not dislodge the RBA's view that trend growth in supply capacity is still only around 2%. It is well-understood that the internal Board members cannot front-run the whole Board, the way central banks with entirely internal members can.)

That "slightly" might point to one area where Board members' views differ. Also noteworthy is the addition of the word "material" in a sentence that also appeared in the February post-meeting statement without that qualifier: "There are material uncertainties about the outlook for domestic economic activity and inflation and the extent to which monetary policy is restrictive."

The other key reason for the decision centred on concerns about the inflationary impact of the Middle East conflict. The traditional thinking around the appropriate monetary response to a temporary supply shock such as a lift in oil prices was to look through it, so long as inflation expectations remained anchored. Near-term inflation expectations have already increased in response to the spike in fuel prices. However, the sparse evidence on more medium-term expectations of financial market participants suggests that these remain well-behaved, in Australia at least.

Yet the post-meeting statement highlighted the implications for (headline) inflation globally and domestically. In addition to the channel through inflation expectations, the post-meeting statement highlighted the possibility that an extended period of high energy prices and uncertainty would degrade supply capacity and thus be inflationary. Most other observers would see that scenario as a global recession risk with rather different policy implications. At the least, we struggle to imagine a scenario where the Strait of Hormuz remains closed for many months without sentiment and financial markets weakening considerably. The consequences for global growth in that scenario would be far from trivial, and not solely on the supply side.

It is possible that the RBA's assessment of the implications of the Middle East conflict will evolve once it has done modelling of the impact. The Governor revealed in the media conference that the RBA staff have not yet done this modelling. In the meantime, Westpac Economics' modelling and forecasts may provide a guide to possible outcomes.

The overall tone of the RBA's post-meeting (and indeed pre-meeting) communication remains broadly as it was in February. The RBA remains concerned that the domestic economy is too tight and demand growing too quickly. As we have highlighted in the past, their assessment rests heavily on a view that the Australian economy can only grow around 2% before hitting capacity constraints. This view, in turn, rests on relatively pessimistic assumptions about population and productivity. While this remains the RBA's view and inflation above target, rate hikes will remain on the table and our base case remains for a May rate hike.

Cliff Notes: fear overwhelms

Elliot Clarke, Head of International Economics
Mantas Vanagas, Senior Economist
Ryan Wells, Economist

Among the plethora of major central bank decisions this week, the RBA stood out from the pack, delivering a 25bp rate hike which took the cash rate to 4.10%. The widely expected decision was finely balanced in the end, the 5-4 split vote coming down to a difference in opinion over timing – the minority believing they had the opportunity to assess more data before acting.

In the press conference, Governor Bullock made clear that the decision was driven by the Board's assessment of the starting point for inflation, which is "already too high", and capacity developments, "the labour market ha[ving] tightened a little recently and [with] capacity pressures… slightly greater than previously assessed". The conflict in the Middle East is also adding to near-term price pressures and uncertainty. In this week's video update, Chief Economist Luci Ellis discusses these points in more detail. We continue to expect another 25bp hike in May, and the market sees a risk of further tightening before year end.

The RBA decision provided an interesting backdrop for the latest labour force survey which surprised on two fronts. Firstly, employment growth was firmer than expected, the 48.9k gain in February lifting the three-month average growth pace above its likely nadir, from 1.0%yr to 1.3%yr. Increased participation also lifted the unemployment rate to 4.3% in February after two months at 4.1%. We previously flagged the risk of a turnaround in participation lifting the unemployment rate. Assuming this turn persists in coming months, December/January will be seen as a display of weaker labour force participation temporarily compressing the unemployment rate rather than a meaningful 're-tightening'.

Before moving offshore, it is worth emphasising that, while higher fuel prices were "not the reason" for the RBA's March rate hike, the Middle East conflict was assessed to have skewed the risk profile for inflation to the upside, both in the near-term via global energy prices and "further out" should supply capacity be impacted, or inflation expectations increase materially. While the RBA have not yet modelled the impact in detail, our scenario analysis and deep-dive into Australia's exposure to energy price shocks provides the structure around our current thinking.

In the US, while the FOMC recognised the increase in global uncertainty since January, their focus remained on the domestic economy. GDP growth is now expected to be 2.4% in 2026 (prev. 2.3%) and, more significantly, 2.3% in 2027 (prev. 2.0%), then 2.1% in 2028 (prev. 1.9%), growth benefitting from productivity versus a stronger labour market. The consequences for inflation of tariffs and the Middle East conflict are, in contrast, seen as temporary, annual inflation revised up 0.3ppts to 2.7% for 2026 but only edged higher in 2027 to 2.2% and unchanged at 2.0% in 2028. Capacity constraints evident in the US economy (housing and energy are prime examples) continue to get little airplay in the FOMC's communications, so too the potential for second-round effects from energy and other commodities impacted by the conflict in the Middle East (fertiliser being an example). Inflation expectations are clearly not a concern for the FOMC, in stark contrast to the RBA's view for Australia.

The Committee's base case for the stance of policy therefore remains one cut in 2026 and another in 2027 to 3.1%, which is now members' best estimate of the US' longer run neutral rate. Westpac continues to believe that the FOMC are, at most, likely to cut once more in this cycle. The lack of private sector job creation spoken about in the press conference points to the timing of this cut being sooner than later. We have this decision pencilled in for June, albeit with low conviction. The more critical point here though is that, with economic and fiscal capacity constrained as well as potential upside risks from tariffs and commodities, term US yields are likely to rise from here.

> **"Westpac continues to believe that the FOMC are, at most, likely to cut once more in this cycle. "**

The global energy price shock meanwhile brought greater unity among policymakers at the Bank of England. Having previously voted to cut Bank Rate by the narrowest of margins in February, in March the Monetary Policy Committee unanimously opted to maintain the policy rate at 3.75%. Both the policy summary and meeting minutes emphasised the ongoing conflict in the Middle East and its repercussions for UK inflation. The committee remains particularly vigilant for any indications of domestic inflationary pressures emerging through second-round effects, though they also acknowledged the implications for inflation from weakening economic activity. In the minutes, MPC members noted that the policy stance has shifted from considering rate cuts towards the possibility of hikes, with concerns about higher inflation outweighing downside risks to growth. Even the most dovish members now appear open to the prospect of a rate hike. Fearing the duration of the current conflict, the market has priced more than two hikes before year end.

Across in Europe, the ECB Governing Council unanimously voted to keep interest rates unchanged, with the deposit rate remaining at 2.0%. The policy statement highlighted that the outlook has become considerably more uncertain due to the Middle East conflict, yet maintained a balanced tone, noting that "monetary policy is well positioned to navigate this uncertainty". President Lagarde argued during the press conference that the economy is in a stronger position compared to the 2022 energy shock, and the ECB is better equipped to assess the impact of shocks.

Previously, the ECB expected euro area inflation to be slightly below 2% in 2026 and 2027. Now, the ECB forecasts inflation to peak at 3.1%yr in Q2 and average 2.6%yr for this calendar year. However, these projections are based on financial market variables, including oil and gas prices, as of 11 March which current spot prices materially exceed. Helpfully, the ECB also released stress scenarios that assume more severe energy supply disruptions via the Strait of Hormuz and higher energy prices.

In their 'adverse scenario' – which appears closer to current experience – the ECB sees inflation at 3.5%yr for this year, while in the 'severe scenario' the ECB's modelling suggest it could rise as high as 4.4%yr and remain well above target through 2027. The impact on GDP growth appears to be more manageable, but still significant. Under the baseline scenario, 2026 growth is expected to be 0.9%yr, down from 1.2%yr forecast three months ago. It would be 0.3ppt and 0.5ppt lower in the adverse and severe stress scenarios, respectively.

As for inflation, under severe, the hit to GDP extends through 2027. The lesson to take from this scenario analysis is not the point estimates themselves, but rather that the impact on both inflation and growth of a loss of supply becomes increasingly non-linear as the duration of the crisis lengthens, as second round and confidence effects are felt. The risk to inflation expectations means that most central banks will initially be focused on price uncertainty near term, then the downside risks for activity as they appear – more so in 2027 than 2026.

Focus turns to the RBNZ after data dump

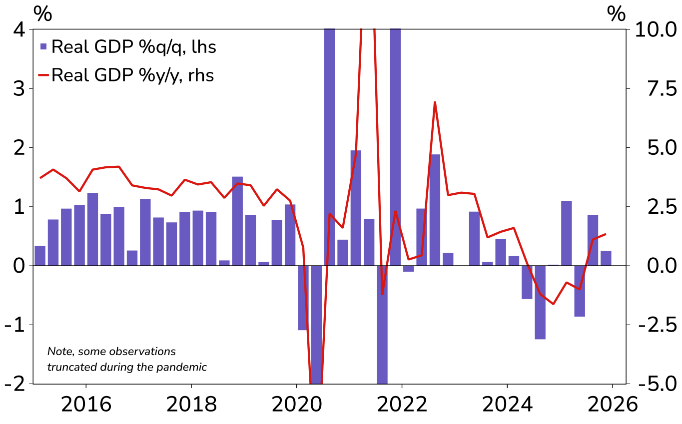
Darren Gibbs
Senior Economist

The past week has seen a heavy data flow in New Zealand. In normal times, this data would have been of intense market interest, but developments in the Middle East are understandably the focus for domestic market participants at present. That doesn't mean that these reports are unimportant as they provide some insight as to how the economy was travelling prior to the conflict. Momentum – or lack thereof – may play a role in determining how the economy navigates the oil price shock. It will certainly influence how the RBNZ reacts to these developments.

Q4 GDP disappoints; other data mixed this week

The most dated report was this week's release of the national accounts for the December 2025 quarter. The production-based measure of GDP grew just 0.2%q/q – below our recently downwardly-revised estimate of 0.4%q/q. And with growth in the September quarter revised down by 0.2%ppts to 0.9%q/q, annual growth was a lower-than-expected 1.3% (up still up from 1.1% in the September quarter). The level of activity in the December quarter was 0.4ppts lower than the RBNZ had estimated in the February Monetary Policy Statement.

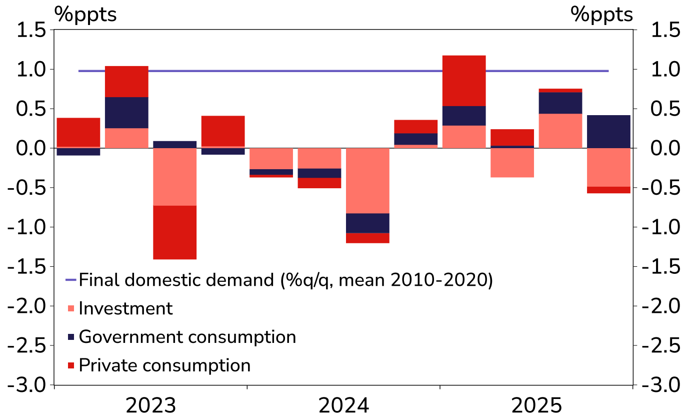
The economy grew modestly in Q4



Source: Stats NZ, Macrobond

The expenditure measure of GDP was also soft, up just 0.1%q/q. Household consumption fell by 0.1%q/q following a disappointingly flat September quarter, though this likely partly reflects ongoing issues with distinguishing between spending by households and spending by a growing level of overseas tourists. Business investment fell 3.1%q/q, led by lower spending on non-residential buildings, plant and machinery and transport equipment. Government spending and inventory accumulation made a positive contribution to growth.

Contributions to growth in final domestic demand



Source: Stats NZ, Macrobond, Westpac Economics

So, what do these figures mean for the RBNZ? At one level, they may ultimately prove to be of little more than historical interest, given the pall cast over the global economy in recent weeks by the Middle East conflict. But the RBNZ will likely conclude that while the New Zealand economy was regathering some momentum coming into this latest shock, it was still barely at a pace that would have halted the rise in unemployment or added to domestic inflation pressures. And mechanically, the RBNZ may modestly revise up its estimate of the size of the negative output gap that prevailed at the end of last year. Certainly, these figures make it even more likely that the RBNZ follows the textbook approach and attempts to look through the current oil price shock, while being mindful of the risks to inflation expectations should the period of high headline inflation be prolonged.

Turning to the external sector, a current account deficit of 3.7% of GDP was reported for 2025, down from 4.7% of GDP in 2024. The deficit was slightly wider than expected, with the investment income deficit widening in the December quarter (both due to weaker portfolio income credits and larger direct income debits). And given current developments in the Middle East, the deficit is likely to widen slightly due to the increase cost of imported fuel. However, at current levels, the current account deficit has ceased to be a major talking point, including for the credit ratings agencies.

Of more contemporary interest, following a disappointing January reading, Stats NZ reported a welcome 1.4%m/m rebound in consumer spending in February. The largest driver was a lift in grocery sales. We also saw a rise in discretionary spending areas, with sales of furnishings and other household durables up 1.3%m/m, while spending in bars and restaurants increased 2.4%m/m (spending by an increasing number of foreign tourists likely contributed to this growth).

Less positively, the Business NZ Performance of Services Index pointed to continued malaise across the broader services sector in February, with the headline index falling to a four-month low of 48.0. And somewhat disappointingly, MBIE's measure of job advertising was unchanged in February. Over coming months, we will be looking to see whether uncertainty created by the Middle East conflict interrupts the gradual uptrend in job advertising that has been evident since around the middle of last year.

Given the pressures that higher fuel prices will impose on household budgets, there are questions about whether the strength in consumer spending will be sustained, at least in the near term. This week's Westpac-McDermott Miller Consumer Confidence survey reported only a modest decline in sentiment over the past three months. However, our survey was in the field from early March and likely will not have fully captured the impact of the sharp increase in fuel prices that many respondents will have experienced in recent days. We will be interested to see whether there is a larger impact when the ANZ releases its monthly consumer confidence index at the end of next week.

The news from the housing market was a mixed bag. The number of house sales grew 1.5%m/m in February. While initial counts tend to slightly understate sales completed late in the month, this followed a 4.5%m/m decline in January and left sales at a similar level to a year earlier. House prices rose a seasonally-adjusted 0.6%m/m – the largest increase in more than two years but median days to sell lengthened to a 14-month high of 48 days. Given the month-to-month volatility, we are hesitant to read much into a single month of data, but at least the growth in house prices is a step in the direction of our forecast for moderate house price growth this year.

Finally, this week's partial CPI data for February left us comfortable with our forecast that annual CPI inflation will drop back to 2.8% in the March quarter – a move back inside the 1-3% target band that now seems certain to be short-lived given the conflict-induced surge in fuel prices. Of note was a 0.1%m/m fall in average housing rents – the first monthly decline in the 20-year history of the data. As with the soft trend in house prices, the weakness in rents reflects low population growth and the large numbers of properties available. Other CPI components were a mixed bag, with domestic airfares down but international airfares rising. Clearly both are now subject to significant upward pressure given the huge spike in the price of aviation fuel.

RBNZ Governor to provide key update next week

With the data out of the way, attention will now turn to how the RBNZ is interpreting recent economic data and developments in the Middle East. In advance of the next formal policy review on 8 April, Governor Anna Breman will have the opportunity to guide the market when she delivers a speech to a local business audience on Tuesday (24 March). While Breman had initially planned to focus on the steps being taken to modernise the payments system, considering recent developments the speech will now discuss the ongoing conflict in the Middle East, and the potential impacts of this evolving situation on the New Zealand economy. The speech will be published on the RBNZ website at 9am ahead of two other external engagement events that day (including one with external economists and analysts).

While the RBNZ's advisory states that this speech will not pre-empt the MPC's April Monetary Policy Review decision, at the very minimum, we expect that the Governor will lay out the framework the Bank will use to analyse the impact of the war on the New Zealand economy i.e., the main channels of influence and the short-term inflation and activity trade-offs that the MPC may need to consider when setting monetary policy. We think that there is a better than even chance that the Breman will go further and give a preliminary assessment of how the shock is impacting the MPC's assessment of the policy outlook.

If she does, we think that her comments will lean against the market's current pricing of close to three 25bps OCR hikes this year (which compares starkly with the RBNZ's February MPS indication of just a chance of a single 25bp hike). We expect Breman to acknowledge that headline inflation will be higher this year than forecast in February. And as any good central banker should, we expect that she will indicate that the RBNZ will be vigilant in looking for signs of any second-round impacts that might cause higher-than-target inflation to persist well into next year. However, crucially, we also expect Breman will argue that the New Zealand economy is operating with a large degree of spare capacity – including in the labour market – and that this "negative output gap" makes it less likely that a temporary oil price shock will lead to persistent inflation. And she may indicate an expectation that this negative output gap will remain for longer than the Bank estimated in February, given that higher oil prices and the current tightening of financial conditions will weigh on both trading partner and domestic economic growth.

Finally, we note that the RBNZ has announced this week that from the 8 April review onwards, all OCR decisions will now be followed by a press conference (rather than just those that follow the release of a Monetary Policy Statement). This is a welcome development to boost transparency – one that we had recommended in a paper last year – and is especially timely in the current fast-moving environment.

AUS: Q1 Westpac-ACCI Business Survey (index)

Mar 24, Last: 55.1

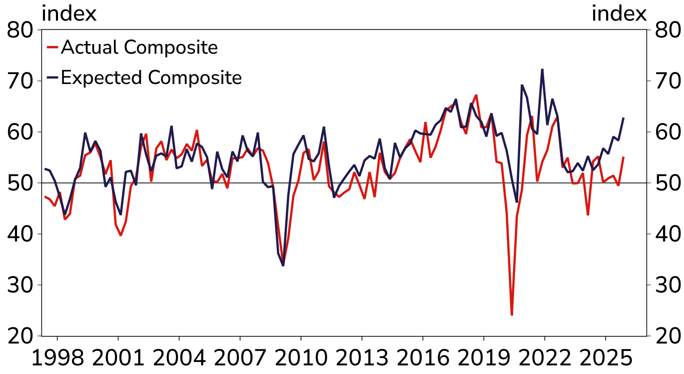
Conditions in the manufacturing sector improved significantly late last year. The Westpac-ACCI Actual Composite moved decisively into positive territory, up from 49.4 in Q3 to 55.1 in Q4, marking the strongest reading since mid-2024.

This improvement echoes trends in official data. There is a genuine upswing in consumer spending underway, coming off the back of an improvement in real household disposable incomes. Moreover, there were some early signs of a broader pick-up in investment across the economy.

The Q1 survey was in the field predominately before the surge in oil prices following the US-Israel strikes against Iran. The focus will be instead on how the recovery in manufacturing is tracking and how existing constraints around labour and materials are evolving.

Westpac-ACCI Composite Indexes

Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

AUS: February CPI (%yr)

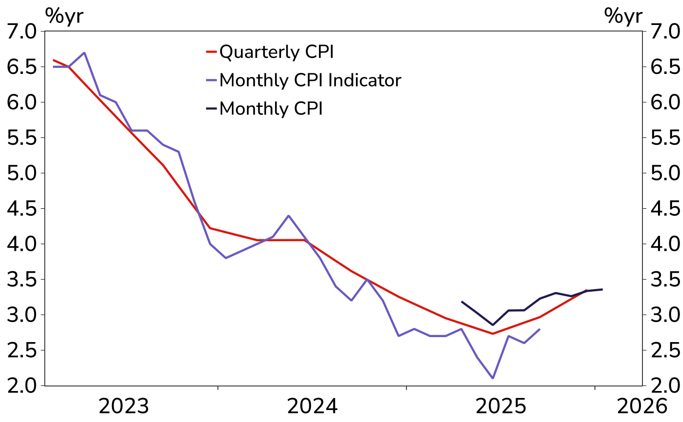
Mar 25, Last: 3.8, WBC f/c: 3.8
Mkt f/c: 3.8, Range: 3.5 to 4.3

February is a seasonally softer month, our 0.1%mth estimate translates to 0.3% in seasonally adjusted terms. This matches the 0.1% increase a year earlier holing the annual pace at 3.8%yr.

Fuel prices were still falling through February and we estimate they were down –4.5% in the month adding to the seasonal –6.9% fall in holiday accommodation & travel. Offsetting this is the 5.4% increase in education, 0.4% increase in rents, a 0.5% gain in dwellings, a 0.9% increase in electricity and a 2.9% gain in garments.

We estimate a 0.3%mth (0.34%) rise in the Trimmed Mean, holding the annual pace steady at 3.4%yr. The the six-month annualised rate pick up to 3.6%yr from 3.4%yr but this is still less than 3.7% in December and the pace will ease from here.

Trimmed Mean Inflation



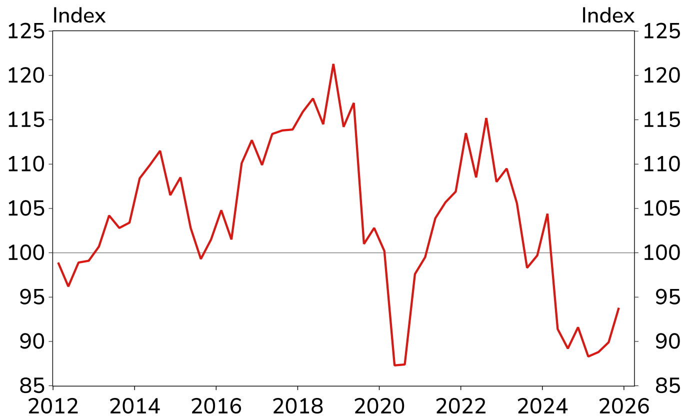
Source: ABS, Macrobond, Westpac Economics

NZ: Q1 Westpac-McDermott Miller Employment Confidence (index)

Mar 25, Last: 93.8

Employment confidence improved modestly in December last year, although a perceived lack of job opportunities and low job security remained key concerns for New Zealanders. There have been signs in recent months of a stabilisation in job numbers and a modest lift in hiring, although the unemployment rate rose further to 5.4% in the December quarter. Note that as with the Consumer Confidence Index, this survey was conducted on 1-12 March, during the early stages of the US-Iran conflict.

Employment Confidence Index



Source: Westpac-McDermott Miller, Macrobond

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 23							
Eur	Mar	Consumer Confidence	index	–12.2	–	–	Slightly above the five–year average, but gains are hard–going.
US	Feb	Chicago Fed Activity Index	index	0.18	–	–	Suggests the economy is expanding above historical trend.
	Jan	Construction Spending	%mth	0.3	–	–	Outlook cloudy amid high inventories and weak confidence.
Tue 24							
Aus	Q1	Westpac–ACCI Business Survey	index	55.1	–	–	Conditions in local manufacturing improved late last year.
NZ	–	RBNZ Gov Breman speech	–	–	–	–	Speech on potential impacts of Middle East conflict on NZ.
Jpn	Feb	CPI	%ann	1.5	–	–	Energy subsidies bringing headline inflation lower.
	Mar	S&P Global Manufacturing PMI	index	53.0	–	–	Conditions are decisively expansionary across industry and ...
	Mar	S&P Global Services PMI	index	53.8	–	–	... services, but Middle–East shock likely to hit confidence.
Eur	Mar	HCOB Manufacturing PMI	index	50.8	49.8	–	Recovery forming a broader–based in manufacturing ...
	Mar	HCOB Services PMI	index	51.9	50.4	–	... services activity, while still positive, has cooled recently.
UK	Mar	S&P Global Manufacturing PMI	index	51.7	–	–	Solid start to the year for manufacturing could prove fleeting ...
	Mar	S&P Global Services PMI	index	53.9	53.0	–	... given risks offshore; services is nonetheless supportive.
US	Mar	S&P Global Manufacturing PMI	index	51.6	–	–	Suggests US manufacturing has largely been unperturbed ...
	Mar	S&P Global Services PMI	index	51.7	–	–	... while services expands modestly, unlike the ISM's 'boom'.
	Mar	Richmond Fed Manufacturing	index	–10	–	–	Highly volatile and pointing to clear downside risks.
Wed 25							
Aus	Feb	CPI	%ann	3.8	3.8	3.8	Falling fuel & holidays offsetting rising education and housing.
NZ	Q1	Westpac MM Empl. confidence	index	93.8	–	–	Surveying occurred after the outbreak of war and surge in oil.
Ger	Mar	IFO Business Climate Survey	index	88.6	87.0	–	Expectations lifted last year, but current assessments still weak.
UK	Feb	CPI	%ann	3.0	3.1	–	UK inflation before the energy price shock.
US	Mar	Import Price Index	%mth	0.2	–	–	Pre–tariff prices for imported goods appear broadly stable.
Thu 26							
Aus		RBA Speak	–	–	–	–	Assistant Governor Chris Kent speaks in Sydney.
US		Initial Jobless Claims	000s	205	–	–	Still at a low level versus history.
	Mar	Kansas City Fed Manufacturing	index	5	–	–	Manufacturing in the mid–west is gradually improving.
Fri 27							
NZ	Mar	ANZ Consumer Confidence	index	–	–	–	Likely to fall in response to growing cost of living pressures.
Chn	Feb	Industrial Profits	ytd %yr	0.6	–	–	Turning positive on anti–involution and high–tech focus.
	Q4	Current Account Balance	US$bn	242.1	–	–	Final estimate.
UK	Mar	GfK Consumer Sentiment	index	–19	–	–	Confidence is above–average but sensitive to inflation risks.
	Feb	Retail Sales	%mth	1.8	–	–	Consumers showing clearer signs of life.
US	Mar	Uni. of Michigan Sentiment	index	55.5	–	–	Final estimate will include weaker readings since Iran war.
		Fedspeak	–	–	–	–	Jefferson, Daly and Paulson.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (20 Mar)	Mar–26	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.10	4.35	4.35	4.35	4.35	4.35	4.35	3.85	3.60	3.60
90 Day BBSW	4.2875	4.30	4.40	4.40	4.40	4.45	4.45	4.30	3.80	3.70	3.70
3 Year Swap	4.75	4.45	4.45	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
3 Year Bond	4.74	4.45	4.45	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
10 Year Bond	5.01	4.95	4.95	4.90	4.85	4.80	4.75	4.75	4.70	4.70	4.70
10 Year Spread to US (bps)	76	75	65	55	45	35	25	20	10	5	0
United States											
Fed Funds	3.625	3.625	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375
US 10 Year Bond	4.25	4.20	4.30	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70
New Zealand											
Cash	2.25	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.52	2.45	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.49	3.30	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.74	4.75	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	49	55	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (20 Mar)	Mar–26	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7082	0.72	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5882	0.59	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	158.31	158	156	155	154	152	150	148	146	144	142
EUR/USD	1.1558	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3406	1.34	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8944	6.85	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2038	1.22	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.4	0.9	0.4	0.4	0.6	0.6	0.6	0.6	2.0	2.2	2.3	2.7
%yr end	2.1	2.4	2.4	2.0	2.3	2.0	2.2	2.4	2.4	2.0	2.3	2.8
Unemployment rate %	4.3	4.2	4.1	4.2	4.3	4.4	4.5	4.5	4.2	4.4	4.5	4.4
Wages (WPI) %qtr	0.8	0.8	0.8	0.7	0.7	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.1	3.0	3.0	3.0	3.1	3.4	3.0	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.2	1.3	0.9	0.4	0.5	0.5	–	–	–	–
%yr end	3.2	3.6	3.9	4.6	4.1	3.9	3.2	2.3	3.6	3.9	2.3	2.7
CPI Trimmed Mean %qtr	1.0	0.9	0.9	0.8	0.9	0.8	0.7	0.6	–	–	–	–
%yr end	3.0	3.4	3.5	3.6	3.5	3.4	3.2	3.0	3.4	3.4	2.6	2.6

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	0.4	0.8	0.8	1.1	0.5	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.5	1.7	2.1	2.6	2.9	–0.3	0.2	2.1	3.1
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.0	4.8	4.7	5.1	5.4	5.0	4.5
CPI %qtr	1.0	0.6	0.6	0.9	1.0	0.2	0.3	0.4	–	–	–	–
Annual change	3.0	3.1	2.8	3.1	3.2	2.8	2.5	1.9	2.2	3.1	2.8	2.1

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Week beginning 23 March 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA hikes cash rate to 4.10% in split decision.

The Week That Was: Fear overwhelms.

Focus on New Zealand: Focus turns to the RBNZ after data dump.

For the week ahead:

Australia: CPI, Westpac-ACCI business survey.

New Zealand: consumer confidence.

Euro area: consumer confidence, German IFO survey.

United Kingdom: CPI, consumer confidence, retail sales.

United States: Fed surveys, import prices, jobless claims, consumer confidence.

Global: S&P Global PMIs.

Information contained in this report current as at 20 March 2026.

RBA hikes cash rate to 4.10% in split decision

Luci Ellis
Chief Economist, Westpac Group

- **As was widely expected, the RBA Monetary Policy Board (MPB) raised the cash rate 25bps to 4.10% following its March meeting. We flagged the possibility that it could be a split decision, but the 5:4 vote was an even finer majority than we thought might occur.**
- The main reasons for the decision were the existing assessment that Australia is experiencing capacity pressures, coupled with the increase in inflation expectations that has already occurred in response to the Middle East conflict and associated spike in petrol prices.
- With the Board already split, a follow-up hike in May looks less certain. But (as revealed in the media conference) all members agreed that a hike was needed and the question was more about timing. We therefore retain a May hike as our base case. Whether the conflict in the Middle East is still ongoing and how it evolves from here will be crucial.
- The Board are also still concerned about domestic capacity pressures keeping inflation above target. This will mean rate hikes will remain on the table until inflation risks have clearly subsided.

Private sector demand growth was stronger than the RBA expected in late 2025, though consumption and unit labour costs were softer. The Board still assesses that part of the increase in inflation late last year reflected temporary factors. However, it is has taken signal from the recent strength in labour market data and now believes that capacity pressures are slightly greater than previously assessed. (This, incidentally, was the information value in the Deputy Governor's podcast: that data revisions in the national accounts released earlier in the month did not dislodge the RBA's view that trend growth in supply capacity is still only around 2%. It is well-understood that the internal Board members cannot front-run the whole Board, the way central banks with entirely internal members can.)

That "slightly" might point to one area where Board members' views differ. Also noteworthy is the addition of the word "material" in a sentence that also appeared in the February post-meeting statement without that qualifier: "There are material uncertainties about the outlook for domestic economic activity and inflation and the extent to which monetary policy is restrictive."

The other key reason for the decision centred on concerns about the inflationary impact of the Middle East conflict. The traditional thinking around the appropriate monetary response to a temporary supply shock such as a lift in oil prices was to look through it, so long as inflation expectations remained anchored. Near-term inflation expectations have already increased in response to the spike in fuel prices. However, the sparse evidence on more medium-term expectations of financial market participants suggests that these remain well-behaved, in Australia at least.

Yet the post-meeting statement highlighted the implications for (headline) inflation globally and domestically. In addition to the channel through inflation expectations, the post-meeting statement highlighted the possibility that an extended period of high energy prices and uncertainty would degrade supply capacity and thus be inflationary. Most other observers would see that scenario as a global recession risk with rather different policy implications. At the least, we struggle to imagine a scenario where the Strait of Hormuz remains closed for many months without sentiment and financial markets weakening considerably. The consequences for global growth in that scenario would be far from trivial, and not solely on the supply side.

It is possible that the RBA's assessment of the implications of the Middle East conflict will evolve once it has done modelling of the impact. The Governor revealed in the media conference that the RBA staff have not yet done this modelling. In the meantime, Westpac Economics' modelling and forecasts may provide a guide to possible outcomes.

The overall tone of the RBA's post-meeting (and indeed pre-meeting) communication remains broadly as it was in February. The RBA remains concerned that the domestic economy is too tight and demand growing too quickly. As we have highlighted in the past, their assessment rests heavily on a view that the Australian economy can only grow around 2% before hitting capacity constraints. This view, in turn, rests on relatively pessimistic assumptions about population and productivity. While this remains the RBA's view and inflation above target, rate hikes will remain on the table and our base case remains for a May rate hike.

Cliff Notes: fear overwhelms

Elliot Clarke, Head of International Economics
Mantas Vanagas, Senior Economist
Ryan Wells, Economist

Among the plethora of major central bank decisions this week, the RBA stood out from the pack, delivering a 25bp rate hike which took the cash rate to 4.10%. The widely expected decision was finely balanced in the end, the 5-4 split vote coming down to a difference in opinion over timing – the minority believing they had the opportunity to assess more data before acting.

In the press conference, Governor Bullock made clear that the decision was driven by the Board's assessment of the starting point for inflation, which is "already too high", and capacity developments, "the labour market ha[ving] tightened a little recently and [with] capacity pressures… slightly greater than previously assessed". The conflict in the Middle East is also adding to near-term price pressures and uncertainty. In this week's video update, Chief Economist Luci Ellis discusses these points in more detail. We continue to expect another 25bp hike in May, and the market sees a risk of further tightening before year end.

The RBA decision provided an interesting backdrop for the latest labour force survey which surprised on two fronts. Firstly, employment growth was firmer than expected, the 48.9k gain in February lifting the three-month average growth pace above its likely nadir, from 1.0%yr to 1.3%yr. Increased participation also lifted the unemployment rate to 4.3% in February after two months at 4.1%. We previously flagged the risk of a turnaround in participation lifting the unemployment rate. Assuming this turn persists in coming months, December/January will be seen as a display of weaker labour force participation temporarily compressing the unemployment rate rather than a meaningful 're-tightening'.

Before moving offshore, it is worth emphasising that, while higher fuel prices were "not the reason" for the RBA's March rate hike, the Middle East conflict was assessed to have skewed the risk profile for inflation to the upside, both in the near-term via global energy prices and "further out" should supply capacity be impacted, or inflation expectations increase materially. While the RBA have not yet modelled the impact in detail, our scenario analysis and deep-dive into Australia's exposure to energy price shocks provides the structure around our current thinking.

In the US, while the FOMC recognised the increase in global uncertainty since January, their focus remained on the domestic economy. GDP growth is now expected to be 2.4% in 2026 (prev. 2.3%) and, more significantly, 2.3% in 2027 (prev. 2.0%), then 2.1% in 2028 (prev. 1.9%), growth benefitting from productivity versus a stronger labour market. The consequences for inflation of tariffs and the Middle East conflict are, in contrast, seen as temporary, annual inflation revised up 0.3ppts to 2.7% for 2026 but only edged higher in 2027 to 2.2% and unchanged at 2.0% in 2028. Capacity constraints evident in the US economy (housing and energy are prime examples) continue to get little airplay in the FOMC's communications, so too the potential for second-round effects from energy and other commodities impacted by the conflict in the Middle East (fertiliser being an example). Inflation expectations are clearly not a concern for the FOMC, in stark contrast to the RBA's view for Australia.

The Committee's base case for the stance of policy therefore remains one cut in 2026 and another in 2027 to 3.1%, which is now members' best estimate of the US' longer run neutral rate. Westpac continues to believe that the FOMC are, at most, likely to cut once more in this cycle. The lack of private sector job creation spoken about in the press conference points to the timing of this cut being sooner than later. We have this decision pencilled in for June, albeit with low conviction. The more critical point here though is that, with economic and fiscal capacity constrained as well as potential upside risks from tariffs and commodities, term US yields are likely to rise from here.

> **"Westpac continues to believe that the FOMC are, at most, likely to cut once more in this cycle. "**

The global energy price shock meanwhile brought greater unity among policymakers at the Bank of England. Having previously voted to cut Bank Rate by the narrowest of margins in February, in March the Monetary Policy Committee unanimously opted to maintain the policy rate at 3.75%. Both the policy summary and meeting minutes emphasised the ongoing conflict in the Middle East and its repercussions for UK inflation. The committee remains particularly vigilant for any indications of domestic inflationary pressures emerging through second-round effects, though they also acknowledged the implications for inflation from weakening economic activity. In the minutes, MPC members noted that the policy stance has shifted from considering rate cuts towards the possibility of hikes, with concerns about higher inflation outweighing downside risks to growth. Even the most dovish members now appear open to the prospect of a rate hike. Fearing the duration of the current conflict, the market has priced more than two hikes before year end.

Across in Europe, the ECB Governing Council unanimously voted to keep interest rates unchanged, with the deposit rate remaining at 2.0%. The policy statement highlighted that the outlook has become considerably more uncertain due to the Middle East conflict, yet maintained a balanced tone, noting that "monetary policy is well positioned to navigate this uncertainty". President Lagarde argued during the press conference that the economy is in a stronger position compared to the 2022 energy shock, and the ECB is better equipped to assess the impact of shocks.

Previously, the ECB expected euro area inflation to be slightly below 2% in 2026 and 2027. Now, the ECB forecasts inflation to peak at 3.1%yr in Q2 and average 2.6%yr for this calendar year. However, these projections are based on financial market variables, including oil and gas prices, as of 11 March which current spot prices materially exceed. Helpfully, the ECB also released stress scenarios that assume more severe energy supply disruptions via the Strait of Hormuz and higher energy prices.

In their 'adverse scenario' – which appears closer to current experience – the ECB sees inflation at 3.5%yr for this year, while in the 'severe scenario' the ECB's modelling suggest it could rise as high as 4.4%yr and remain well above target through 2027. The impact on GDP growth appears to be more manageable, but still significant. Under the baseline scenario, 2026 growth is expected to be 0.9%yr, down from 1.2%yr forecast three months ago. It would be 0.3ppt and 0.5ppt lower in the adverse and severe stress scenarios, respectively.

As for inflation, under severe, the hit to GDP extends through 2027. The lesson to take from this scenario analysis is not the point estimates themselves, but rather that the impact on both inflation and growth of a loss of supply becomes increasingly non-linear as the duration of the crisis lengthens, as second round and confidence effects are felt. The risk to inflation expectations means that most central banks will initially be focused on price uncertainty near term, then the downside risks for activity as they appear – more so in 2027 than 2026.

Focus turns to the RBNZ after data dump

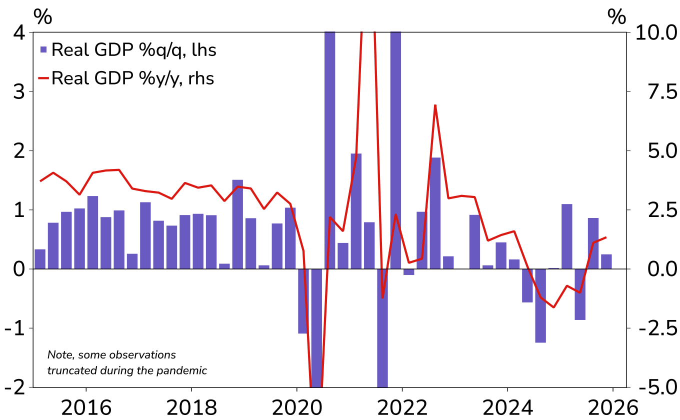
Darren Gibbs
Senior Economist

The past week has seen a heavy data flow in New Zealand. In normal times, this data would have been of intense market interest, but developments in the Middle East are understandably the focus for domestic market participants at present. That doesn't mean that these reports are unimportant as they provide some insight as to how the economy was travelling prior to the conflict. Momentum – or lack thereof – may play a role in determining how the economy navigates the oil price shock. It will certainly influence how the RBNZ reacts to these developments.

Q4 GDP disappoints; other data mixed this week

The most dated report was this week's release of the national accounts for the December 2025 quarter. The production-based measure of GDP grew just 0.2%q/q – below our recently downwardly-revised estimate of 0.4%q/q. And with growth in the September quarter revised down by 0.2%ppts to 0.9%q/q, annual growth was a lower-than-expected 1.3% (up still up from 1.1% in the September quarter). The level of activity in the December quarter was 0.4ppts lower than the RBNZ had estimated in the February Monetary Policy Statement.

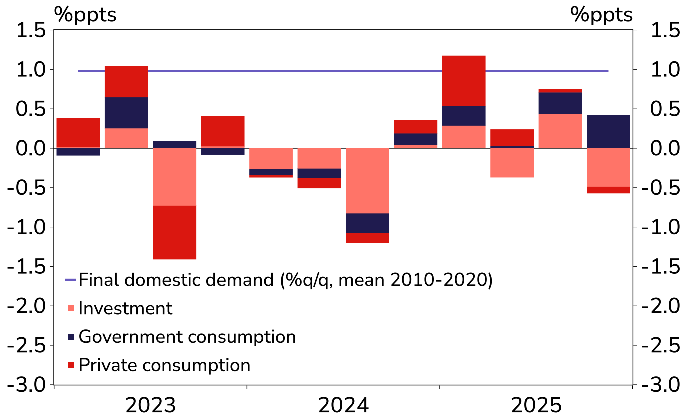
The economy grew modestly in Q4



Source: Stats NZ, Macrobond

The expenditure measure of GDP was also soft, up just 0.1%q/q. Household consumption fell by 0.1%q/q following a disappointingly flat September quarter, though this likely partly reflects ongoing issues with distinguishing between spending by households and spending by a growing level of overseas tourists. Business investment fell 3.1%q/q, led by lower spending on non-residential buildings, plant and machinery and transport equipment. Government spending and inventory accumulation made a positive contribution to growth.

Contributions to growth in final domestic demand



Source: Stats NZ, Macrobond, Westpac Economics

So, what do these figures mean for the RBNZ? At one level, they may ultimately prove to be of little more than historical interest, given the pall cast over the global economy in recent weeks by the Middle East conflict. But the RBNZ will likely conclude that while the New Zealand economy was regathering some momentum coming into this latest shock, it was still barely at a pace that would have halted the rise in unemployment or added to domestic inflation pressures. And mechanically, the RBNZ may modestly revise up its estimate of the size of the negative output gap that prevailed at the end of last year. Certainly, these figures make it even more likely that the RBNZ follows the textbook approach and attempts to look through the current oil price shock, while being mindful of the risks to inflation expectations should the period of high headline inflation be prolonged.

Turning to the external sector, a current account deficit of 3.7% of GDP was reported for 2025, down from 4.7% of GDP in 2024. The deficit was slightly wider than expected, with the investment income deficit widening in the December quarter (both due to weaker portfolio income credits and larger direct income debits). And given current developments in the Middle East, the deficit is likely to widen slightly due to the increase cost of imported fuel. However, at current levels, the current account deficit has ceased to be a major talking point, including for the credit ratings agencies.

Of more contemporary interest, following a disappointing January reading, Stats NZ reported a welcome 1.4%m/m rebound in consumer spending in February. The largest driver was a lift in grocery sales. We also saw a rise in discretionary spending areas, with sales of furnishings and other household durables up 1.3%m/m, while spending in bars and restaurants increased 2.4%m/m (spending by an increasing number of foreign tourists likely contributed to this growth).

Less positively, the Business NZ Performance of Services Index pointed to continued malaise across the broader services sector in February, with the headline index falling to a four-month low of 48.0. And somewhat disappointingly, MBIE's measure of job advertising was unchanged in February. Over coming months, we will be looking to see whether uncertainty created by the Middle East conflict interrupts the gradual uptrend in job advertising that has been evident since around the middle of last year.

Given the pressures that higher fuel prices will impose on household budgets, there are questions about whether the strength in consumer spending will be sustained, at least in the near term. This week's Westpac-McDermott Miller Consumer Confidence survey reported only a modest decline in sentiment over the past three months. However, our survey was in the field from early March and likely will not have fully captured the impact of the sharp increase in fuel prices that many respondents will have experienced in recent days. We will be interested to see whether there is a larger impact when the ANZ releases its monthly consumer confidence index at the end of next week.

The news from the housing market was a mixed bag. The number of house sales grew 1.5%m/m in February. While initial counts tend to slightly understate sales completed late in the month, this followed a 4.5%m/m decline in January and left sales at a similar level to a year earlier. House prices rose a seasonally-adjusted 0.6%m/m – the largest increase in more than two years but median days to sell lengthened to a 14-month high of 48 days. Given the month-to-month volatility, we are hesitant to read much into a single month of data, but at least the growth in house prices is a step in the direction of our forecast for moderate house price growth this year.

Finally, this week's partial CPI data for February left us comfortable with our forecast that annual CPI inflation will drop back to 2.8% in the March quarter – a move back inside the 1-3% target band that now seems certain to be short-lived given the conflict-induced surge in fuel prices. Of note was a 0.1%m/m fall in average housing rents – the first monthly decline in the 20-year history of the data. As with the soft trend in house prices, the weakness in rents reflects low population growth and the large numbers of properties available. Other CPI components were a mixed bag, with domestic airfares down but international airfares rising. Clearly both are now subject to significant upward pressure given the huge spike in the price of aviation fuel.

RBNZ Governor to provide key update next week

With the data out of the way, attention will now turn to how the RBNZ is interpreting recent economic data and developments in the Middle East. In advance of the next formal policy review on 8 April, Governor Anna Breman will have the opportunity to guide the market when she delivers a speech to a local business audience on Tuesday (24 March). While Breman had initially planned to focus on the steps being taken to modernise the payments system, considering recent developments the speech will now discuss the ongoing conflict in the Middle East, and the potential impacts of this evolving situation on the New Zealand economy. The speech will be published on the RBNZ website at 9am ahead of two other external engagement events that day (including one with external economists and analysts).

While the RBNZ's advisory states that this speech will not pre-empt the MPC's April Monetary Policy Review decision, at the very minimum, we expect that the Governor will lay out the framework the Bank will use to analyse the impact of the war on the New Zealand economy i.e., the main channels of influence and the short-term inflation and activity trade-offs that the MPC may need to consider when setting monetary policy. We think that there is a better than even chance that the Breman will go further and give a preliminary assessment of how the shock is impacting the MPC's assessment of the policy outlook.

If she does, we think that her comments will lean against the market's current pricing of close to three 25bps OCR hikes this year (which compares starkly with the RBNZ's February MPS indication of just a chance of a single 25bp hike). We expect Breman to acknowledge that headline inflation will be higher this year than forecast in February. And as any good central banker should, we expect that she will indicate that the RBNZ will be vigilant in looking for signs of any second-round impacts that might cause higher-than-target inflation to persist well into next year. However, crucially, we also expect Breman will argue that the New Zealand economy is operating with a large degree of spare capacity – including in the labour market – and that this "negative output gap" makes it less likely that a temporary oil price shock will lead to persistent inflation. And she may indicate an expectation that this negative output gap will remain for longer than the Bank estimated in February, given that higher oil prices and the current tightening of financial conditions will weigh on both trading partner and domestic economic growth.

Finally, we note that the RBNZ has announced this week that from the 8 April review onwards, all OCR decisions will now be followed by a press conference (rather than just those that follow the release of a Monetary Policy Statement). This is a welcome development to boost transparency – one that we had recommended in a paper last year – and is especially timely in the current fast-moving environment.

AUS: Q1 Westpac-ACCI Business Survey (index)

Mar 24, Last: 55.1

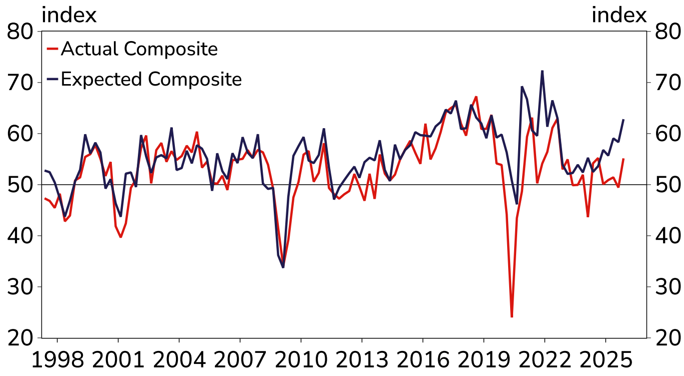
Conditions in the manufacturing sector improved significantly late last year. The Westpac-ACCI Actual Composite moved decisively into positive territory, up from 49.4 in Q3 to 55.1 in Q4, marking the strongest reading since mid-2024.

This improvement echoes trends in official data. There is a genuine upswing in consumer spending underway, coming off the back of an improvement in real household disposable incomes. Moreover, there were some early signs of a broader pick-up in investment across the economy.

The Q1 survey was in the field predominately before the surge in oil prices following the US-Israel strikes against Iran. The focus will be instead on how the recovery in manufacturing is tracking and how existing constraints around labour and materials are evolving.

Westpac-ACCI Composite Indexes

Actual & Expected, Seasonally Adjusted



Source: ACCI, Westpac Economics, Macrobond

AUS: February CPI (%yr)

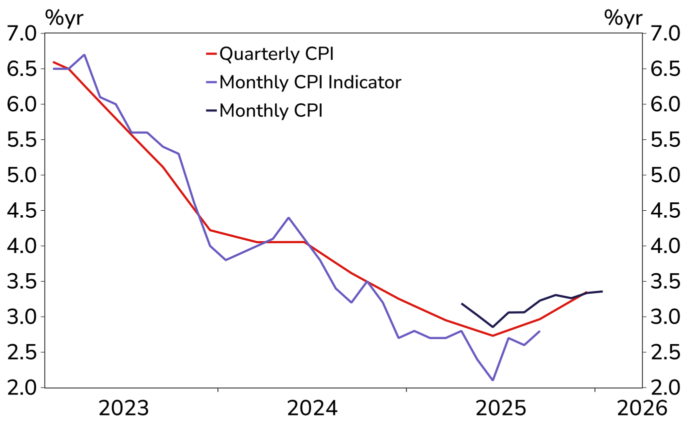
Mar 25, Last: 3.8, WBC f/c: 3.8
Mkt f/c: 3.8, Range: 3.5 to 4.3

February is a seasonally softer month, our 0.1%mth estimate translates to 0.3% in seasonally adjusted terms. This matches the 0.1% increase a year earlier holing the annual pace at 3.8%yr.

Fuel prices were still falling through February and we estimate they were down –4.5% in the month adding to the seasonal –6.9% fall in holiday accommodation & travel. Offsetting this is the 5.4% increase in education, 0.4% increase in rents, a 0.5% gain in dwellings, a 0.9% increase in electricity and a 2.9% gain in garments.

We estimate a 0.3%mth (0.34%) rise in the Trimmed Mean, holding the annual pace steady at 3.4%yr. The the six-month annualised rate pick up to 3.6%yr from 3.4%yr but this is still less than 3.7% in December and the pace will ease from here.

Trimmed Mean Inflation



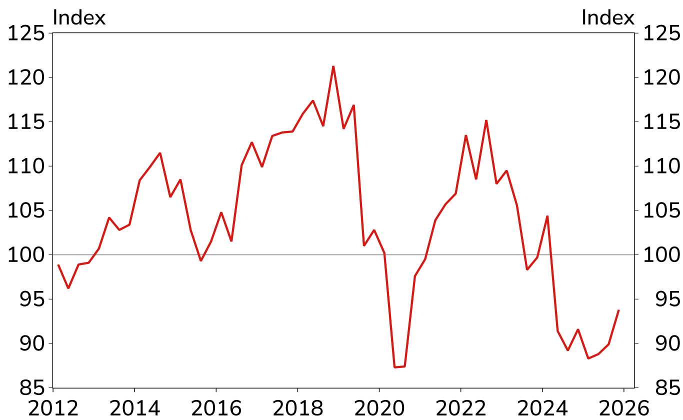
Source: ABS, Macrobond, Westpac Economics

NZ: Q1 Westpac-McDermott Miller Employment Confidence (index)

Mar 25, Last: 93.8

Employment confidence improved modestly in December last year, although a perceived lack of job opportunities and low job security remained key concerns for New Zealanders. There have been signs in recent months of a stabilisation in job numbers and a modest lift in hiring, although the unemployment rate rose further to 5.4% in the December quarter. Note that as with the Consumer Confidence Index, this survey was conducted on 1-12 March, during the early stages of the US-Iran conflict.

Employment Confidence Index



Source: Westpac-McDermott Miller, Macrobond

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 23							
Eur	Mar	Consumer Confidence	index	–12.2	–	–	Slightly above the five–year average, but gains are hard–going.
US	Feb	Chicago Fed Activity Index	index	0.18	–	–	Suggests the economy is expanding above historical trend.
	Jan	Construction Spending	%mth	0.3	–	–	Outlook cloudy amid high inventories and weak confidence.
Tue 24							
Aus	Q1	Westpac–ACCI Business Survey	index	55.1	–	–	Conditions in local manufacturing improved late last year.
NZ	–	RBNZ Gov Breman speech	–	–	–	–	Speech on potential impacts of Middle East conflict on NZ.
Jpn	Feb	CPI	%ann	1.5	–	–	Energy subsidies bringing headline inflation lower.
	Mar	S&P Global Manufacturing PMI	index	53.0	–	–	Conditions are decisively expansionary across industry and ...
	Mar	S&P Global Services PMI	index	53.8	–	–	... services, but Middle–East shock likely to hit confidence.
Eur	Mar	HCOB Manufacturing PMI	index	50.8	49.8	–	Recovery forming a broader–based in manufacturing ...
	Mar	HCOB Services PMI	index	51.9	50.4	–	... services activity, while still positive, has cooled recently.
UK	Mar	S&P Global Manufacturing PMI	index	51.7	–	–	Solid start to the year for manufacturing could prove fleeting ...
	Mar	S&P Global Services PMI	index	53.9	53.0	–	... given risks offshore; services is nonetheless supportive.
US	Mar	S&P Global Manufacturing PMI	index	51.6	–	–	Suggests US manufacturing has largely been unperturbed ...
	Mar	S&P Global Services PMI	index	51.7	–	–	... while services expands modestly, unlike the ISM's 'boom'.
	Mar	Richmond Fed Manufacturing	index	–10	–	–	Highly volatile and pointing to clear downside risks.
Wed 25							
Aus	Feb	CPI	%ann	3.8	3.8	3.8	Falling fuel & holidays offsetting rising education and housing.
NZ	Q1	Westpac MM Empl. confidence	index	93.8	–	–	Surveying occurred after the outbreak of war and surge in oil.
Ger	Mar	IFO Business Climate Survey	index	88.6	87.0	–	Expectations lifted last year, but current assessments still weak.
UK	Feb	CPI	%ann	3.0	3.1	–	UK inflation before the energy price shock.
US	Mar	Import Price Index	%mth	0.2	–	–	Pre–tariff prices for imported goods appear broadly stable.
Thu 26							
Aus		RBA Speak	–	–	–	–	Assistant Governor Chris Kent speaks in Sydney.
US		Initial Jobless Claims	000s	205	–	–	Still at a low level versus history.
	Mar	Kansas City Fed Manufacturing	index	5	–	–	Manufacturing in the mid–west is gradually improving.
Fri 27							
NZ	Mar	ANZ Consumer Confidence	index	–	–	–	Likely to fall in response to growing cost of living pressures.
Chn	Feb	Industrial Profits	ytd %yr	0.6	–	–	Turning positive on anti–involution and high–tech focus.
	Q4	Current Account Balance	US$bn	242.1	–	–	Final estimate.
UK	Mar	GfK Consumer Sentiment	index	–19	–	–	Confidence is above–average but sensitive to inflation risks.
	Feb	Retail Sales	%mth	1.8	–	–	Consumers showing clearer signs of life.
US	Mar	Uni. of Michigan Sentiment	index	55.5	–	–	Final estimate will include weaker readings since Iran war.
		Fedspeak	–	–	–	–	Jefferson, Daly and Paulson.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (20 Mar)	Mar–26	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	4.10	4.10	4.35	4.35	4.35	4.35	4.35	4.35	3.85	3.60	3.60
90 Day BBSW	4.2875	4.30	4.40	4.40	4.40	4.45	4.45	4.30	3.80	3.70	3.70
3 Year Swap	4.75	4.45	4.45	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
3 Year Bond	4.74	4.45	4.45	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
10 Year Bond	5.01	4.95	4.95	4.90	4.85	4.80	4.75	4.75	4.70	4.70	4.70
10 Year Spread to US (bps)	76	75	65	55	45	35	25	20	10	5	0
United States											
Fed Funds	3.625	3.625	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375
US 10 Year Bond	4.25	4.20	4.30	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70
New Zealand											
Cash	2.25	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.52	2.45	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.49	3.30	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.74	4.75	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	49	55	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (20 Mar)	Mar–26	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7082	0.72	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5882	0.59	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.665
USD/JPY	158.31	158	156	155	154	152	150	148	146	144	142
EUR/USD	1.1558	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3406	1.34	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8944	6.85	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.2038	1.22	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.4	0.9	0.4	0.4	0.6	0.6	0.6	0.6	2.0	2.2	2.3	2.7
%yr end	2.1	2.4	2.4	2.0	2.3	2.0	2.2	2.4	2.4	2.0	2.3	2.8
Unemployment rate %	4.3	4.2	4.1	4.2	4.3	4.4	4.5	4.5	4.2	4.4	4.5	4.4
Wages (WPI) %qtr	0.8	0.8	0.8	0.7	0.7	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.1	3.0	3.0	3.0	3.1	3.4	3.0	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.2	1.3	0.9	0.4	0.5	0.5	–	–	–	–
%yr end	3.2	3.6	3.9	4.6	4.1	3.9	3.2	2.3	3.6	3.9	2.3	2.7
CPI Trimmed Mean %qtr	1.0	0.9	0.9	0.8	0.9	0.8	0.7	0.6	–	–	–	–
%yr end	3.0	3.4	3.5	3.6	3.5	3.4	3.2	3.0	3.4	3.4	2.6	2.6

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025**	**2026f**	**2027f**
GDP %qtr	0.9	0.2	0.8	0.4	0.8	0.8	1.1	0.5	–	–	–	–
Annual avg change	–0.6	0.2	0.6	1.5	1.7	2.1	2.6	2.9	–0.3	0.2	2.1	3.1
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.0	4.8	4.7	5.1	5.4	5.0	4.5
CPI %qtr	1.0	0.6	0.6	0.9	1.0	0.2	0.3	0.4	–	–	–	–
Annual change	3.0	3.1	2.8	3.1	3.2	2.8	2.5	1.9	2.2	3.1	2.8	2.1

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Week beginning 16 March 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA to hike 0.25% in both March and May.

The Week That Was: A time for caution.

Focus on New Zealand: RBNZ to stand pat as inflation pushes higher.

Forecast Update: Additional cash rate hike of 0.25ppt expected in March. Core inflation upgraded.

For the week ahead:

Australia: RBA policy decision, labour force survey, Westpac-MI leading index, RBA financial stability review

New Zealand: Q4 GDP, Q4 current account balance, Westpac-MM consumer confidence.

China: Retail sales, industrial production, fixed asset investment.

Japan: BoJ policy decision.

Eurozone: ECB policy decision, CPI, trade balance, ZEW survey.

United Kingdom: BoE policy decision, unemployment rate.

United States: FOMC policy decision, PPI, industrial production, leading index, factory orders.

Information contained in this report current as at 13 March 2026.

RBA to hike 0.25% in both March and May

Luci Ellis
Chief Economist, Westpac Group

The RBA is now expected to hike the cash rate by 25bp in both March and May; this is a change from our previous view of a single hike in May with further hikes as a risk only. The expected peak cash rate is now 4.35%.

The effect of higher oil prices on headline inflation is large but temporary. The RBA Monetary Policy Board will nevertheless feel compelled to react, especially given the hit to confidence and financial markets from the Middle East conflict has so far not been severe.

Key information shifting our view is RBA communication revealing it has not changed its pessimistic view of growth in supply capacity following the national accounts, even though data revisions, consumption and unit labour costs paint a more benign picture. The RBA still assesses that the Australian economy is only capable of growing around 2% before facing capacity pressures. Recent growth has been noticeably above this rate, and broadly based across most components of demand.

"Expected peak cash rate is now 4.35% with cuts in late 2027 and early 2028."

In addition, it has signalled a willingness to respond to the spike in headline inflation to head off a sustained rise in inflation expectations. This is despite expectations having remain anchored in recent years in the face of more lasting shocks. With consumer surveys already showing an increase in near-term expectations, the RBA be sensitive to the possibility this persists.

This new information since the national accounts is in addition to the steer from the February minutes that the RBA believes that all the exchange rate appreciation this year reflects the changed domestic rates outlook. It has not allowed for any additional disinflation from the USD sell-off separate from domestic rate moves. We think this puts downside risk into imported inflation relative to the RBA's expectations, but not until at least late this year.

There are good arguments for staying on hold until May given the temporary nature of the shock and the possibility of more extreme market instability. A split vote at next week's meeting is possible. Market participants should allow for the possibility that the RBA opts to wait until May, but it is no longer our base case. Similarly, a swift and clear resolution of the war (and fall in oil prices) or a clear and sudden loss of momentum in domestic activity would mean that the expected March hike would not be followed up in May. Again, this is not our base case.

By the end of next year, underlying inflation will be close to the 2½% target midpoint and unemployment noticeably higher. It will also be clearer that supply capacity growth is above 2% and that labour market slack is building outside the formal labour force. We therefore also shift our expectations of the necessary reversal of tight policy, to November and December 2027 and February 2028 (was November 2027 and February 2028).

These more frequent shifts in policy are a consequence of the refinement to the RBA's mandate in the latest Statement on the Conduct of Monetary Policy. In addition, we assess that the recent changes in the composition of the Monetary Policy Board have made it more comfortable with policy activism and attempts to fine-tune policy to hit the target midpoint by a fixed horizon.

Forecast changes

- **A full update of our forecasts was published in our *Market Outlook* publication on March 13.**
- **We have incorporated our assessment of the impact of the Middle East conflict, using a base case assumption that the Strait of Hormuz is closed for about a month.**
- **Key forecast changes include higher headline inflation in 2026 (but lower in 2027), the flow-on of the new RBA cash rate view to other rates, and a slightly higher AUD/USD exchange rate in the near term.**

Cliff Notes: a time for caution

Elliot Clarke, Head of International Economics
Ryan Wells, Economist

The Westpac-MI Consumer Sentiment Index lifted modestly in March, up 1.2% to 91.6, still an outright pessimistic reading. The latest survey was in the field over the week to March 7, so it only captured part of this week's conflict escalation in the Middle East. Responses over the last three days of the sample were closer to an index read of 84 – a deeply pessimistic result which emphasises just how dynamic sentiment is to the situation offshore.

Underscoring the slightly firmer headline result in the month was an improvement in current assessments of family finances (+1.8%), buyer sentiment (4.9%) and the economy in five years' time (2.4%). This more than offset the flat and weaker readings on the year-ahead view for family finances and the economy respectively. Many of the near-term nerves stem from consumers' hawkish mortgage rate expectations, with over 75% of respondents anticipating a lift over the next twelve months.

Recent commentary from RBA officials has continued to emphasise the Board's pessimistic view on supply capacity, concerns over the persistence of domestic inflation and their desire to keep price expectations anchored. Now facing an additional threat from offshore in the form of surging energy prices, the RBA is likely to feel compelled to act without delay. Responding to these developments, Chief Economist Luci Ellis this week announced a revision to our RBA profile, adding an additional 25bp rate hike next week at the March meeting, in addition to the hike already forecast for May. This cumulative 50bps of tightening will take the cash rate back to its post-pandemic peak of 4.35%. The breadth, intensity and persistence of inflation risks stemming from the conflict are highly uncertain and skewed upward near term, but should fade through 2027, allowing a reversal of 2026's rate hikes from late-2027.

Before moving offshore, it is worth noting that the latest NAB business survey suggests optimism among Australian businesses largely evaporated in February. Not only does this coincide with weaker reads on consumer sentiment, but also a somewhat softer start to the year for trading conditions and profitability. This foreshadows a plateauing of economic growth after an acceleration to near trend over the course of 2025.

In the US, current assessments and expectations of the labour market were re-written last Friday. US nonfarm payrolls surprised to the downside in February, declining 92k in the month. Gains over the prior two months were also revised down 69k, leaving the 3-month average at just 6k versus 50k in January, and the 12-month average around 13k compared to 89k the year prior. The unemployment rate also ticked up to 4.4% despite a 0.1ppt decline in the participation rate. More significantly, annual revisions reduced the participation rate and employment-to-population ratio by 0.4ppts and 0.5ppts respectively. These outcomes point to US labour supply being constrained by both structural and cyclical factors, risking economic growth into the medium term.

That said, to date economic growth has held up, as highlighted by January retail sales – the control group up 0.3%. Housing starts also showed some life in January, up 7.2%, although the level of starts is still 18% below its 2022 peak and permits are weaker still, 28% below. The run up in US term interest rates into the end of the week meanwhile signals growing risks for US inflation and financial conditions. This is particularly troubling for the US, coming at a time when labour market data warrants further easing. Our full updated expectations for the US economy and interest rates can be found in March Market Outlook, out today on Westpac IQ.

"Australian consumers are in wait-and-see mode with respect to inflation and the implications for monetary policy."

Finally to China. The January/February trade data highlighted the continued success of China's rapid expansion of high-tech manufacturing and related infrastructure, exports up 21.8% year-to-date and the trade surplus near its widest mark at $213.6bn (for the two months combined). Persistent strength in the trade surplus is a core expectation of our China forecasts. But, after near 20% gains for several years, growth in external demand must slow. As discussed in the last edition of Cliff Notes and March Market Outlook, pro-active stimulus is necessary to accelerate domestic demand from H1 2026. The greater the risk for global energy prices and supply, the more pressing the need for action.

RBNZ to stand pat as inflation pushes higher

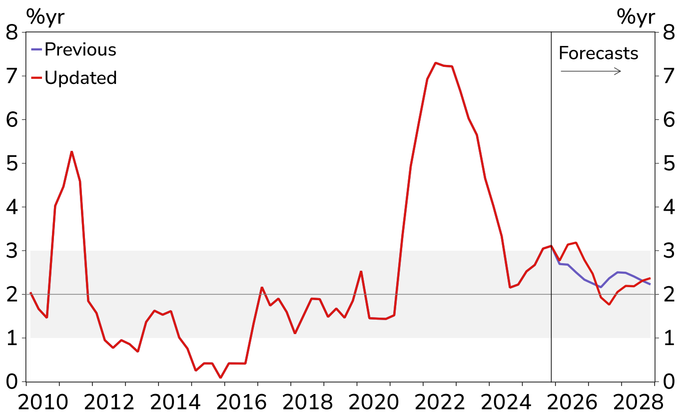
Satish Ranchhod
Senior Economist

The reverberations of the war in the Middle East are being felt around the globe. This event will have an incalculable human cost. There will also be economic costs which will be felt here in New Zealand. Most notably, we are already seeing a sharp rise in inflation pressures, and that will add to headwinds for economic activity. But despite that rise in inflation, we expect the RBNZ will remain on hold for some time yet.

Inflation to rise over 3% in mid-2026

We have revised up our forecast for inflation over the coming year. We now expect that inflation will rise to 3.2% in mid-2026, easing only modestly to 2.8% in the December quarter. That's up substantially from our previous end-of-year forecast of 2.3% which we had expected prior to the conflict.

CPI inflation (annual)



Source: Macrobond, Westpac Economics

The war in the Middle East has seen a sharp rise in oil prices and an even sharper rise in refining spreads. That's flowed through to higher prices at the pump, with nationwide prices for 91 unleaded petrol up an average of 34c/ltr compared to the levels we saw prior to the conflict – a rise of 14%. The rise in the price of diesel has been even sharper.

Those higher fuel prices will add to the pressure on households' finances and add to operating costs for a range of businesses. We've already seen airlines announcing fuel related increases in fares. The coming months are also likely to see higher operating costs for a range of other goods and services due to higher transport costs and related expenses like insurance. Notably, those cost increases have come through much sooner than we had anticipated (as a result, the forecasts in this report are also up slightly than the update we released earlier this week).

We can't say with any certainty how long the conflict will last. Even so, inflation over 2026 looks set to remain above the levels the RBNZ assumed in its last published projections from February.

However, when the conflict eventually comes to a close, oil prices are likely to retrace their recent gains, and the related increases in operating costs are also likely to reverse. That eventual fall in oil prices will pull overall inflation down to levels that are lower than we previously assumed (a pattern that is often seen in the wake of oil price spikes). In our updated projections, inflation is expected to briefly dip below 2% in late-2027, before rising back up to around 2.3% further ahead.

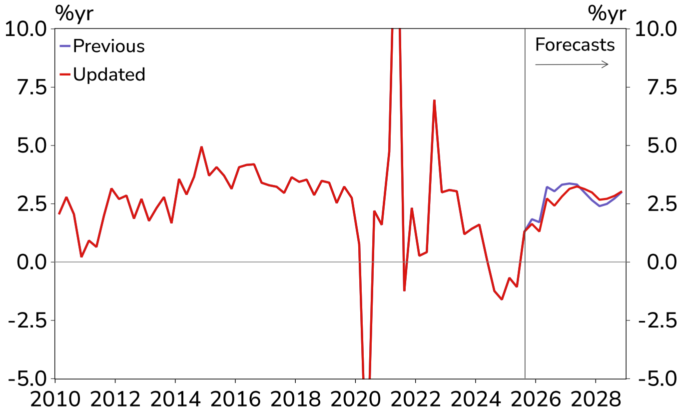
Forecast GDP growth revised down

Ahead of the conflict, the New Zealand economy was showing signs of growing momentum, underpinned by continued strength in commodity export prices and sharp falls in borrowing costs over the past year. In fact, the New Zealand economy looks to have grown by around 1.6% over 2025. That would mark the first year of per-capita gains since 2022. This point has perhaps been lost amid the volatility in the reported data: four of the last five quarters of GDP have seen moves of 1% or more in both directions, due to a mix of seasonal distortions, shifts in the timing of activity between quarters, and just plain noisy data. For those same reasons, December quarter GDP (to be released on 19 March) is likely to appear more subdued compared to the 1.1% bounce in the September quarter – we're forecasting a 0.4% rise. However, we consider this to be a relatively clean estimate of the economy's underlying momentum in the quarter.

That positive momentum had carried through into the early part of 2026, with a pickup in a number of higher frequency indicators, including business surveys like the PMIs, traffic counts, job advertisements, and spending on Westpac-issued cards.

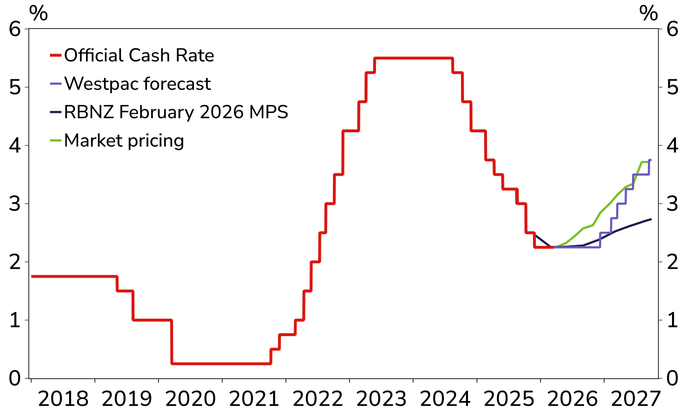
However, the escalating conflict in the Middle East is likely to derail some of that momentum. Based on what's already occurred, we could reasonably expect some setback to economic growth due to higher energy and transport costs, disruptions to trade and tourism, and a hit to business and consumer confidence. Reflecting those headwinds, we've revised down our forecast of GDP growth over 2026 from 3.3% to 2.8%. We also expect that unemployment will now take longer to fall.

GDP (production, annual)



Source: Macrobond, Westpac Economics

RBNZ Official Cash Rate



Source: RBNZ, Macrobond, Westpac Economics

RBNZ to remain on hold

Oil prices have pushed the outlook for inflation higher across the globe, leading to a rise in term interest rates across major markets. Locally, financial market pricing for OCR hikes has also been pulled forward. At the time of writing, markets are more than fully priced for a 25bp rate hike by September and a follow-up hike by the end of this year.

However, we think this will likely prove a misreading of the RBNZ's approach to monetary policy. Higher interest rates now would not prevent the oil related rise in inflation already in train. But earlier interest rate rises would likely compound any downturn in activity stemming from the increase in inflation, potentially exacerbating the downturn in inflation once the shock passes and oil prices recede.

As a result, even with a substantial lift in the inflation outlook, we expect the RBNZ will be hesitant to hike rates sooner than previously anticipated. Instead, we continue to expect the RBNZ will remain on hold until December. In a severe event that materially dampens global and domestic growth – especially one in which fuel supply is rationed – the RBNZ could even consider rate cuts.

The RBNZ will not be complacent, however. It will closely monitor whether the lift in inflation currently in train results in higher medium-term inflation expectations – short-term survey measures will surely rise – and changes in wage and price setting behaviour that might suggest a prolonged uplift in inflation. But that's less of a risk given our starting point. Unlike some economies, New Zealand already has substantial spare capacity and higher than normal levels of unemployment. That limits the scope for price increases to feed off each other.

AUS: RBA Policy Decision (%)

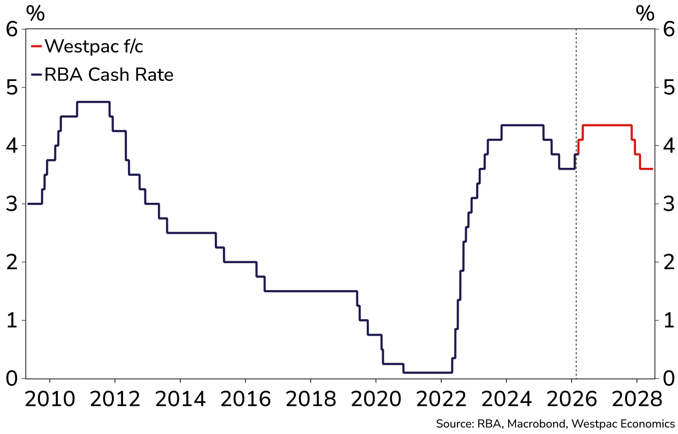
Mar 17, Last: 3.85, Westpac f/c: 4.10
Market f/c: 4.10, Range: 3.85 to 4.10

Westpac anticipates the RBA Monetary Policy Board will decide to raise the cash rate by 25bps, from 3.85% to 4.10%, at its March policy meeting.

Recent commentary from RBA officials has continued to emphasise the Board's pessimistic view on supply capacity, concerns over the persistence of domestic inflation and their desire to keep price expectations anchored. Now facing an additional threat from offshore in the form of surging energy prices, the RBA is likely to feel compelled to act without delay.

Next week's expected rate hike next will be in addition to the hike we already had pencilled in for May. This cumulative 50bps of tightening will take the cash rate back to its post-pandemic peak of 4.35%. For more detail, see page 2.

RBA to hike in March



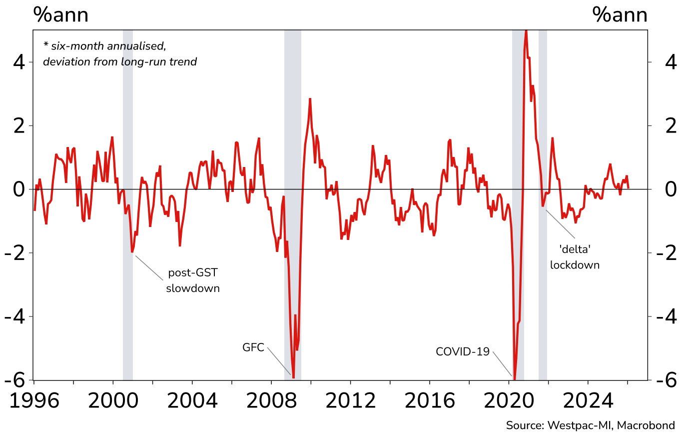
AUS: Feb Westpac-MI Leading Index (% 6mth ann'd)

Mar 18, Last: 0.42

The Leading Index growth rate slowed to +0.02% in Jan from what has been a slightly-above-trend reads through most of the second half of 2025.

The Feb read is likely to be patchy as well with softness around commodity prices (down 2.7% in AUD terms), more interest-rate-rise-related drags on consumer sentiment (the Westpac-MI Consumer Expectations Index down -0.2% and the Westpac-MI Unemployment Expectations Index, up 3.8%) plus a further fall back in dwelling approvals (–7.2%) but the ASX200 posting a decent 3.7% rise and further gains for US industrial production and total hours worked. Of course, all of these reads (except the sentiment ones) pre-dates the conflict in the Middle East and associated surge in energy prices since Feb 28 with the momentum effects from this likely to show through more clearly with the March update.

Westpac-MI Leading Index



AUS: Feb Labour Force – Employment Change (000s)

Mar 19, Last: 17.8, Westpac f/c: 20
Market f/c: 20, Range: 10 to 41.2

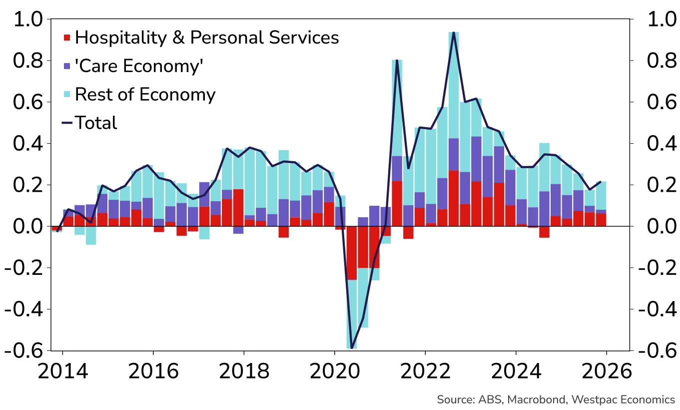
Employment rose by 17.8k in Jan, in line with the consensus forecast for a +20k lift. This follows some choppy reads late last year, including a –30.3k fall in Nov and a 68.5k bounce in Dec.

The slowing in 'care economy' jobs growth that defined much of 2025 looks to have normalised. Meanwhile, jobs growth in consumer-facing services industries are recovering well, with lifts also being reported in construction and business services segments.

It looks like jobs growth is moving past its trough, albeit at a measured pace. This view is broadly corroborated by leading indicators in business surveys. For Feb, we have pencilled in a +20k lift in employment.

Contribution from care economy is easing

Contributions to year-ended employment growth (millions)



AUS: Feb Labour Force – Unemployment Rate (%)

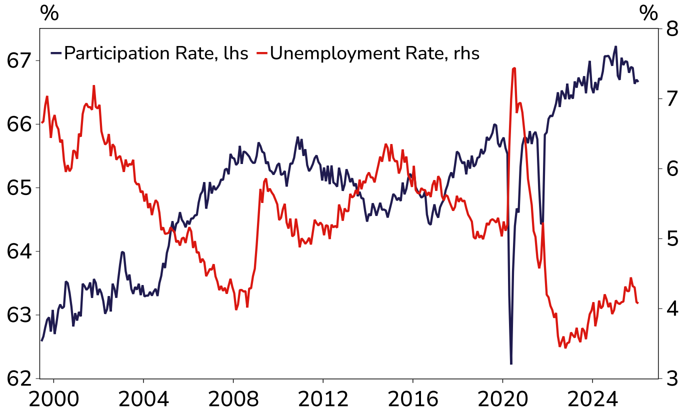
Mar 19, Last: 4.1, Westpac f/c: 4.1
Market f/c: 4.1, Range: 4.0 to 4.2

The unemployment rate held steady in Jan, and on a quarter-average basis, it has trended lower from 4.3% in Q3, to 4.2% in Q4, and is now averaging 4.1% so far in Q1.

Notionally, a fall in the unemployment rate has a very different flavour if it is being driven by a decline in participation as opposed to a noticeably stronger pick-up in hiring. The recent falls are all about participation – if the participation rate had held steady over the past six months then, all else equal, the unemployment rate would be 4.5% rather than 4.1%.

We are expecting the participation rate to hold steady at 66.7% in Feb, which together with a modest lift in employment, would see the unemployment rate also hold at 4.1%.

Drop in participation keeps unemployment low

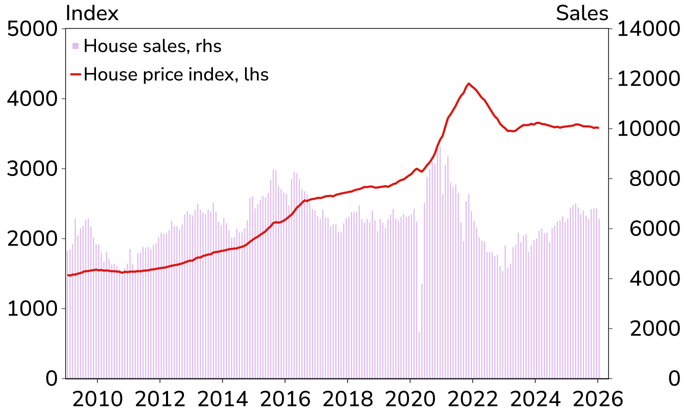


NZ: Feb REINZ House Sales and Prices (%yr)

Mar 16 (TBC), Sales last: –5.4, Prices last: –0.7

New Zealand's housing market remained soft at the start of this year, with prices and sales edging down. Low mortgage rates are supporting demand, but the ample supply of homes on the market, low population growth and falling rents mean that there is a lack of pressure on house prices. The move higher in fixed-term mortgage rates since the RBNZ's November policy review has likely weighed on investor sentiment as well.

REINZ house sales and prices

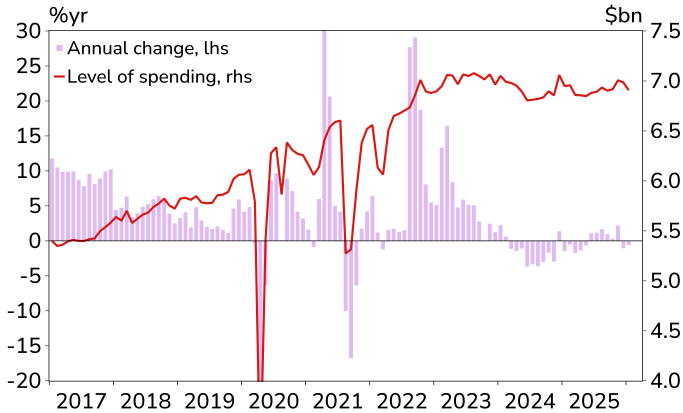


NZ: Feb Retail Card Spending (%mth)

Mar 16, Last: –1.1, Westpac f/c: 0.3

Retail spending fell 1.1% in January with the fall spread across categories. Some of that decline likely reflected payback after strong spending late last year. We're forecasting a 0.3% rise in February. Discretionary spending has been gradually trending higher in recent months, supported by continued firmness in commodity export earnings and the ongoing easing in households' borrowing costs. Fuel prices also eased in February which will have helped to support spending in other categories. Note, the monthly retail spending survey has tended to understate the strength in spending over the past year, particularly in interest rate sensitive sectors like furnishings.

NZ retail card spending

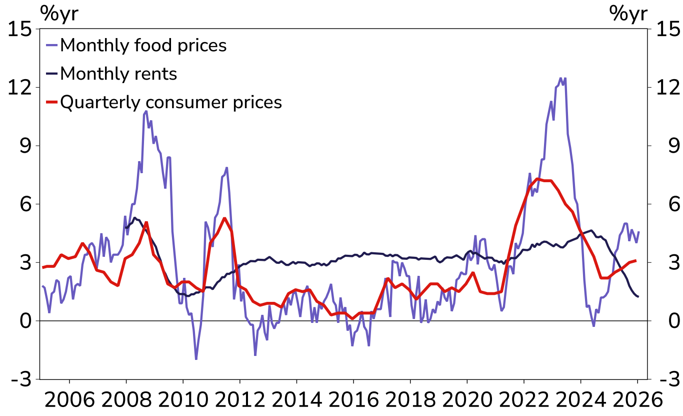


NZ: Feb Selected Consumer Prices

Mar 17

Stats NZ's Selected Prices provides monthly updates on around half of the quarterly CPI. Looking at some of the big groups, we're expecting a 0.6% fall in food prices, related to seasonal falls in the prices for fresh produce, as well as some reversal of last month's large rise in meat prices. For housing rents, we're expecting another flat result. That would be a very weak outcome for this time of year, with ample supply offsetting the normal lift in demand. Lastly, fuel prices are expected to be down 3.2% over the month. Note, this month's survey pre-dates the outbreak of war in the Middle East and related lift in oil prices.

NZ selected consumer prices



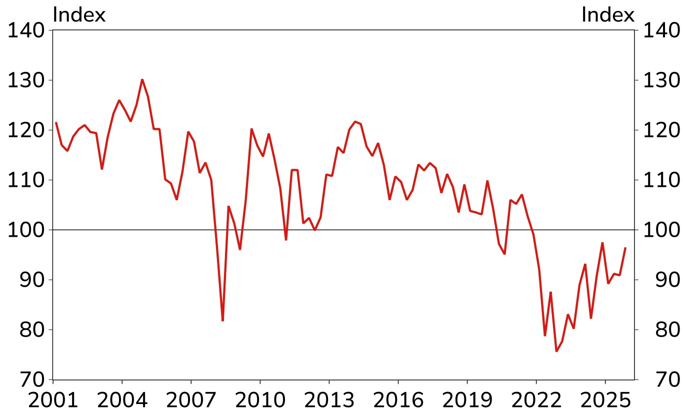
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Q1 Westpac-McDermott Miller Consumer Confidence Index

Mar 18, Last: 96.5

The latter part of 2025 saw consumer confidence trending higher, supported by sharp falls in interest rates and firmness in export earnings. Those factors remain key supports for economic conditions in the early part of the year. However, our latest survey also comes against a backdrop of significant uncertainty and large increases in fuel costs, with surveying conducted in the first two weeks of March.

Consumer confidence improved in Q4



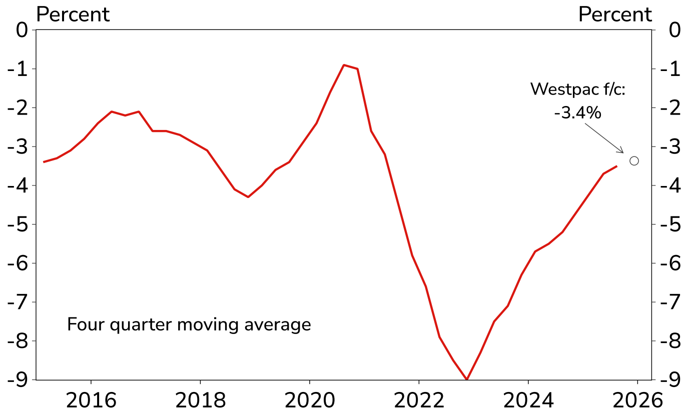
Source: Macrobond, Westpac McDermott-Miller

NZ: Q4 Current Account Balance (% of GDP)

Mar 18, Last: –3.5, Westpac f/c: –3.4
Market f/c: –3.4

The current account deficit has narrowed sharply over the past two years, thanks mostly to a recovery in the tourism sector, an upswing in the terms of trade and weak import demand. Indicators of merchandise and services trade suggest that the improvement has slowed in the December quarter, with the 12-month running current account deficit likely to have narrowed only fractionally to 3.4% of GDP (assuming no material revisions). Moreover, looking ahead, prospects for further improvement in the near term have dimmed. This reflects the impact of the Middle East conflict on fuel prices, which will weigh on the terms of trade given New Zealand's import dependency.

Current account balance, % of GDP



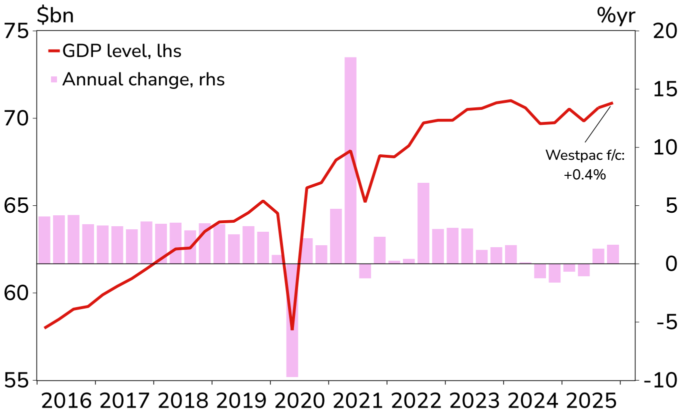
Source: Stats NZ, ABS, Macrobond, Westpac Economics

NZ: Q4 GDP (%qtr)

Mar 19, Last: 1.1, Westpac f/c: 0.4
Market f/c: 0.4

We expect a 0.4% rise in GDP for the December quarter, with modest but widespread gains across industries. This quarter should be a relatively 'clean' read on the economy's momentum, compared to the volatility in previous quarters which have been variously affected by distorted seasonal patterns, timing shifts and just plain noisy data. Even so, it's a dated release at the best of times, and the recent developments in the Middle East present a fresh headwind to the economy's burgeoning recovery.

A modest lift in GDP to end 2025



Source: Stats NZ, Macrobond, Westpac Economics

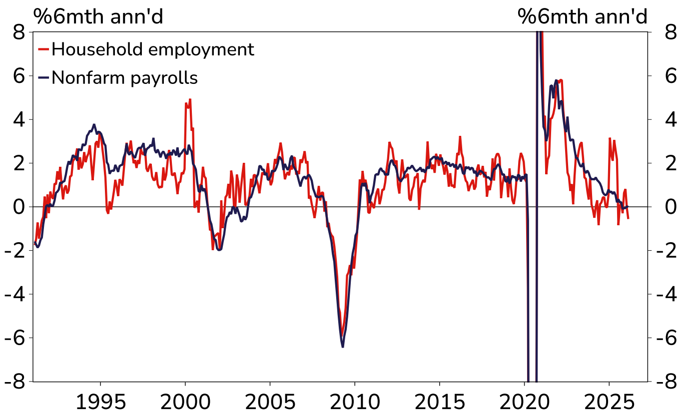
US Mar FOMC meeting (%)

Mar 17-18, Last: 3.625, WBC f/c: 3.625
Market f/c: 3.625

Risk assessment will be the focus for the FOMC in March, with domestic inflation continuing to show persistence and now a global energy shock to contend with. Note though, uncertainty is not one sided for the US, the latest payrolls data having re-written current assessments and expectations for the labour market.

We expect the full spectrum of risks to be detailed and assessed both in the press conference and, when released, in the minutes. The participants' median forecasts are likely to be little changed, however. Except for an initial estimate of the hit to inflation from the conflict in the Middle East. Some widening of the forecast bands also has to be expected, in line with heightened uncertainty.

Inflation not the only risk for FOMC



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 16							
NZ	Feb	REINZ House Prices	%yr	–0.7	–	–	Prices remain muted despite low mortgage rates…
	Feb	REINZ House Sales	%yr	–5.4	–	–	…with an ample supply of homes available for sale.
	Feb	BusinessNZ PSI	index	50.9	–	–	Has been softer than the manufacturing PMI lately.
	Feb	Retail Card Spending	%mth	–1.1	–	0.3	Core spending climbing, supported by lower interest rates.
Chn	Feb	Retail Sales	ytd %yr	3.7	2.5	–	In line with recent trends, the latest monthly indicators will…
	Feb	Fixed Asset Investment	ytd %yr	–3.8	–4.2	–	…probably indicate that consumer spending and business…
	Feb	Industrial Production	ytd %yr	5.9	5.0	–	…investment remain weak, while IP growth remains firm.
US	Mar	Empire State Manufacturing Survey	index	7.1	3.9	–	The energy price shock is likely to impact US manufacturers.
	Feb	Industrial Production	%mth	0.7	0.1	–	Started the year strongly.
	Mar	NAHB Housing Market Sentiment	index	36	37	–	Higher outlook for interest rates might impact sentiment.
Tue 17							
Aus	Mar	RBA Policy Decision	%	3.85	4.10	4.10	The board maintains its pessimistic view on supply capacity.
NZ	Feb	Selected Price Indices – Food	%mth	2.5	–	–0.6	Seasonal drop in produce prices, easing in meat prices.
	Feb	Selected Price Indices – Rents	%mth	Flat	–	Flat	Ample supply is offsetting the seasonal lift in demand.
Eur	Mar	ZEW Survey Of Expectations	index	39.4	–	–	Recent optimism is likely to be hit by higher energy prices.
US	Feb	Pending Home Sales	%mth	–0.8	–1.0	–	Remain subdued.
Wed 18							
Aus	Feb	Westpac–MI Leading Index	%ann'd	0.44	–	–	Softer commodity prices and tighter monetary policy will drag.
NZ	Q1	Westpac–MM Consumer Conf.	index	96.5	–	–	Surveying occurred after the outbreak of war and surge in oil.
	Q4	Current Account Balance	% of GDP	–3.5	–3.4	–3.4	Period of rapid deficit narrowing is coming to an end.
Eur	Feb	HICP Inflation	%ann	1.9	1.9	–	Final estimate set to confirm the preliminary reading.
US	Feb	PPI	%mth	0.5	0.3	–	Producer prices before the energy price shock.
	Jan	Factory Orders	%mth	–0.7	–	–	Durable good orders in focus
	Mar	FOMC Policy Decision	%	3.625	3.625	3.625	Inflation persists while labour market expectations weaken.
Can	Mar	BoC Policy Decision	%	2.25	2.25	–	Interest rates remain on hold.
Thu 19							
Aus		RBA Financial Stability Review	–	–	–	–	Half–yearly assessment of Australia's financial system.
	Feb	Employment Change	000s	17.8	20.0	20.0	Jobs growth has appeared to have moved past its trough…
	Feb	Unemployment Rate	%	4.1	4.1	4.1	…while a steady participation rate will hold unemployment.
		RBA Financial Stability Review	–	–	–	–	Half–yearly review of financial system and risks to stability.
NZ	Q4	GDP	%qtr	1.1	0.4	0.4	A modest read but with no major distortions this quarter.
Jpn	Mar	BoJ Policy Decision	%	0.75	0.75	–	Preparing the ground for hikes later in the year?
Eur	Mar	ECB Policy Decision (Deposit Rate)	%	2.00	2.00	–	Assessment of the energy price shock in focus.
UK	Jan	ILO Unemployment Rate	%	5.2	–	–	Easing labour market conditions in the UK.
	Mar	BoE Policy Decision	%	3.75	3.75	–	Further Bank Rate cuts delayed.
US	Mar	Philly Fed Manufacturing Outlook	index	16.3	–	–	The energy price shock is likely to impact US manufacturers.
		Initial Jobless Claims	000s	–	–	–	Remain broadly stable above 200k.
	Jan	New Home Sales	%mth	–1.7	–2.7	–	Picked up in the last couple of months of 2025.
Fri 20							
NZ	Feb	Trade Balance	NZ$mn	–519	–	610	Seasonal rise in exports meets seasonal lull in imports.
Eur	Jan	Trade Balance	€bn	11.6	–	–	Normalising after volatile 2025.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (13 Mar)	Mar–26	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
Cash	3.85	4.10	4.35	4.35	4.35	4.35	4.35	4.35	3.85	3.60	3.60
90 Day BBSW	4.18	4.30	4.40	4.40	4.40	4.45	4.45	4.30	3.80	3.70	3.70
3 Year Swap	4.54	4.45	4.45	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
3 Year Bond	4.55	4.45	4.45	4.45	4.40	4.35	4.25	4.10	3.95	3.80	3.60
10 Year Bond	4.94	4.95	4.95	4.90	4.85	4.80	4.75	4.75	4.70	4.70	4.70
10 Year Spread to US (bps)	68	75	65	55	45	35	25	20	10	5	0
United States											
Fed Funds	3.625	3.625	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375	3.375
US 10 Year Bond	4.26	4.20	4.30	4.35	4.40	4.45	4.50	4.55	4.60	4.65	4.70
New Zealand											
Cash	2.25	2.25	2.25	2.25	2.50	3.00	3.50	3.75	4.00	4.25	4.25
90 Day Bill	2.52	2.45	2.45	2.50	2.90	3.40	3.75	4.00	4.25	4.45	4.45
2 Year Swap	3.33	3.30	3.60	3.85	4.10	4.30	4.40	4.40	4.40	4.35	4.30
10 Year Bond	4.66	4.75	4.80	4.95	4.95	5.05	5.10	5.10	5.10	5.10	5.10
10 Year Spread to US (bps)	41	55	50	60	55	60	60	55	50	45	40

Exchange rate forecasts

	Latest (13 Mar)	Mar–26	Jun–26	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28
AUD/USD	0.7062	0.72	0.72	0.72	0.73	0.73	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.5841	0.59	0.59	0.61	0.62	0.64	0.66	0.67	0.67	0.67	0.67
USD/JPY	159.39	158	156	155	154	152	150	148	146	144	142
EUR/USD	1.1505	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.22	1.22
GBP/USD	1.3341	1.34	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.41
USD/CNY	6.8861	6.85	6.85	6.80	6.70	6.60	6.50	6.45	6.40	6.35	6.35
AUD/NZD	1.209	1.22	1.22	1.18	1.18	1.14	1.12	1.11	1.10	1.10	1.10

Australian economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2025**	**2026f**	**2027f**	**2028f**
GDP %qtr	0.4	0.9	0.4	0.4	0.6	0.6	0.6	0.6	2.0	2.2	2.3	2.7
%yr end	2.1	2.4	2.4	2.0	2.3	2.0	2.2	2.4	2.4	2.0	2.3	2.8
Unemployment rate %	4.3	4.2	4.1	4.2	4.3	4.4	4.5	4.5	4.2	4.4	4.5	4.4
Wages (WPI) %qtr	0.8	0.8	0.8	0.7	0.7	0.8	0.7	0.8	–	–	–	–
%yr end	3.3	3.4	3.3	3.1	3.0	3.0	3.0	3.1	3.4	3.0	3.0	3.4
CPI Headline %qtr	1.3	0.6	1.2	1.3	0.9	0.4	0.5	0.5	–	–	–	–
%yr end	3.2	3.6	3.9	4.6	4.1	3.9	3.2	2.3	3.6	3.9	2.3	2.7
CPI Trimmed Mean %qtr	1.0	0.9	0.9	0.8	0.9	0.8	0.7	0.6	–	–	–	–
%yr end	3.0	3.4	3.5	3.6	3.5	3.4	3.2	3.0	3.4	3.4	2.6	2.6

New Zealand economic forecasts

	2025		2026				2027		Calendar years			
% Change	**Q3**	**Q4f**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**2024**	**2025f**	**2026f**	**2027f**
GDP %qtr	1.1	0.4	0.8	0.4	0.8	0.8	1.1	0.5	–	–	–	–
Annual avg change	–0.5	0.3	0.8	1.7	2.0	2.3	2.8	2.9	–0.3	0.3	2.3	3.1
Unemployment rate %	5.3	5.4	5.4	5.3	5.2	5.0	4.8	4.7	5.1	5.4	5.0	4.5
CPI %qtr	1.0	0.6	0.6	0.9	1.0	0.2	0.3	0.4	–	–	–	–
Annual change	3.0	3.1	2.8	3.1	3.2	2.8	2.5	1.9	2.2	3.1	2.8	2.1

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